TAX EXPENDITURE REPORT 2025



Directorate General of Revenue Analysis

Federal Board of Revenue
Government of Pakistan

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Acknowledgement

The Federal Board of Revenue (FBR) sincerely acknowledges and greatly values the cooperation extended by various government departments, semi-government bodies, and private sector organizations in the process of sharing critical data and information related to tax expenditures. This collaborative spirit plays a pivotal role in enhancing transparency, improving fiscal policy analysis, and strengthening the overall effectiveness of tax administration. Such partnerships are instrumental in enabling informed decision-making and ensuring that tax policies are based on accurate, comprehensive information.

Feedback & Comments

We warmly invite and encourage readers to share any questions, comments, or feedback they may have regarding this report. Your insights and inquiries are highly valued and contribute to ongoing improvement and transparency. Please feel free to reach out to Chief-I at the Directorate General of Revenue Analysis, Federal Board of Revenue (FBR), either via email at nasreen.nawaz@fbr.gov.pk or by phone at +92-51-9204372. We look forward to engaging with you and addressing any concerns or suggestions you may wish to share.

Disclaimer

This Tax Expenditure Report aims to present well-informed estimates of tax expenditures incurred by the Government during the tax year under review. It is designed to assist policymakers, stakeholders, and readers by providing greater insight into the fiscal implications of various tax exemptions, concessions, and incentives. The report serves as a reference tool to support evidence-based decision-making and enhance transparency in tax policy. However, it is important to note that in the event of any discrepancy or inconsistency within this report, the original legislative texts namely, the Income Tax Ordinance, 2001, the Sales Tax Act, 1990, and the Customs Act, 1969 shall take precedence and be considered the final legal authority.

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PREFACE

The Federal Board of Revenue (FBR) is pleased to present the Tax Expenditure Report 2025 (TER), which outlines the estimated tax expenditures incurred under each category of federal taxation. Based on data from Fiscal Year 2023–24, the report provides a detailed assessment of the financial impact of various tax exemptions, concessions, and incentives. It quantifies the revenue foregone by the Federal Government, offering valuable insights into the fiscal cost of such measures.

Effective policymaking and informed decision-making at all levels require a robust foundation of accurate statistical data. In this context, the systematic compilation and transparent publication of comprehensive fiscal information specifically regarding tax expenditures marks a significant step toward enhancing the transparency and accountability of public finance. Furthermore, it is anticipated that this report will foster informed public discourse on the direction and structure of federal tax policies.

This marks the sixth consecutive year, beginning with FY 2019-20, that the FBR has consistently prepared and published a detailed Tax Expenditure Report. The initiative aligns with international best practices in fiscal governance and reflects Pakistan's commitment to meeting global standards and obligations. Since FY 2019-20, a complete inventory of tax expenditures including estimates of their costs and identification of the primary beneficiaries has also been published annually as part of the Federal Government's budget statement.

It is a source of great pride that the FBR has developed internal expertise within the Directorate General of Revenue Analysis (DGRA) to independently produce this comprehensive report. The dedication and professionalism demonstrated by the Director General (Revenue Analysis) and the entire DGRA team are truly commendable. Their efforts have resulted in a report that serves as a valuable resource for policymakers, researchers, and other stakeholders. Constructive feedback from readers and stakeholders is always welcomed, as it plays a vital role in refining and enhancing future editions of this report.

(Rashid Mahmood)
Chairman Federal Board of Revenue/
Secretary Revenue Division

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ACRONYMS

ACD	Additional Customs Duty
CD	Customs Duty
CPEC	China-Pakistan Economic Corridor
DTRE	Duty & Tax Remission for Exports
E&P	Exploration & Production
EPZ	Export Processing Zone
FATA	Federally Administered Tribal Areas
FBR	Federal Board of Revenue
FTA	Free Trade Agreement
FY	Fiscal Year/Financial Year
GDP	Gross Domestic Product
IMF	International Monetary Fund
ITO	Income Tax Ordinance
OECD	Organization for Economic Cooperation and Development
PCT	Pakistan Customs Tariff
POL	Petroleum, Oil, and Lubricants
POS	Point of Sales
PRAL	Pakistan Revenue Automation Limited
PTA	Preferential Trade Agreements
REIT	Real Estate Investment Trust
RD	Regulatory Duty
STA	Sales Tax Act
SRO	Statutory Regulatory Order
TER	Tax Expenditure Report
WB	World Bank

EXECUTIVE SUMMARY

Tax expenditures refer to specific provisions within the tax laws—such as exclusions, deductions, deferrals, tax credits, and reduced tax rates—that are designed to support certain economic activities or benefit specific groups of taxpayers. These provisions effectively result in a loss of potential government revenue. Tax expenditures are typically quantified as estimates of revenue foregone due to such special measures in the tax code[1].

Globally, governments prepare Tax Expenditure Reports as a tool for enhancing fiscal transparency and providing a strategic foundation for future tax policy development. In Pakistan, the Federal Board of Revenue (FBR) prepares this report using the standard "Revenue Forgone" methodology, which estimates the financial cost of tax concessions provided under the Income Tax Ordinance, 2001, the Sales Tax Act, 1990, and the Customs Act, 1969, based on available data for Fiscal Year 2023–24.

Income Tax Expenditure

The estimation of income tax expenditures is derived primarily from Income Tax Returns data, supplemented by Third-Party Information. The analysis uses the statutory tax rates defined in the various schedules of the Income Tax Ordinance (ITO), 2001 as benchmark rates. Additionally, the benchmark for determining the scope of income is taken from Section 9 of the ITO, which outlines the heads of income and applies the origin-of-income principle for both resident and non-resident taxpayers.

Sales Tax Expenditure

Sales tax expenditures are calculated based on data from Sales Tax Returns and Goods Declarations (GDs) related to imports. The estimate represents the difference between the actual sales tax paid and the amount that would have been payable had the standard sales tax rate been applied, thus reflecting the value of the exemption or concession granted.

Customs Duty Expenditure

The customs duty expenditure is estimated using legal references from the Customs Act, 1969 and relevant statutory regulatory orders (SROs) that provide for exemptions and

[1] taxpolicycenter.org
Website: https://www.taxpolicycenter.org/briefing-book/what-are-tax-expenditures-and-how-are-they-structured

concessions on imported goods. The standard statutory customs duty rates applicable during FY 2023–24 are used as the benchmark to calculate the value of these concessions.

Important Considerations

It is important to emphasize that the figures presented in this report are estimates and should not be interpreted to be meant that eliminating a given tax expenditure would result in an equivalent increase in government revenue. The actual fiscal impact of removing tax exemptions depends on several economic factors, including the nature of the activity affected, the responsiveness of taxpayers (elasticity), and prevailing market conditions. Additionally, this report does not cover any spillover effects that FBR tax expenditures might have on provincial tax systems.

By offering a transparent overview of the revenue foregone through various tax provisions, this report aims to support evidence-based policy decisions and foster a more informed public debate on the structure and equity of the federal tax system in Pakistan.

Overview of Federal Tax Expenditures – FY 2023–24

The total Federal Tax Expenditure for the fiscal year 2023–24 is estimated at **Rs. 2,434.73 billion.**

- Equivalent to:
    - **26.18%** of the **Federal Board of Revenue's (FBR)** total tax collection (**FY 2023-24 Rs. 9,299.08 billion)**
    - **2.32%** of the country's **Gross Domestic Product (GDP) FY 2023-24 Rs. 105,143 billion**

This figure reflects the revenue foregone by the government due to various tax exemptions, concessions, and preferential treatments across different tax regimes. The detailed breakdown is as follows:

a. Income Tax

- Estimated Expenditure: **Rs. 545.23 billion**
- Equivalent to:
    - **5.86%** of the **Federal Board of Revenue's (FBR)** total tax collection
    - **22.39%** of the overall tax expenditure

- **0.52%** of the country's **Gross Domestic Product (GDP)**

b. Sales Tax

- Estimated Expenditure: **Rs. 1,237.11 billion**
- Equivalent to:
  - **13.30%** of FBR's total collection
  - **50.81%** of the total tax expenditure
  - **1.18%** of GDP

c. Customs Duty

- Estimated Expenditure: **Rs. 652.39 billion**
- Equivalent to:
  - **7.02%** of FBR's total tax collection
  - **26.80%** of the overall tax expenditure
  - **0.62%** of GDP

Key Observations

- The **total federal tax expenditure** constitutes **26.18%** of the **FBR's total tax collection** for FY 2023–24, marking a significant decrease from **54.15%** recorded in the **previous fiscal year (PFY)**.
- In terms of economic size, the total tax expenditure represents approximately **2.32% of GDP** during FY 2023–24, compared to **4.6% of GDP** in the previous fiscal year.

01

INTRODUCTION

1.1. Definition

Tax expenditures have been defined in multiple ways by prominent international institutions and legislative frameworks, reflecting the common understanding that these are deviations from a benchmark tax system that result in reduced government revenue. Below are some widely recognized definitions:

- **The Congressional Budget and Impoundment Control Act of 1974 (CBA)** in the United States defines tax expenditures as:
  "Those revenue losses attributable to provisions of the Federal tax laws which allow a special credit, a preferential rate of tax, or a deferral of tax liability."
- **The International Monetary Fund (IMF)** describes tax expenditure as:
  "Revenue foregone as a result of selective provisions in the tax code."
- **The Organization for Economic Co-operation and Development (OECD)** defines tax expenditures as:
  "The estimated costs to the tax revenue of preferential treatment for specific activities."

These definitions, though varied in wording, consistently emphasize that tax expenditures represent a departure from a standard or benchmark tax structure and result in the reduction of government revenue due to policy choices aimed at achieving economic or social objectives.

Forms of Tax Expenditures in Pakistan

Under Pakistan's prevailing tax laws, tax expenditures or concessions are granted through several mechanisms, including:

- **Allowances** – Amounts that are deducted from the taxpayer's income before applying the applicable tax rate, effectively reducing the taxable base.
- **Credits** – Direct reductions in the tax liability of the taxpayer, often used to incentivize specific behaviors or investments.
- **Exemptions** – Complete exclusions of certain income, transactions, or entities from the scope of taxation.
- **Rate Relief** – Application of lower-than-standard tax rates to specific types of income, goods, or taxpayers.

These instruments are employed to promote targeted economic activities, attract investment, support key sectors, and provide relief to certain groups. While they can serve important policy goals, tax expenditure also reduces the overall revenue potential of the tax system, and thus warrant careful assessment in terms of their fiscal impact and effectiveness.

1.2. Understanding Tax Expenditure in Relation to the Benchmark Tax System

Tax expenditure refers to any deviation from a defined "benchmark" tax system. It represents the revenue foregone by the government through provisions that allow exemptions, deductions, reduced rates, deferrals, or credits that would not exist under a standard or neutral tax framework. In essence, it applies to situations where certain income, transactions, or taxpayers receive preferential treatment that diverges from what would be taxed under normal, uniform conditions.

The specific form of tax expenditure—whether under income tax, sales tax, or customs duty—is directly influenced by how the benchmark tax structure is defined within the respective laws. Globally, a benchmark tax system is generally understood to be the existing tax framework without any special provisions, such as exemptions, rebates, concessional rates, or other preferential treatments. It is a comprehensive and neutral model that reflects what the tax system would look like in the absence of policy-driven deviations.

Therefore, any departures from this benchmark—whether embedded in the main body of the law, outlined in schedules, or provided through statutory regulatory orders (SROs)—are classified as tax expenditures. Identifying and quantifying these deviations is essential for understanding the fiscal impact of government policy decisions and for promoting transparency

and accountability in public finance management.

1.3. Benefits and Drawbacks of Tax Expenditure

Tax expenditures function as an important fiscal policy tool, offering numerous advantages for economic development. They are often used to stimulate investment, encourage private sector participation, and support emerging or vulnerable industries that need financial backing to grow. When designed effectively, tax incentives can drive economic growth by fostering investment, creating new jobs, and boosting overall economic activity. These incentives can be especially important in sectors or regions that require targeted support to thrive.

However, tax expenditures are not without their downsides. The most significant disadvantage is the potential loss of government revenue and the resulting erosion of the tax base. As the government foregoes tax revenue to provide incentives, it may struggle to meet its fiscal needs, which could lead to budget deficits or the need for higher taxes elsewhere. Additionally, poorly designed tax incentives can lead to inefficient resource allocation, as businesses may prioritize tax advantages over genuine productivity or long-term economic sustainability. Furthermore, tax expenditures can exacerbate inequalities, as the benefits often accrue to well-positioned businesses or individuals, leaving disadvantaged groups with limited access to the advantages provided.

Recent studies from organizations like the International Monetary Fund (IMF) and the World Bank (WB) have pointed out that, particularly in developing countries, investors often do not consider tax incentives to be a critical factor when making investment decisions. Factors such as political stability, infrastructure quality, and market size typically weigh more heavily in these decisions. This suggests that, while tax expenditures can encourage specific behaviors, they may not be as influential in attracting investments as policymakers may hope.

Moreover, the public availability of estimates related to tax expenditures is crucial for transparency. By making these estimates accessible, the government helps enhance public understanding of its fiscal policies and decisions. It also enables legislators and civil society organizations to effectively monitor government actions, ensuring accountability in how tax incentives are used and holding the government accountable for the impact these expenditures have on the national budget.

1.4. Tax Expenditure Reporting under the Public Finance Management Act 2019

The Public Finance Management Act 2019 mandates that the Federal Government must present a statement detailing the estimated tax expenditure to Parliament annually. This statement is included as part of the Finance Bill presented each year. This requirement is a key element of transparent and accountable fiscal management.

Tax expenditure reporting is recognized as an important aspect of sound fiscal governance and is widely considered the best practice in many countries. It is typically included in the annual budget statement, providing a clear picture of the government's tax policy choices and their financial implications. By publishing this information, governments promote greater transparency, allowing policymakers, legislators, and the public to better understand the costs of tax exemptions and concessions and how they affect overall fiscal health. It also helps in assessing the effectiveness of these tax incentives in achieving their intended economic and social objectives.

02

SCOPE & METHODOLOGY

2.1. Scope of Tax Expenditure Estimates

The tax expenditure estimates presented in this report focus on Income Tax, Sales Tax, and Customs Duty, based on data for Fiscal Year 2023–24. However, it is important to note that Federal Excise Duty (FED), which is applied to a specific set of products and services, does not fall under the definition of tax expenditure. Unlike general taxes, which include exemptions, exclusions, credits, and allowances, FED is a targeted levy. As such, it is not designed with broad-based concessions or preferential treatments. Therefore, FED is not considered part of the tax expenditure framework in this report.

2.2. Methodology for Estimating Tax Expenditure: Revenue Forgone Approach

One of the most widely used methods for estimating tax expenditure is the "Revenue Forgone" approach. This method calculates the revenue loss incurred due to specific provisions, such as exemptions or reduced tax rates, that diverge from the standard statutory tax rates. In essence, the difference between the tax liability that would normally be owed under the statutory rates and the actual tax paid represents the tax revenue foregone, or the tax expenditure.

This report adopts the Revenue Forgone Approach to estimate tax expenditures. To provide a comprehensive analysis and facilitate comparison, nominal values of key macroeconomic indicators, such as GDP, Large-Scale Manufacturing (LSM) growth, and other relevant economic data, are used throughout the analysis.

2.3. Tax Benchmarks Defined by Key Tax Laws

The primary tax laws in Pakistan, such as the Income Tax Ordinance (ITO), 2001, the Sales Tax Act, 1990, and the Customs Act, 1969, establish a set of clear benchmarks for each type of tax. These benchmark systems serve as the foundation for defining the standard tax structure for income, sales, and customs duties. Below, the benchmark systems for each of these taxes are outlined in greater detail:

2.3.1. Benchmark for Estimating Income Tax Expenditure

The benchmark for estimating income tax expenditure is based on a set of specific criteria and features, which are outlined as follows:

2.3.1.1. Unit of Taxation for Income Tax

The unit of taxation under the Income Tax Ordinance (ITO), 2001 is the "person". As defined in the ITO-2001, the term "person" encompasses a wide range of entities, including individuals, companies, Association of Persons (AOPs), and other legal entities, all of which are subject to income tax according to their respective taxable income.

Key Definitions Under Income Tax Ordinance (ITO), 2001

a. **Taxable Income**

As defined in **Section 9** of the **Income Tax Ordinance (ITO), 2001**, **taxable income** includes various sources of income, such as:

- **Salary**
- **Income from property**
- **Income from business**
- **Capital gains**
- **Income from other sources**

These categories collectively form the basis for determining the amount of income that is subject to tax under the law.

b. **Resident Person**

A **resident person** is defined as any individual or entity that is physically present in **Pakistan** for a period totaling **183 days or more** within a **tax year** (which runs from **July 1st to June 30th**), regardless of the individual's nationality. A resident person is liable to pay **tax on their worldwide income** in Pakistan, whereas a **non-resident person** is only liable to tax on **income derived from sources within Pakistan**.

c. **Foreign Tax Credit**

To prevent **double taxation** on income earned abroad, a **foreign tax credit** is allowed under the provisions of the ITO-2001. This means that taxes paid to foreign governments on income

generated outside Pakistan can be credited against the tax liability in Pakistan. However, if no foreign tax is paid on income earned abroad, that income is considered **taxable in Pakistan**, as per **Section 103** of the ITO-2001.

2.3.1.2. Taxation Period

a. **Tax Year**

As defined under **Clause 2(68)** of the **Income Tax Ordinance (ITO), 2001**, the term **"Tax Year"** refers to the **financial year**, which begins on **1st July** and ends on **30th June** of the following year. Income is assessed and taxed on an **accrual basis**, meaning it is taxed in the year it is earned, regardless of when it is actually received.

b. **Applicable Tax Year for This Report**

For the purpose of estimating **Income Tax Expenditure** in this report, the relevant tax year considered is **2023–24**.

2.3.1.3. Benchmark Tax Rates for Estimating Income Tax Expenditure

a. **Standard Benchmark Rates (Schedule-1)**

For the purpose of estimating income tax expenditure, the **benchmark tax rates** are those prescribed in **Schedule-1** of the **Income Tax Ordinance (ITO), 2001**. These rates are treated as the standard for comparison. Any **concessions or variations within Schedule-1** itself are **not treated as deviations** from the benchmark and are therefore not considered tax expenditures.

b. **Special Benchmark Rates and Exemption Comparisons**

- For **entities declaring losses**, the **minimum tax rate** of **1.25%** is applied, in accordance with **Section 113** of the ITO, 2001.
- For **individual taxpayers**, applicable rates are listed in Schedule-1.
- **Exemptions on export income** are evaluated against a benchmark tax rate of **1%**.

c. **Corporate Benchmark Rates**

- A benchmark rate of **39%** is applied for **banking companies**.

- For all other **non-banking companies**, including **small and medium enterprises (SMEs)** and other incorporated entities, an **average corporate tax rate of 24.5%** is used as the benchmark.

2.3.1.4. Treatment of Procedural Clauses for Estimating Tax Expenditure

Certain provisions in the **Income Tax Ordinance (ITO), 2001**—referred to as **procedural clauses**—offer exemptions from **withholding tax requirements** for specific categories of taxpayers or transactions. These exemptions are typically granted in cases where an **alternative mechanism** already exists within the tax structure to ensure that the **tax liability is ultimately fulfilled**.

An illustrative example is found in **Clause 36A of Part IV of the Second Schedule** to the ITO, 2001, which exempts **withholding tax on profit received from Behbood Savings Certificates** issued by the National Savings Center. This provision, intended to **facilitate senior citizens**, does not result in a loss of tax revenue because the tax on this income is still **payable at the time of filing the income tax return**. Therefore, such clauses are considered a matter of **timing** (i.e., **deferred tax payment**) rather than revenue loss, and are **not treated as tax expenditures**.

Data Limitations and Estimation Challenges

However, the report acknowledges a key limitation: the **lack of detailed and verifiable data** in some cases makes it difficult to confirm whether the deferred tax was actually collected at a later stage. As a result, where sufficient evidence is **not available to establish eventual recovery**, the **tax foregone** under such procedural clauses is **included** in the overall **tax expenditure estimates**.

Common examples where this occurs include exemptions and concessions related to:

- **Minimum withholding tax**
- **Withholding on profit on debt**
- **Withholding on imports**, among others

These are governed by various provisions in **Part IV of the Second Schedule** to the ITO, 2001.

To maintain transparency, a list of **procedural clauses** that were **not treated as tax expenditures** due to their deferred nature and eventual tax collection has been provided in **Appendix D** of this report.

2.3.1.5. Exclusions from Tax Expenditure Estimation

Certain **concessions and exemptions** are considered **structural exclusions** from the tax base or are granted in fulfillment of **international obligations**. These are **not treated as deviations from the benchmark tax system** and, consequently, are **excluded from the computation of tax expenditure** in this report.

Examples of such exclusions include:

- The **minimum income threshold**, below which individuals are not subject to tax
- **Exemptions on inter-corporate dividends**, aimed at avoiding double taxation within corporate groups
- **Agricultural income**, which falls outside the scope of federal income taxation as per the Constitution of Pakistan
- **Concessions granted to diplomats and foreign missions**
- **Tax exemptions for United Nations agencies and other international organizations**
- **Expenditures resulting from Free Trade Agreements (FTAs)**, **Preferential Trade Agreements (PTAs)**, and other **bilateral or multilateral treaties**

These exclusions are regarded as part of the **structural design of the tax system** or are **mandated by international commitments**, and therefore do not qualify as tax expenditures.

A comprehensive list of all such **clauses, sections, and statutory references** excluded from tax expenditure estimation is provided in **Appendix C** of this report.

2.3.1.6. Tax Expenditure Under Subordinate Legislation

Subordinate legislation, including policy directives issued in the form of **Statutory Regulatory Orders (SROs)**, plays a significant role in implementing targeted tax concessions aimed at promoting specific sectors of the economy. These **SROs**, issued during the course of a financial year, provide legal backing for various **sector-specific incentives** and **tax relief measures**.

In this report, all **tax expenditures** arising from such **subordinate legislation** have been **duly included** in the overall estimation. This ensures a **comprehensive accounting** of the revenue foregone through both primary legislation and delegated policy instruments.

2.3.1.7. Entitlement under Multiple Provisions

During the estimation process, when it is identified that a taxpayer or a specific category of taxpayers qualifies for exemptions under more than one statutory provision, the benefit has been accounted for under a single applicable provision. This approach is intended to prevent double-counting or duplication of exemptions, thereby ensuring the accuracy and integrity of the estimation.

2.3.1.8. Income of Federal, Provincial or Local Government under section 49 of ITO, 2001

Section 49 pertains to income tax exemptions granted to the Federal Government, Provincial Governments, and local governments, as well as all public sector entities that possess a Federal Tax Number (FTN). This provision ensures that these government bodies and associated public sector organizations are not subject to income tax on their earnings, recognizing their role in public administration and service delivery.

2.3.2. Benchmark for Sales Tax Expenditure

The benchmark for Sales Tax, as outlined within the context of this report, possesses the following defining characteristics:

2.3.2.1. Unit of Taxation

Generally, the Sales Tax (ST) is ultimately paid by the final consumers of goods and services. The data for Sales Tax is gathered from the sales and purchase transactions reported by various entities such as manufacturers, importers, wholesalers, distributors, and retailers. These businesses file their Sales Tax returns on a monthly, quarterly, or annual basis, depending on their specific reporting requirements. This comprehensive data collection helps in monitoring and assessing the tax obligations across different stages of the supply chain.

2.3.2.2. Taxation Period

For the purposes of calculating Sales Tax Expenditure, the relevant period is the fiscal year 2023-24. This time frame is used to assess and report the associated tax liabilities and expenditures within the specified year.

2.3.2.3. Tax Base

The benchmark tax base for Sales Tax (ST) follows the "destination principle," meaning that tax is applied at the point of consumption within Pakistan. Sales Tax is levied on goods and services consumed within Pakistan, but not on exports.

In accordance with the 18th Constitutional Amendment, Sales Tax on services is now a provincial matter, with each province having the authority to levy tax on services within its jurisdiction. However, the Islamabad Capital Territory (ICT) is not part of any province, which means that the Sales Tax on services within the ICT falls under the jurisdiction of the Federal Government, alongside the Sales Tax on goods consumed throughout the country. Therefore, for the purposes of this report, the base for calculating Sales Tax Expenditure includes Sales Tax on goods consumed across Pakistan and services within the Islamabad Capital Territory.

It is important to note that tax expenditure related to services in the Islamabad Capital Territory has not been computed in this report. This is due to the unique structure of the "Islamabad Capital Territory (Tax on Services) Ordinance 2001," which lacks specific provisions regarding exemptions, credits, or concessions. The ordinance primarily establishes minimum thresholds, and the tax rates mentioned in it are standard, benchmark rates that are applied uniformly.

2.3.2.4. Tax Rate

The benchmark rate structure for Sales Tax is based on the standard rate outlined in the Sales Tax Act of 1990 (STA 1990). For the period being analyzed, the standard Sales Tax rate was set at 18%. This rate applies to most goods and services unless specified otherwise under certain exemptions or provisions within the Act.

2.3.3. Benchmark for Customs Duties

a. The statutory rates for Customs Duty (CD), Regulatory Duty (RD), and Additional Customs Duty (ACD) have been established as the benchmark rates for this analysis. It is important to note that customs-related exemptions and concessions are typically subject-specific, varying based on the nature of the goods or services involved.

b. In the calculation process, any deviations from the statutory rates have been classified as exemptions or concessions. These deviations represent instances where the effective duty rate is different from the benchmark, indicating preferential treatment or special provisions.

c. For the purpose of calculating Customs Expenditure, the period under consideration is the fiscal year 2023-24. This timeframe has been selected to assess the relevant customs duties and their impact on government revenue and expenditures.

d. Regulatory duties and Additional Customs Duties imposed through Statutory Regulatory Orders (SROs) were temporary measures introduced primarily to curb imports and address the worsening current account balance. Despite their temporary nature, exemptions granted under these duties are treated as deviations from the benchmark rates for the purposes of this report.

2.4. Measurement of Overall Tax Expenditure

The measurement of total Tax Expenditure for each individual tax type is outlined and discussed in detail below. This section provides a breakdown of how tax expenditure is assessed and calculated for each category of tax, offering insights into the specific methodologies used.

2.4.1. Measurement of Income Tax Expenditure

Income tax expenditure has been calculated by utilizing data from Income Tax Returns. In cases where certain data was not available in the Federal Board of Revenue (FBR) databases, this missing information was obtained directly from the relevant entities or third-party sources.

To compute the normal income tax, the tax rates defined in the Finance Act 2023 are applied to the declared income. The total amount of income tax collected by the FBR is then subtracted from the calculated normal income tax to determine the income tax expenditure incurred during the specified fiscal year.

The provisions related to tax expenditure are primarily sourced from Part VII, IX, and X of Chapter III of the Income Tax Ordinance (ITO) 2001, as well as Parts I, II, III, and IV of the Second Schedule of the same ordinance. These sections outline various exemptions and concessions granted to individuals, associations of persons, companies, and other taxable entities, as defined under the ITO.

For entities that declare a loss, the minimum tax rate is set at 1.25%. Tax rates for individuals are applied according to the relevant income slabs outlined in the First Schedule of the ITO, 2001. For corporate entities, the benchmark tax rate is 39% for banking companies, while an

average rate of 24.5% is applied to small and medium enterprises (SMEs) and other companies. When calculating tax expenditure related to reduced rate exemptions, the difference between the tax amounts calculated using the statutory tax rate and the reduced or exempted rate is considered as tax expenditure for each item.

2.4.2. Measurement of Sales Tax Expenditure

To estimate the Sales Tax expenditure for the fiscal year 2023-24, the Federal Board of Revenue (FBR) sales tax returns database has been utilized. The standard Sales Tax rate of 18% is applied for calculating the tax expenditure. The difference between the actual Sales Tax paid and the tax liability based on the 18% rate is considered as the revenue foregone due to Sales Tax exemptions or concessions.

In the case of certain luxury items, a higher Sales Tax rate of 25% was applied during FY2023-24. However, this increased rate results in a negative Sales Tax expenditure, as it exceeds the benchmark tax liability. Negative Sales Tax expenditure, which reflects an over-collection of tax due to higher rates, is not included or accounted for in this report.

2.4.2.1. Measurement methodology under different types of Sales Tax concessions

a. Zero Rating

Zero rating means that Sales Tax is applied at a rate of zero percent on specific items. According to Section 4 and the Fifth Schedule of the Sales Tax Act (STA) 1990, zero-rated provisions are outlined. Zero rating typically applies to goods that are outside the scope of Sales Tax by definition, such as exports, or to items that the government may designate for zero-rating in response to special circumstances, including national security, natural disasters, food security, or other urgent situations.

In addition, items required for fulfilling bilateral and multilateral agreements may also be subject to zero-rated tax. The impact of zero rating is significant when measuring Sales Tax expenditure, as it affects the Sales Tax paid throughout the entire value chain. When a final product is sold at a zero-rated tax, the seller is allowed to claim the input tax, which means the tax expenditure in these cases is calculated as the total Sales Tax that would have been payable on the final product's sale price, had it not been zero-rated.

b. Exemptions

Exempt items under the Sales Tax Act (STA) 1990 are addressed in Section 13 and the Sixth Schedule. These exemptions may apply to the local supply of goods or the import of goods. Similar to zero-rating, exemptions from Sales Tax are granted by the Federal Government in specific circumstances, such as national security, natural disasters, national food security during emergencies, or for the implementation of bilateral and multilateral agreements, typically through notifications in the official Gazette.

Exemptions can apply to both locally supplied items and imported goods, and these exemptions may cover all or specific parts of the tax liabilities under the STA 1990. However, the treatment of input tax for exempt items differs from that of zero-rated items, and as a result, the calculation of tax expenditure for exempt items follows a different methodology. Unlike zero-rated items, input tax paid on exempt items cannot be adjusted by the seller against the output tax. Therefore, the government forgoes only the net output tax on exempt items.

To calculate tax expenditure for exempt items, a notional adjustment is made based on the tax calculated on the final sale price. For local supplies of exempt items, this adjustment is typically made at a rate of 30%, in line with past practices. For imports of exempt items, since no input tax is paid, no such adjustment is necessary. Instead, the Sales Tax expenditure is directly calculated by taking the import value of the item.

c. Reduced Rates

Under Section 3(2)(b) of the Sales Tax Act (STA) 1990, the Federal Government has the authority to declare that Sales Tax on certain taxable goods shall be charged, collected, and paid in a manner specified by the government, at a higher or lower rate as deemed necessary. When reduced rates are applied, the calculation of Sales Tax expenditure is based on the difference between the Sales Tax that would have been collected at the benchmark rate and the actual amount of Sales Tax received under the reduced rate. This difference represents the foregone revenue, which is considered as the Sales Tax expenditure.

d. Exclusions from levy of minimum value addition sales tax under 12th Schedule to STA 1990

The 12th Schedule to the Sales Tax Act (STA) 1990 outlines specific exclusions from the

imposition of the 3% minimum value-added Sales Tax on commercial imports. For these excluded items, the Sales Tax expenditure is calculated by applying the 3% rate to the value of the imports. The resulting amount represents the revenue foregone by the government due to the exclusion from the Sales Tax levy.

2.4.3. Measurement of Tax Expenditure in Customs Duty

The data used for estimating Customs expenditure is sourced from the official database of the Federal Board of Revenue (FBR). The estimates were calculated based on the statutory duty rates, utilizing the revenue foregone approach. In these calculations, any deviation from the statutory rates is treated as a concession or exemption.

The classification of the total customs duty expenditure estimates is based on figures provided under Chapter-99, Free Trade Agreements (FTAs) and Preferential Trade Agreements (PTAs), the Fifth Schedule of the Customs Act 1969, as well as general concessions. These general concessions include exemptions granted under various Statutory Regulatory Orders (SROs) to sectors such as the automobile industry, exploration and production (E&P) sector, the China-Pakistan Economic Corridor (CPEC), and export-oriented industries.

2.5. Interpretation framework

The estimates presented in this report should be understood within a specific framework. Several factors and challenges are involved in the estimation of tax expenditures, and these should be carefully considered when interpreting the expenditure figures. Understanding these issues is crucial for accurately assessing the estimates and their implications.

2.5.1. Behavioral responses

The Tax Expenditure estimates presented in this report do not account for any potential behavioral responses from taxpayers. A key assumption in the revenue foregone approach is that taxpayers will not alter their behavior in reaction to tax expenditures. However, in reality, taxpayers' behavior is often responsive and can change if an incentive is introduced or removed. Therefore, these estimates do not reflect any additional revenue that might be generated as a result of such behavioral changes.

2.5.2. Impact on economic activity

Eliminating a tax expenditure measure may not directly translate into the estimated revenue in the real world, as the relationship between tax expenditure and its cost estimate is often more "dynamic" than a simple, linear conversion into revenue. Removing a tax expenditure measure can have broader economic implications, particularly on the size of industries and the overall level of economic activity. In practice, people and businesses tend to take advantage of any discounts or exemptions offered to them. The withdrawal of a tax incentive in a particular industry might lead businesses to exit that sector or shift their operations to industries with more favorable tax conditions, ultimately resulting in a decline in revenue.

Additionally, the elimination of a specific tax expenditure could impact consumption levels, particularly if the good or service in question has "price-elastic demand." If the removal of tax relief increases the price of a good or service, consumers may reduce their consumption, leading to lower revenue collection than initially expected. In this way, the actual revenue outcome could be contrary to the anticipated increase, highlighting the complex and often unintended consequences of changing tax policies.

2.5.3. Individual Estimates Vs. Aggregate Tax Expenditure

The revenue foregone due to tax expenditures can be estimated either independently for each specific tax expenditure provision, assuming that all other tax provisions remain unchanged, or by a more comprehensive approach. Estimating each provision separately may lead to biased or misleading results, as many tax expenditure provisions are procedural in nature. In such cases, the tax revenue foregone under these provisions is often recouped at a later stage under different tax provisions.

Alternatively, tax expenditure can be calculated by excluding the amounts associated with procedural clauses, ensuring that only the true tax revenue foregone—resulting from provisions that directly impact tax collection—is accounted for. This method provides a more accurate representation of the actual cost of tax expenditures.

2.5.4. Compensation of tax expenditure through alternative levies

Tax expenditures may not fully reflect the actual revenue foregone by the government as a

result of policy measures implemented through various tax laws. Governments have a range of tools and methods for collecting tax revenues and granting concessions. The revenue lost under a particular tax regime may not represent a complete loss, as the government could offset this shortfall through other forms of levies that may not fall strictly under the categories of tax or customs duty. Examples of such alternative revenue collection methods include development levies, surcharges, cesses, and other similar charges.

03

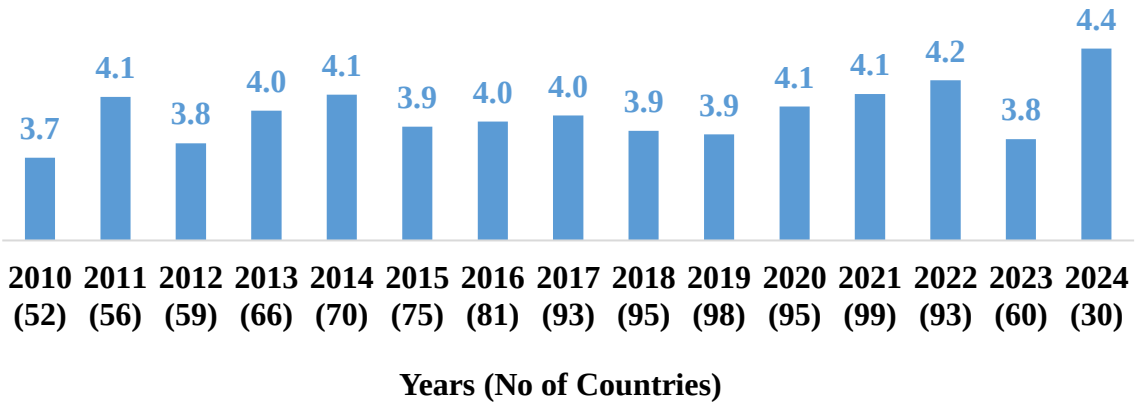
INTERNATIONAL EVIDENCE ON TAX EXPENDITURE

3.1. Global Average Revenue Foregone

Tax concessions serve as policy tools employed by governments for various socio-economic objectives. There is considerable variation in the scale of tax concessions provided by different countries. Typically, developed nations tend to allocate a larger percentage of their GDP towards tax expenditures compared to less developed countries.

According to the "Global Tax Expenditure Database," the data spanning from 2010 to 2024 (Figure 1) shows that the average global tax expenditure ranged between 3.7% and 4.4% of GDP. The global average for this period is 4.0%, indicating a consistent level of tax expenditure across different economies.

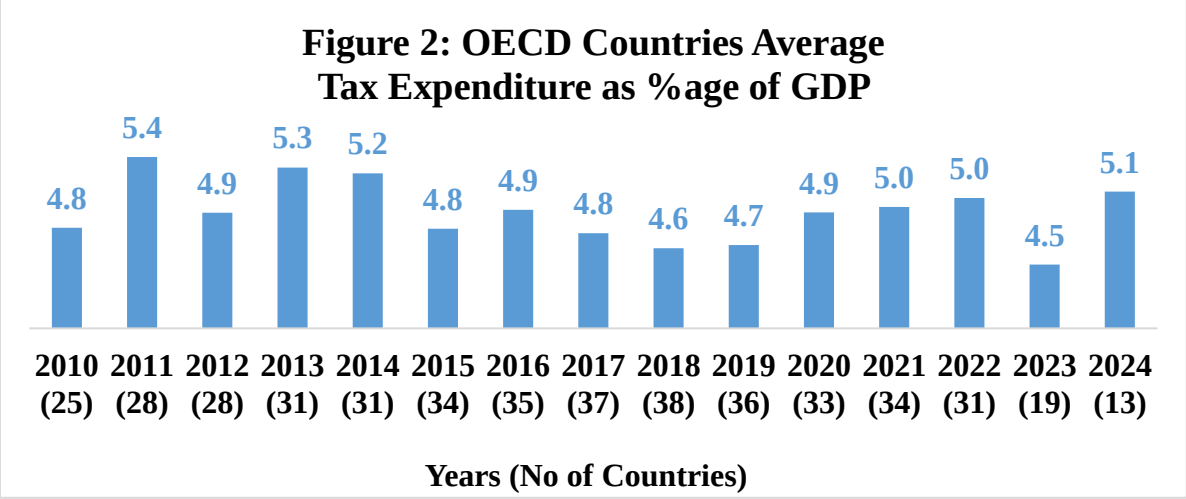
Figure 1: Global Average Tax Expenditure as percentage of GDP



Source: Global Tax Expenditure Database available at https://gted.taxexpenditures.org/

3.2. OECD Countries

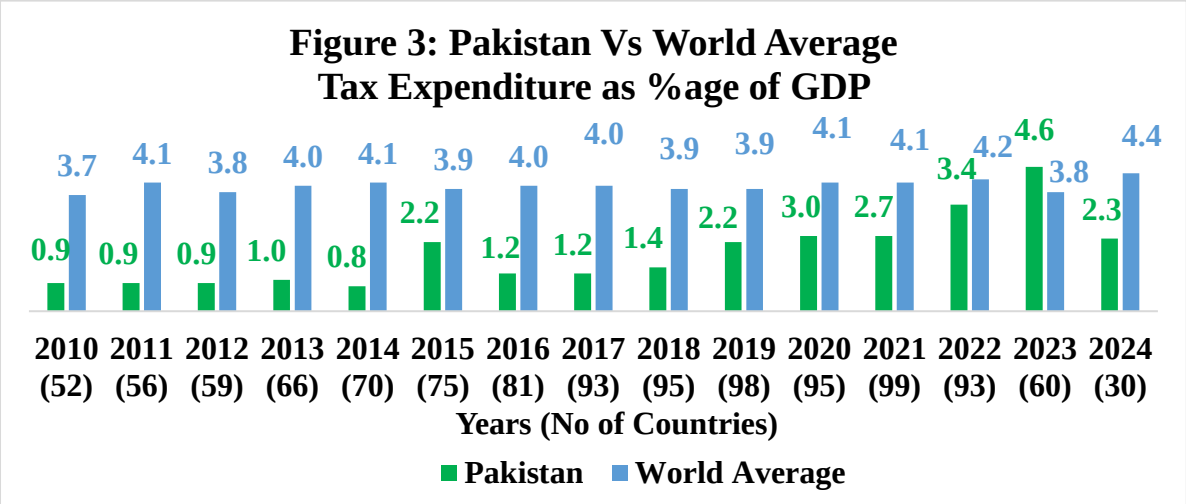
The tax expenditure estimates for OECD countries from 2010 to 2024 ranged between 4.5% and 5.4% of GDP. The average tax expenditure rate over this 15-year period stands at 4.9% (Figure 2).



Source: Global Tax Expenditure Database available at https://gted.taxexpenditures.org/

3.3. Pakistan's Position

The tax expenditure estimates for Pakistan, as a percentage of GDP, are lower when compared to global averages (Figure 3). Over a 15-year period, Pakistan's tax expenditure remained at 2.1% of GDP, which is significantly lower than the global average of 4.0%.



Source: Global Tax Expenditure Database available at https://gted.taxexpenditures.org/

04

TAX EXPENDITURE ESTIMATES

The total Tax Expenditure estimate for FY 2023-24 is Rs. 2,434.73 billion, which accounts for 2.32% of the GDP and 26.18% of the total tax collection by the Federal Board of Revenue (FBR) during this period. A detailed breakdown of each tax category is provided in Table 1 below. Among the various taxes, the Tax Expenditure for Sales Tax was the highest, amounting to Rs. 1,237.11 billion, followed by Customs Duty at Rs. 652.39 billion, and Income Tax at Rs. 545.23 billion.

Table 1: Summary of Tax Expenditure Estimates FY2023-24 (Rs. Billion)

Tax Expenditure				Tax Expenditure as % of		
				GDP (105,143 billion)	FBR's Collection (9,299.08 billion)	Overall Tax Expenditure
Tax Heads	FY 2023-24	FY 2022-23	Increase/ Decrease (%)	FY2023-24		
Income Tax	545.23	476.96	14.31	0.52	5.86	22.39
Sales Tax	1,237.11	1,519.98	-18.61	1.18	13.30	50.81
Customs Duty	652.39	543.52	20.03	0.62	7.02	26.80
Overall Tax Expenditures	**2,434.73**	**2,540.46**	**-4.16**	**2.32**	**26.18**	**100.00**

- **GDP of FY 2023-24 Rs. 105,143 billion**
- **FBR Collection of FY 2023-24 Rs. 9,299.08 billion**

In FY 2023-24, the proportion of total tax expenditure attributable to Sales Tax has decreased, while the share of Income Tax and Customs Duty expenditure has risen.

4.1. Income Tax Expenditure

The Income Tax Expenditure for FY 2023-24 is estimated at Rs. 545.229 billion (Table 2). This expenditure includes various forms of tax concessions, such as allowances, credits, exemptions, reduced rates, and exclusions. In FY 2023-24, Income Tax expenditure accounted for 22.39% of the total tax expenditure. When measured as a percentage of GDP, Income Tax expenditures decrease from 0.57% in FY 2022 to 0.52% in FY 2023-24.

Table 2: Income Tax Expenditure Summary (Rs. Million)

S. No.	Exemption Heads	Tax Expenditure		Increase / Decrease		Headwise Shares (%)
		FY 2023-24	FY 2022-23	Absolute Difference	(%)	FY 2023-24
1	Exemptions Under Part VII of Chapter III	0.0	57,517.0	-57,517.0	-100.0	0.0
2	Deductible Allowances	70.6	5,912.0	-5,841.4	-98.8	0.0
3	Tax Credits	78,612.9	24,374.0	54,238.9	222.5	14.4
4	Exemption from Total Income	443,445.2	293,460.0	149,985.2	51.1	81.3
5	Reduction in Tax Rates	3,459.3	25,492.0	-22,032.7	-86.4	0.6
6	Reduction in Tax Liability	19,641.6	4,270.0	15,371.6	360.0	3.6
7	Exemption from Specific Provisions	0.0	62,756.0	-62,756.0	-100.0	0.0
8	SROs Related Exemptions	0.0	3,179.0	-3,179.0	-100.0	0.0
Total Income Tax Expenditure		**545,229.6**	**476,960.0**	**68,269.6**	**14.3**	**100.0**

4.1.1. Major beneficiary sectors under Income Tax Expenditure

The major beneficiaries of Income tax expenditure are given below:

Table 3: Major beneficiary sectors Income Tax Expenditure

(Rs. Million)

S. No.	Sector	Tax Expenditure
1	Pension Sector	157,245.81
2	Social Security Sector	151,954.21
3	Energy & Mining Sector	103,478.54
4	Financial Sector	82,047.83
5	Education Sector	16,998.95
6	Donations / Charities	9,088.85
7	Tribal Sector	7,956.04
8	Information Technology Sector	5,862.34
9	Salary Sector	5,232.21
10	Health / Pharma Sector	3,490.70
11	Others	1,874.12
Sub-Total		**545,229.60**

4.2. Sales Tax Expenditure

The Sales Tax Expenditure for FY 2023-24 is estimated at Rs. 1,237.11 billion (Table 4), reflecting a decrease of 18.61% compared to FY 2022-23. This expenditure represents 1.18% of GDP in FY 2023-24. Furthermore, Sales Tax expenditure constitutes the largest portion of the total tax expenditure, accounting for 50.81%.

Table 4: Sales Tax Expenditure Summary (Rs. Million)

Exemption Heads	Tax Expenditure		Increase/ Decrease		Shares (%)
	FY2023-24	FY2022-23	Abs	(%)	FY2023-24
Fifth Schedule (Zero Rating)	81,108	206,053	-124,945	-60.64	6.56
Sixth Schedule (Local supplies)	330,545	461,094	-130,549	-28.31	26.72
Sixth Schedule (Imports)	372,525	214,678	157,847	73.53	30.11
Eighth Schedule (Reduced Rates)	374,110	357,997	16,113	4.50	30.24
Ninth Schedule (Cellular Mobile Phones)	1,325	33,057	-31,732	-95.99	0.11
Twelfth Schedule (Additional Tax)	48,943	208,066	-159,124	-76.48	3.96
SROs (Local supplies)	0	8,753	-8,753	-100.00	0.00
SROs (Import)	0	5,126	-5,126	-100.00	0.00
Various Sections (Zero Rating)	28,550	25,159	3,391	13.48	2.31
Total Sales Tax Expenditure	**1,237,106**	**1,519,984**	**-282,878**	**-18.61**	**100.00**

In FY 2022-23 figure of Sales Tax Expenditure included sales tax exemption on POL products on which Petroleum Development Levy (PDL) is being charged. In presence of PDL, Sales Tax is not levied as consumers are, in any case, paying PDL, hence there is no exemption.

Rs in Million

FY	2023-24	2022-23
Gross Sales Tax Expenditure	3,032.871	2,858.722
Less sales tax on POL Products @18% not levied due to PDL	(1,795.765)	(1,338.738)
Net Sales Tax Expenditure	1,237.106	1,519.984

4.2.1. Major beneficiaries of Sales Tax Expenditure

The total Sales Tax expenditure amounts to Rs. 1,237.11 billion, of which the major beneficiaries are given below:

Table 5: Major beneficiaries of Sales Tax Expenditure

(Rs. Million)

S. No.	Intended Beneficiary	Tax Expenditure 2023-24
1	Fertilizer / Agriculture	457,927.48
2	Health / Medical	313,664.28
3	Food	209,657.47
4	Manufacturing	102,884.86
5	Foreign Mission	61,224.91
6	Energy	53,680.02
7	Stationary	22,905.50
8	Tribal	7,920.95
9	Gwadar / EPZ	4,832.05
10	Others	2,408.37
Total		**1,237,105.88**

4.3. Customs Duty Expenditure

The Customs Duty Expenditure for FY 2023-24 is estimated at Rs. 652.39 billion (Table 6). These customs duty concessions primarily take the form of reduced rates, zero rates, and exemptions granted to specific sectors or items. These concessions are broadly distributed across categories such as plant machinery, equipment, chemicals, parts, and renewable energy equipment, among others. A detailed breakdown of the category-wise share of Customs Duty expenditure is provided in Table 6.

Table 6: Customs Duty Expenditure Summary (Rs. Million)

Exemption Heads	Tax Expenditure		Increase/ Decrease		Head wise Shares (%)
	FY 2023-24	FY 2022-23	Abs	(%)	FY2023-24
Chapter – 99	33,481	34,864	-1,382	-3.97	5.13
FTA & PTA	60,973	44,107	16,866	38.24	9.35
Fifth Schedule	379,746	190,688	189,058	99.14	58.21
General Concessions: Automobile sector, E&Ps, CPEC, etc.	133,236	146,598	-13,362	-9.11	20.42
Exports	44,954	127,264	-82,310	-64.68	6.89
Total Customs Expenditure	**652,390**	**543,521**	**108,869**	**20.03**	**100.00**

Customs Duty expenditure represents 0.62% of GDP in FY 2023-24, contributing 26.80% to the total tax expenditure.

4.3.1. Major Beneficiaries Customs Duty Expenditures

The total Customs Duty expenditure for the top 10 categories amounts to Rs. 566,095.87 million, which represents 87.73% of the overall Customs Duty expenditure.

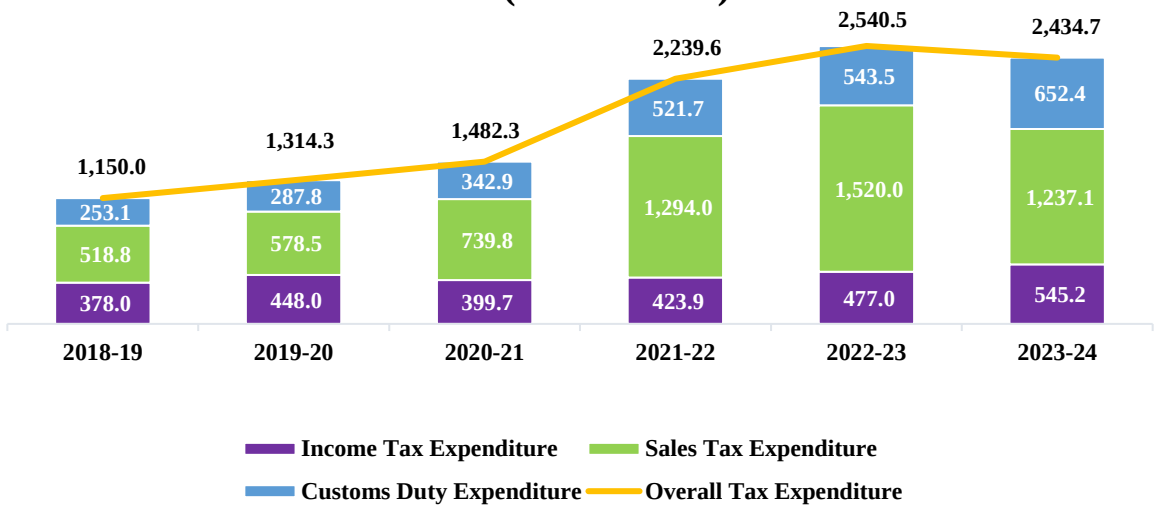
Table 7: Major Beneficiaries Customs Duty Expenditures

(Rs. Million)

S. No.	Exemption Order	Intended Beneficiary	Tax Expenditure
1	5th Schedule (Customs Duty) Part III	Poultry, Textile sectors & Misc.	161,700.38
2	5th Schedule (Customs Duty) Part VII	Essential edible items like pulses, potato etc. Oil and Oil products, Inputs of export sectors etc.	124,003.12
3	656(I)/2006	OEMs of automotive sector	72,243.01
4	1640(I)/2019	FTA: General exemption on import from China under Pak-China FTA	47,166.69
5	5th Schedule (Customs Duty) Part I	Import of Plant, Machinery, equipment and apparatus, including Capital Goods for various industries/sectors	39,334.98
6	655(I)/2006	Vendors of automotive sector	37,205.20
7	5th Schedule (Customs Duty) Part II	Import of Active pharmaceutical Ingredients by pharma sector	32,993.77
8	SRO.450(I)/2001	EPZ	23,780.58
9	SRO.492(I)/2009	Temporary Import	17,564.46
10	499(I)/2013	Auto Sector: General concession for import of Hybrid Electric Vehicles	10,103.68
Total			**566,095.87**

4.4. Analysis of Six Yearly Trend - FY 2018-19 to FY 2023-24

Figure 10: Annual Trend of Tax Expenditure Estimates (Rs in Billion)



An analysis of the six-year trend in tax expenditures across Income Tax, Sales Tax, and Customs Duty regimes reveals varying patterns. The trends for each individual tax type over the six-year period are illustrated in Figures 11, 12, and 13 below:

Figure 11: Income Tax Expenditure
(Rs. In Billion)

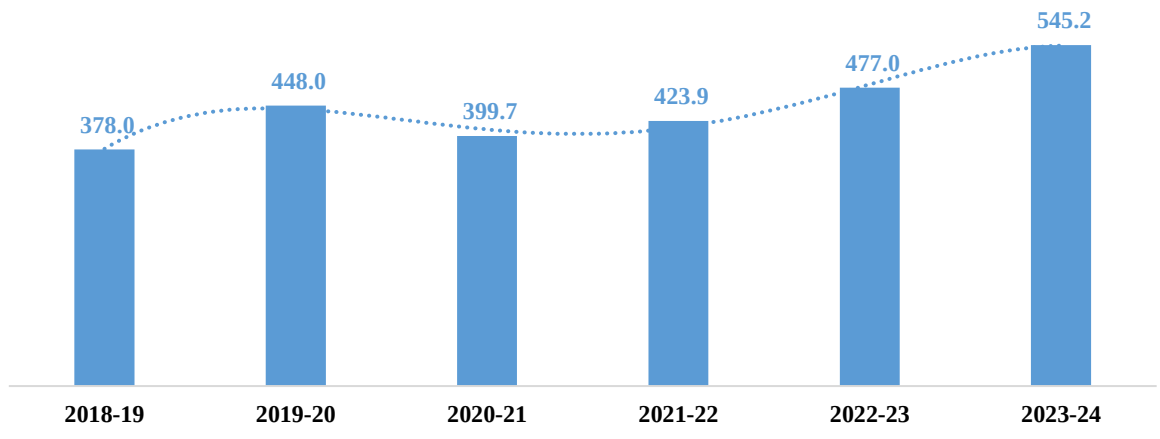


Figure 12: Sales Tax Expenditure
(Rs. In Billion)

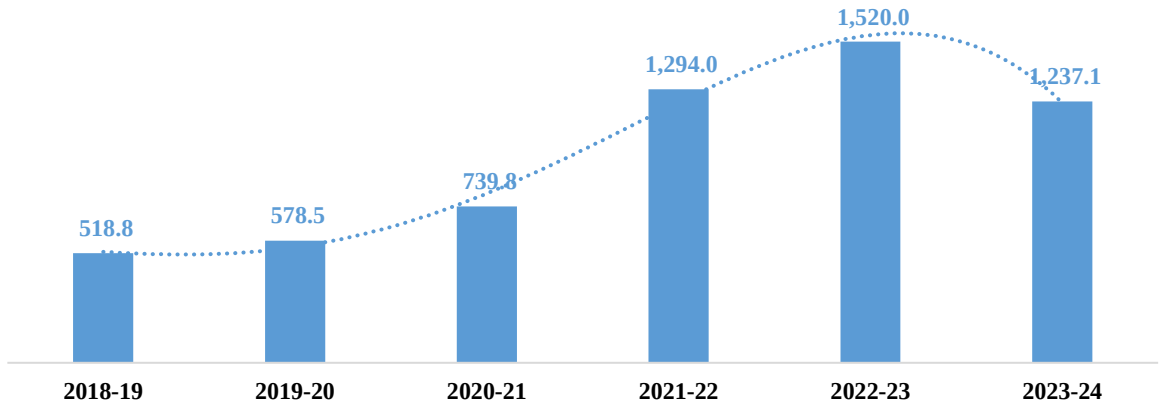
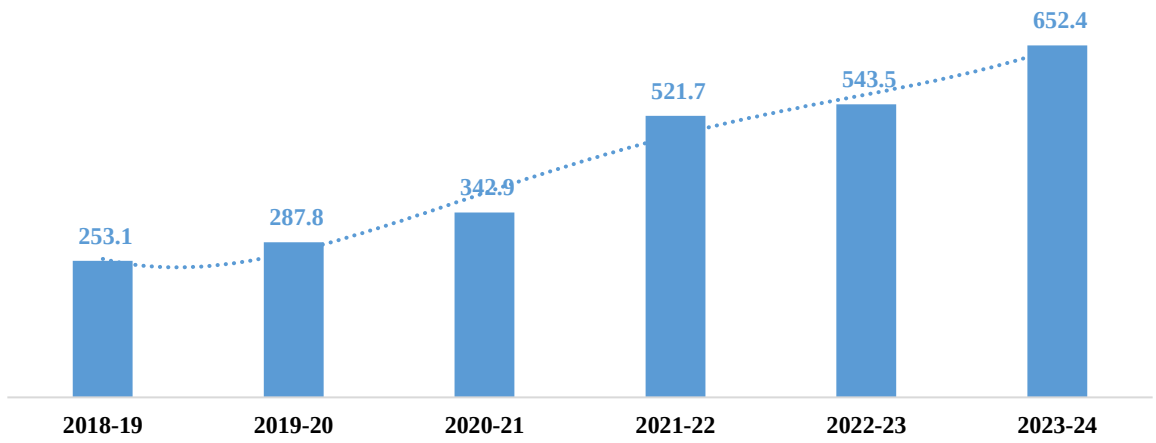


Figure 13: Customs Duty Expenditure
(Rs. In Billion)

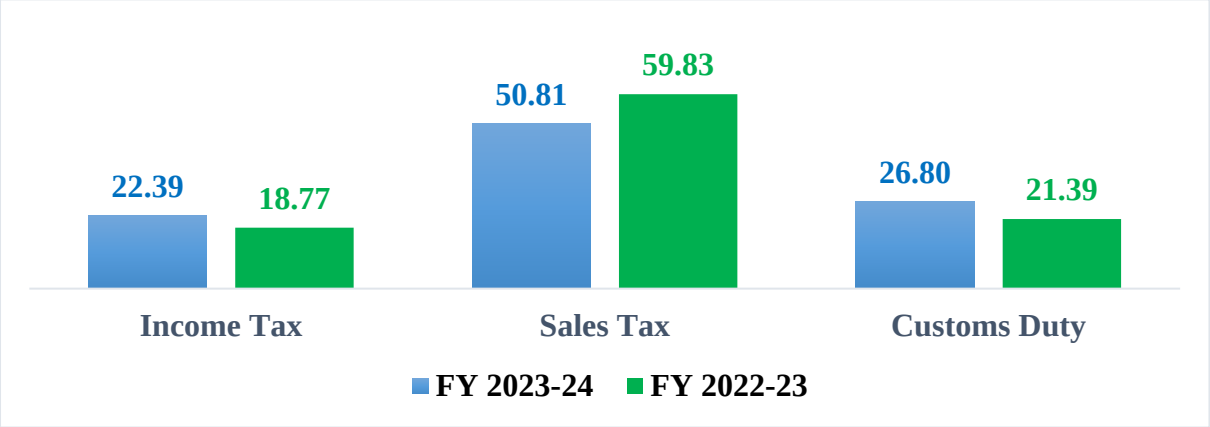


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APPENDIX

5.1. Appendix A: Details of Tax Expenditure

Figure 14: Distribution of Tax Expenditure of Federal Taxes (Share%)



5.1.1. Details of Income Tax Expenditure

5.1.1.1. Exemptions Under Part VII of Chapter III (ITO, 2001)

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Section 41 of ITO-2001	Agricultural income	Agriculture sector	Provincial Subject	Provincial Subject
2	Section 49 of ITO-2001	The income of the Federal Government shall be exempt from tax under this Ordinance. The income of a Provincial Government or a Local Government is exempt, other than income chargeable under the head "Income from Business" derived by a Provincial Government or Local Government from a business carried on outside its jurisdictional area.	Government organizations	0.00[2]	57,517.31

[2] Income of Federal Government is not subject to income tax.

		* Exemption under this section is not available in the case of corporation, company, a regulatory authority, a development authority, other body or institution established by or under a Federal law or a Provincial law or an existing law or a corporation, company, a regulatory authority, a development authority or other body or institution set up, owned and controlled, either directly or indirectly, by the Federal Government or a Provincial Government, regardless of the ultimate destination of such income as laid down in Article 165A of the Constitution of the Islamic Republic of Pakistan			
Total Tax Expenditure from Others				**0.00**	**57,517.31**

5.1.1.2. Deductible Allowances

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	60	Deductible allowance for Zakat	Persons paying Zakat	-[3]	1,939.92
2	60A	Deductible allowance for Workers' Welfare Fund	Persons paying Workers' Welfare Fund	-[4]	2,033.89
3	60B	Deductible allowance for Workers' Participation Fund	Persons paying Workers' Participation Fund	-[5]	1,880.58
4	60D	Deductible allowance for Education Sector expenses	Individuals having income of less than Rs. 1.5 million paying tuition fee	70.62	57.20
Total Tax Expenditure from Deductible Allowances				**70.62**	**5,911.58**

[3] Collected by Banks to be deposited in Government treasury
[4] Collected by Provincial Governments
[5] Collected by Provincial Governments

5.1.1.3. Tax Credits

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	61	Tax Credit for Charitable Donations u/s 61	Persons giving charitable donations	9,088.85	3,404.56
2	63	Tax Credit for Contribution to Approved Pension Fund u/s 63	Eligible persons as defined in sub-section (19A) of section 2 of Ordinance	3,433.81	2,024.02
3	64B	Tax Credit for Employment Generation by Manufacturers u/s 64B	Corporate Manufacturing Sector	24.45	15.05
4	64D	Tax credit for point of sale machine u/s 64D	Persons who installed such machines meant for processing and recording the sale transactions for goods or services	595.43	639.03
5	65B	BF Tax Credit for Non-Equity Investment in Plant and Machinery u/s 65B	Corporate Manufacturing Sector	-[6]	78.43
6	65B	BF Tax Credit for Equity Investment in Plant and Machinery u/s 65B	Corporate Manufacturing Sector	-[7]	16.52
7	65E	Tax Credit for Investment in Plant and Machinery by Existing Company u/s 65E	Corporate industrial units (including corporate dairy farming)	-[8]	13,059.39
8	65F	Tax credit for certain persons	persons engaged in coal mining projects, a startup, exporters of computer software or IT services or IT enabled services	5,860.27	3,061.41
9	65G	Tax credit for specified industrial undertakings	Specified industrial undertakings investing in new plant machinery and equipment	145.24[9]	61.82
10	100C	Tax Credit for Trust / Welfare Institution / Non-Profit Organization u/s 100C	Non-profit organizations, trusts, welfare institutions	59,464.87	2,013.90
Total Tax Expenditure from Tax Credits				**78,612.93**	**24,374.12**

[6] Omitted
[7] Ibid
[8] Ibid
[9] Omitted w.e.f. 01.07.2024

5.1.1.4. Exemption from Total Income

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Clause 3 of Part I of Second Schedule	Any income chargeable under the head "Salary" received by a person who, not being a citizen of Pakistan, is engaged as an expert or technical, professional, scientific advisor or consultant or senior management staff by institutions of the Agha Khan Development Network, (Pakistan) listed in Schedule I of the Accord and Protocol dated, November 13, 1994 executed between the Government of the Islamic Republic of Pakistan and Agha Khan Development Network.	Foreign experts working with Agha Khan Development Network, (Pakistan)	107.80	132.60
2	Clause 5 of Part I of Second Schedule	Any allowance or perquisite paid or allowed as such outside Pakistan by the Government to a citizen of Pakistan for rendering service outside Pakistan.	Employees (diplomats)	2,269.91	-
3	Clause 8 of Part I of Second Schedule	Any pension received by a citizen of Pakistan from a former employer, other than where the person continues to work for the employer (or an associate of the employer)	Employees (pensioners)	3,276.86	2,391.68
4	Clause 9 of Part I of Second Schedule	Pensions received by employees of Federal Government, Provincial Government, or Armed Forces, or their families and dependents	Employees (retired government servants & military personnel)	37,884.63	23,323.11
5	Clause 12 of Part I of Second Schedule	Any payment in the nature of commutation of pension received from Government or under any pension scheme approved by the Board	Employees (pensioners)	22,038.62	17,897.02
6	Clause 13 of Part I of Second Schedule	Any income representing any payment received by way of gratuity or commutation of pension by an employee on his retirement or, in the event of his death, by his heirs as does not exceed –	Employees (recipients of gratuity payments)	905.53	1,650.64

		(i) in the case of an employee of the Government, a 1[Local Government], a statutory body or corporation established by any law for the time being in force, the amount receivable in accordance with the rules and conditions of the employee's services; (ii) any amount receivable from any gratuity fund approved by the Commissioner in accordance with the rules in Part III of the Sixth Schedule; (iii) in the case of any other employee, the amount not exceeding 2[three] hundred thousand rupees receivable under any scheme applicable to all employees of the employer and approved by the 3[Board] for the purposes of this sub-clause; and (iv) in the case of any employee to whom sub-clause (i), (ii) and (iii) do not apply, fifty per cent of the amount receivable or seventy-five thousand rupees, whichever is the less: Provided that nothing in this sub-clause shall apply – (a) to any payment which is not received in Pakistan; (b) to any payment received from a company by a director of such company who is not a regular employee of such company; (c) to any payment received by an employee who is not a resident individual; and to any gratuity received by an employee who has already received any gratuity from the		

		same or any other employer.			
7	Clause 16 of Part I of Second Schedule	Income derived by the families and dependents of the "Shaheeds" belonging to the Civil Armed Forces of Pakistan	Families and dependents of the "Shaheeds" belonging to the Civil Armed Forces	179.43	161.43
8	Clause 19 of Part I of Second Schedule	Any sum representing encashment of leave preparatory to retirement of a member of the Armed Forces of Pakistan or an employee of the Federal Government or a Provincial Government;	Employees (retiring personnel of Armed Forces or Government servant)	2,680.87	1,824.81
9	Clause 22 of Part I of Second Schedule	Any payment from a provident fund to which the Provident Funds Act, 1925 (XIX of 1925) applies;	Employees (recipient of payments from provident funds	7,027.04	4,439.53
10	Clause 23 of Part I of Second Schedule	The accumulated balance due and becoming payable to an employee participating in a recognized provident fund;	Employees participating in a recognized provident fund	517.46	492.82
11	Clause 23A of Part I of Second Schedule	The accumulated balance upto [50]% received from the voluntary pension system offered by a pension fund manager under the Voluntary Pension System Rules, 2005 at the time of eligible person's- (a) retirement; or (b) disability rendering him unable to work; or (c) death by his nominated survivors.	Voluntary participants in pension funds	79.61	233.14
12	Clause 23C of Part I of Second Schedule	Any withdrawal of accumulated balance from approved pension fund that represent the transfer of balance of approved provident fund to the said approved pension fund under the Voluntary Pension System Rules, 2005	Pensioners	92.20	110.13
13	Clause 24 of Part I of Second Schedule	Any benevolent grant paid from the Benevolent Fund to the employees or members of their families in accordance with the provisions of the Central Employee Benevolent Fund and Any benevolent grant paid from the Benevolent Fund to the employees or members of their families in accordance with the provisions of the Central Employee	Employees (recipient of benevolent grants)	645.14	518.28

		Benevolent Fund and Group Insurance Act, 1969;			
14	Clause 25 of Part I of Second Schedule	Any payment from an approved superannuation fund made on the death of a beneficiary or in lieu of or in commutation of any annuity, or by way of refund of contribution on the death of a beneficiary	Families of deceased enrolled in approved superannuation funds	138.58	70.23
15	Clause 39A of Part I of Second Schedule	Any amount paid as2[,internal security allowance, compensation in lieu of bearer allowance,] kit allowance, ration allowance, special messing allowance, SSG allowance, Northern Areas compensatory allowance, special pay for Northern Areas and height allowance to the Armed Forces personnel	Employees receiving payments to meet expenses in the performance of duties	1,840.20	1,031.34
16	Clause 52 of Part I of Second Schedule	The perquisite represented by free conveyance provided and the sumptuary (entertainment) allowance granted by Government to the Chiefs of Staff, Pakistan Armed Forces and the Corps Commanders	Armed Forces	8.20	0.98
17	Clause 53A of Part I of Second Schedule	The following perquisites received by an employee by virtue of his employment, namely: - free or subsidized food provided by hotels and restaurants to its employees during duty hours; - free or subsidized Education Sector provided by an Education Sectoral institution to the children of its employees; - free or subsidized medical treatment provided by a hospital or a clinic to its employees; - any other perquisite or benefit for which the employer does not have to bear any marginal cost, as notified by the Board;	Employees receiving employment- related perquisites	343.40	250.86
18	Clause 55 of Part I of	The perquisites represented by the right of a judge of the Supreme Court of Pakistan or	Judiciary of Superior Courts	121.80	22.77

	Second Schedule	of a judge of High Court to occupy free of rent as a place of residence any premises provided by Federal or Provincial Government, as the case may be, or in case a judge chooses to reside in a house not provided by Government, so much of income which represents the sum paid to him as house rent allowance;			
19	Clause 56 of Part I of Second Schedule	The following perquisites, benefits and allowances received by a Judge of Supreme Court of Pakistan and Judge of High Court, shall be exempt from tax:	Judiciary of Superior Courts	522.11	295.76
20	Clause 57(3)(i) of Part I of Second Schedule	Any income of a provident fund to which the Provident Funds Act, 1925 applies;	Provident Funds	5,041.31	4,987.70
21	Clause 57(3)(ii) of Part I of Second Schedule	Any income of trustees on behalf of a recognized provident fund or an approved superannuation fund or an approved gratuity fund;	Trustees of recognized provident funds, approved superannuation funds, and approved gratuity funds	48,238.29	9,932.39
22	Clause 57(3)(iii) of Part I of Second Schedule	Any income of a benevolent fund or group insurance scheme approved by the Board for the purposes of this clause;	Benevolent funds and group insurance schemes	3,172.54	80.62
23	Clause 57(3)[(iv), (vi), (vii)] of Part I of Second Schedule	Any income of a Service Fund, any Unit, Station or Regimental Institute; and any recognized Regimental Thrift and Savings Fund, the assets of which consist solely of deposits made by members and profits earned by investment thereof;	Service Funds	-	360.94
24	Clause 57(3)(v) of Part I of Second Schedule	Any income of Employees Old Age Benefits Institution established under the Employees Old Age Benefit Act, 1976 (XIV of 1976);	Employees Old Age Benefits Institution	16,928.83	10,298.39
25	Clause 57(3)(viii) of Part I of Second Schedule	Any income of a Pension Fund approved by the SECP;	Approved Pension Funds	70.55	51.30
26	Clause 57(3)(xii) of Part I of	Any income of Punjab Pension Fund established under the Punjab Pension Fund Act,	Punjab Pension Fund	7,552.27	2,977.84

	Second Schedule	2007 and the trust established thereunder			
27	Clause 57(3)(xiii) of Part I of Second Schedule	Any income of Sindh Province Pension Fund established under the Sindh Province Pension Fund Ordinance, 2002	Sindh Province Pension Fund	15,454.67	1,871.47
28	Clause 57(3)(xiv) of Part I of Second Schedule	Any income of Punjab Others Provident Investment Fund established under the Punjab Others Provident Investment Fund Act, 2009 (V of 2009) and the trust established thereunder;	Punjab Others Provident Investment Fund	626.23	263.17
29	Clause 57(3)(xv) of Part I of Second Schedule	Any income of Khyber Pakhtunkhwa Retirement Benefits and Death Compensation Fund	Khyber Pakhtunkhwa Retirement Benefits and Death Compensation Fund	902.08	642.32
30	Clause 57(3)(xvi) of Part I of Second Schedule	Any income of Khyber Pakhtunkhwa Others Provident Investment Fund;	Khyber Pakhtunkhwa Others Provident Investment Fund	2,378.07	1,579.73
31	Clause 57(3)(xvii) of Part I of Second Schedule	Any income of Khyber Pakhtunkhwa Pension Fund;	Khyber Pakhtunkhwa Pension Fund	1,911.44	1,576.41
32	Clause 66 of Part I of Second Schedule	Any income derived by certain listed philanthropic orgainzation like hospitals, governmental and non governmental and international entities	All institution, foundations, societies, boards, trusts and funds mentioned in clause 66 of Part I of Second Schedule	41,699.56	19,796.84
33	Clause 75 of Part I of Second Schedule	Any profit on debt and capital gains derived by any agency of foreign Government or any non-resident person approved by the Federal Government for the purpose of this clause from debt and debt instruments approved by the Federal Government	Agencies of foreign Governments, foreign nationals or any other non-resident person approved by the Federal Government	-	90,986.07
34	Clause 78 of Part I of Second Schedule	Profit on debt on foreign currency accounts	Foreign currency account holders	44.07	143.94
35	Clause 79 of Part I of Second Schedule	Profit on debt derived by non-resident Pakistanis on rupee accounts	Citizens of Pakistan residing abroad and remitting foreign exchange	198.61	323.22
36	Clause 99 of Part I of	Any income derived by a Collective Investment Scheme	Collective Investment Schemes and REIT	75,552.13	23,511.93

	Second Schedule	or a REIT Scheme, if not less than ninety per cent of its accounting income of that year, as reduced by capital gains whether realized or unrealized, is distributed amongst the unit or certificate holders or shareholders as the case may be	Schemes that are distributing more than 90% of their incomes to certificate holders / shareholders.		
37	Clause 102A of Part I of Second Schedule	Income of a person as represents a subsidy granted to him by the Federal Government for the purposes of implementation of any orders of the Federal Government in this behalf	Recipients of subsidies granted by Federal Government	13,387.50[10]	13,788.46
38	Clause 105B of Part I of Second Schedule	Income received by a taxpayer from a corporate agricultural enterprise, distributed as dividend out of its income from Agriculture Sector;	Taxpayers receiving dividend income from corporate agricultural enterprises	62.68	0.10
39	Clause 105C of Part I of Second Schedule	Any income derived by Kuwait Foreign Trading Contracting and Investment Company or Kuwait Investment Authority being dividend of the Pak-Kuwait Investment Company in Pakistan from the year of incorporation of Pak-Kuwait Investment Company.]	Kuwait Foreign Trading Contracting and Investment Company and Kuwait Investment Authority being dividend of the Pak-Kuwait Investment Company	2,214.36	-
40	Clause 126 of Part I of Second Schedule	Income of a public sector university established solely for Education Sectoral purposes and not for the purposes of profit;	Public sector universities	9,413.68	2,293.39
41	Clause 126A of Part I of Second Schedule	Income derived by China Overseas Ports Holding Company Limited, China Overseas Ports Holding Company Pakistan (Private) Limited, Gawadar International Terminal Limited, Gawadar Marine Services Limited and Gawadar Free Zone Company Limited from Gawadar Port operations;	Listed companies	9.35	2.48
42	Clause 126AC of Part I of Second Schedule	Income derived by contractors and sub-contractors of China Overseas Ports Holding Company Limited, China Overseas Ports Holding	Contractors and sub-contractors of listed companies from Gawadar Port operations	48.94	2.80

[10] Omitted w.e.f. 01.07.2024

		Company Pakistan (Private) Limited, Gawadar International Terminal Limited, Gawadar Marine Services Limited and Gawadar Free Zone Company Limited from Gawadar Port operations;			
43	Clause 126E of Part I of Second Schedule	Income derived by a zone enterprise as defined in the Special Economic Zones Act, 2012 (XX of 2012) for a period of ten years starting from the date the developer certifies that the zone enterprise has commenced commercial operation and for a period of ten years to a developer of zone starting from the date of signing of the development agreement in the special economic zone as announced by the Federal Government Provided that this clause shall also apply to a co-developer as defined in Special Economic Zone Rules, 2013 subject to the condition that a certificate has been furnished— (a) by the developer that he has not claimed exemption under this clause and has relinquished his claim in favour of the co-developer; and (b) by the Special Economic Zone Authority validating that the developer has not claimed exemption under this clause and has relinquished claim in favour of the co-developer	Zone enterprise as defined in the Special Economic Zones Act, 2012, and developers of zones.	556.20	-
44	126EA	Profits and gains derived by: (a) zone developer as defined in the Special Technology Zones Authority Act, 2021 (XVII of 2021) from development and operations of the zones for a period of ten years starting from the date of signing of the development agreement; (b) zone Enterprises as defined in the Special Technology Zones Authority Act, 2021 (XVII of 2021) for a period of	Zone Developers, Zone Enterprises, Zone Authorities	144.85	42.87

		ten years from the date of issuance of license by the Special Technology Zone Authority; and (c) Special Technology Zones Authority established under the Special Technology Zones Authority Act, 2021 (XVII of 2021).]			
45	Clause 126M of Part I of Second Schedule	Profits and gains derived by a taxpayer from a transmission line project set up in Pakistan on or after the1st day of July, 2015;	Companies deriving income from transmission line projects in Pakistan	2,323.78[11]	0.12
46	Clause 132 of Part I of Second Schedule	Profits and gains derived by a taxpayer from an electric power generation project set up in Pakistan on or after the 1st day of July, 1988, subject to following conditions: (a) owned and managed by a company formed for operating the said project and registered under the Companies Ordi nance, 1984 (XLVII of 1984), and having its registered office in Pakistan; (b) not formed by the splitting up, or the reconstruction or reconstitution, of a business already in existence or by transfer to a new business of any machinery or plant used in a business which was being carried on in Pakistan at any time before the commencement of the new business; and (c) owned by a company fifty per cent of whose shares are not held by the Federal Government or Provincial Government or a Local Government or which is not controlled by the Federal Government or a Provincial Government or a 2[Local Government] Provided further that exemption under this clause shall also be available to the expansion projects of the	Electric power generation projects	82,582.45	30,235.94

[11] Omitted w.e.f. 01.07.2024

		existing Inde pendent Power Projects already in operation;			
47	Clause 132AA of Part I of Second Schedule	Profits and gains derived from sale of electricity by National Power Parks Management Company (Private) Limited or demerged entities of National Power Parks Management Company (Private) Limited commencing from the commercial operation dates and continuing after the date of change of ownership as a result of privatization by the Privatization Commission of Pakistan	National Power Parks Management Company (Private) Limited or demerged entities of National Power Parks Management Company (Private) Limited	18,137.97	9,096.01
48	Clause 132C of Part I of Second Schedule	Profits and gains derived by a taxpayer from a bagasse/biomass based cogeneration power project having one or more boilers of not less than 60 bar (kg/CM3) pressure each, commissioned after the first day of January 2013.	Bagasse / Biomass Cogeneration Project Owners	434.35	655.76
49	Clause 139 of Part I of Second Schedule	The benefit represented by free provision to the employee of medical treatment or hospitalization or both by an employer or the reimbursement received by the employee of the medi cal charges or hospital charges or both paid by him	Employees receiving free medical care from employers.	3,490.70	3,374.42
50	Clause 142 of Part I of Second Schedule	Income from Social Security Sector contributions derived by Balochistan Employees‘ Social Security Sector Institution, Employees‘ Social Security Sector Institution Khyber Pakhtunkhwa, Punjab Employees‘ Social Security Sector Institution and Sindh Employees‘ Social Security Sector Institution;	Provincial Social Security Sector institutions	1,613.36	6,218.65
51	Clause 145A of Part I of	Any income which was not chargeable to tax prior to the commencement of the	Individuals domiciled or companies and associations of persons	7,956.04	3,452.02

	Second Schedule	Constitution (Twenty-fifth Amendment) Act, 2018 (XXXVII of 2018) of any individual domiciled or company and association of persons resident in the Tribal Area forming part of the Provinces of Khyber Pakhtunkhwa and Balochistan under paragraph (d) of Article 246 of the Constitution with effect from the 1st day of June, 2018 to the 30th day of June, 2023 (both days inclusive).	resident in the ex-Tribal Areas		
52	Clause 147 of Part I of Second Sechdule	Any income derived by the Federal Government Employees Housing Authority and Naya Pakistan Housing and Development Authority for the tax year 2020 and the following four tax years	Federal Government Employees Housing Authority and Naya Pakistan Housing and Development Authority	432.86[12]	-
53	Clause 151 of Part I of Second Sechdule	Any income derived by a person from cinema operations for five years from the commencement of cinema operations.	Persons operating cinemas	18.71[13]	14.91
54	Clause 152 & 153 of Part I of Second Sechdule	Profits and gains derived between the first day of July, 2022 and the thirtieth day of June, 2025 both days inclusive, by a venture capital company and venture capital fund registered under relevant Venture Capital Companies and Funds Management Rules issued by Securities and Exchange Commission of Pakistan Profits and gains from the production of feature film derived between the first day of July, 2022 and the thirtieth day of June, 2027 both days inclusive by a resident producer or a resident production house	venture capital companies and venture capital funds	167.38	50.59
Total Tax Expenditure from Total Income				**443,445.19**	**293,459.92**

[12] Omitted w.e.f. 01.07.2024
[13] To be omitted w.e.f. 01.07.2025

5.1.1.5. Reduction in Tax Rates

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Clause 5A of Part II of Second Schedule	The rate of tax to be deducted under sub-section (2) of section 152, in respect of payments from profit on debt payable to a non-resident person having no permanent establishment in Pakistan, other than those covered under clauses (78) and (79) of Part I of the Second Schedule, shall be 10% of the gross amount Provided that tax deducted on profit on debt from debt instruments, Government securities including treasury bills and Pakistan Investment Bonds shall be final tax on profit on debt payable to a non-resident person having no permanent establishment in Pakistan and the investments are exclusively made through a Special Rupee Convertible Account maintained with a Bank in Pakistan.	Non resident Persons receiving such profits and gains	3,438.42	730.24
2	Clause 24A of Part II of Second Schedule	The rate of tax, under clause (a) of sub-section (1) of section 153, from distributors of cigarette and pharmaceutical products shall be 1% of the gross amount of payments.	distributors of cigarette and pharmaceutical products	-[14]	14,533.20
3	Clause 24C of Part II of Second Schedule	The rate of tax under clause (a) of sub-section (1) of section 153 in the case of distributors, dealers, sub-dealers, wholesalers and retailers of fast moving consumer goods, fertilizer, electronics excluding mobile phones, sugar, cement, and edible oil as recipient of payment shall be 0.25% of gross amount of payments subject to the condition that beneficiaries of reduced rate are appearing on the Active Taxpayers' Lists issued under the provisions of the Sales Tax Act, 1990 and the Income Tax Ordinance, 2001 (XLIX of 2001)	distributors, dealers, sub-dealers, wholesalers and retailers of fast moving consumer goods, fertilizer, electronics excluding mobile phones, sugar, cement, and edible oil	-[15]	9,983.43
4	Clause 24CA of Part II of Second Schedule	The rate of tax under clause (a) of sub-section (1) of section 153 in case of a person, other than a company, as a recipient of payment for goods supplied to Utility Stores Corporation of Pakistan shall be 1.5% of the gross amount of payment in respect of supply of tea, spices, salt, dry milk, sugar, pulses wheat flour and ghee for the period commencing from the 7th day of April, 2020 and ending on 30th day of September, 2020:	persons other than a company, as recipients of payment for goods supplied to Utility Stores Corporation of Pakistan	-[16]	13.74

[14] Procedural
[15] Ibid
[16] Ibid

		Provided that this clause shall not be applicable to supply of tea, spices, salt and dry milk which are sold under a brand name:			
5	Clause 27 of Part II of Second Schedule	The tax on payments under the Compulsory Monetization of Transport Facility for Civil Servants in BS-20 to BS-22 (as reduced by deduction of driver's salary) shall be charged at the rate of 5% as a separate block of income	Employees (civil servants of BS-20 and above)	18.78	76.71
6	Clause 28C of Part II of Second Schedule	The rates of tax shall be five percent in the case of a person running online marketplace as defined in clause (38B) of section 2	E-commerce sector	2.07[17]	155.14
Total Tax Expenditure From Reduction in Tax Rates				**3,459.27**	**25,492.46**

5.1.1.6. Reduction in Tax Liability

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Clause 1(2) of Part III of Second Schedule	The tax payable by a full time teacher or a researcher, employed in a nonprofit Education Sector or research institution duly recognized by Higher Education Sector Commission, a Board of Education Sector or a University recognized by the Higher Education Sector Commission, including government research institution, shall be reduced by an amount equal to 25% of tax payable on his income from salary	Employees (full time teacher or a researcher)	7,514.66	4,171.24
2	Clause 4 of Part III of Second Schedule	In respect of old and used automotive vehicles, tax under section 148 shall not exceed the amount specified in Notification No. S.R.O. 577(I)/2005, dated the 6th June, 2005	Importers of old and used cars	214.82	87.47
3	Clause 6 of Part III of Second Schedule	The tax payable under clause (c) of sub-section (1) of section 39, in respect of any amount paid as yield or profit on investment in Bahbood Savings Certificate or Pensioners Benefit Account 4[and Shuhada Family Welfare Account] shall not exceed 5% of such profit	Persons who have invested in such securities	11,858.67	-

[17] To be omitted w.e.f. 01.07.2025

4	Clause 19 of Part III of Second Schedule	The tax payable by woman enterprises on profit and gains derived from business chargeable to tax under the head "Income from Business" shall be reduced by 25%	Woman Enterprises	53.43	10.89
Total Tax Expenditure From Reduction in Tax Liability				**19,641.58**	**4,269.61**

5.1.1.7. Exemption from Specific Provisions

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Clause 11A of Part IV of Second Schedule	Exemption from Minimum Tax U/s 113 for Mobile phone manufacturers engaged in the local Manufacturing Sector of mobile phone devices.	Local Mobile phone Manufacturers	-	272.88
2	Clause 56 of Part IV of Second Schedule	The provisions of section 148, regarding withholding tax on imports shall not apply in respect of Certain Individuals / Entities	Persons / entities covering under this clause	-	59,798.85
3	Clause 59(iv)(b) of Part IV of Second Schedule	The provisions of section 151, regarding withholding tax on profit on debt, shall not apply in the case of any resident individual, no tax shall be deducted from income or profits paid on investment in monthly income Savings Accounts Scheme of Directorate of National Savings, where monthly installment in an account does not exceed one thousand rupees	Persons who have invested in such securities	-	52.20
4	Clause 60A & 60AA of Part IV of Second Schedule	60A.The provisions of section 148 shall not apply for import of plant, machinery and equipment in the case of:- (a) M/s China State Construction Engineering Corporation Ltd. (M/s CSCEC); and (b) M/s China Communication Construction Company (M/s CCCC); 60AA. The provisions of section 148 of the Income Tax Ordinance, 2001(XLIX of 2001), shall not apply for import of construction materials or goods upto a maximum of 10,898.000 million rupees imported by China State Construction Engineering Corporation (M/s CSCEC) for construction of Sukkur-Multan section of Karachi- Peshawar Motorway project of	M/s China State Construction Engineering Corporation Ltd. (M/s CSCEC); and M/s China Communication Construction Company (M/s CCCC).	-	3.56

		National Highway Authority under CPEC.			
5	Clause 60D of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of firefighting equipments by industrial undertakings set up in the special economic zones established by the Federal Government	Industrial undertakings set up in the special economic zones	-	10.04
6	Clause 77 of Part IV of Second Schedule	Provisions of sections 148 and 153 shall not be applicable on import and subsequent supply of items with dedicated use of renewable sources of energy	Importers and suppliers of items with dedicated use of renewable sources of energy	-	1,359.94
7	Clause 79A of Part IV of Second Schedule	The provisions of clause (b) of sub-section (1) of section 153 shall not apply to payments received by National Telecommunication Corporation against provision of telecommunication services including ancillary services specified in subsection (3) of section 41 of the Pakistan Telecommunication (Re-organization) Act, 1996 (XVII of 1996)	National Telecommunication Corporation (NTC)	-	73.63
8	Clause 91 of Part IV of Second Schedule	The provisions of section 148 shall not apply to- (i) Tillage and seed bed preparation equipment (ii) Seeding or planting equipment (iii) Irrigation, drainage and agro-chemical application equipment (iv) Harvesting, threshing and storage equipment (v) Post-harvest handling and processing & miscellaneous machinery;	Importers of such equipment under farming sector	-	86.14
9	Clause 92 of Part IV of Second Schedule	The provisions of section 148 shall not apply to: (i) Aircraft, whether imported or acquired on wet or dry lease (ii) Maintenance kits for use in trainer aircrafts (iii) Maintenance kits for use in trainer aircrafts (iv) Spare parts for use in aircrafts, trainer aircrafts or simulators (v) Machinery, equipment and tools for setting up maintenance, repair and overhaul (MRO) workshop by MRO company recognized by Aviation Division (vi) Operational tools, machinery, equipment and furniture and fixtures on one-time basis for setting up	Importers of such aircraft equipment	-	54.35

		Greenfield airports by a company authorized by Aviation Division (vii) Aviation simulators imported by airline company recognized by Aviation Division			
10	Clause 98 of Part IV of Second Schedule	The provisions of section 148 shall not apply to import of ships and other floating crafts including tugs, survey vessels and other specialized crafts purchased or bare-boat chartered by a Pakistani entity and flying Pakistani flag: Provided that exemption under this clause shall be available up to the year 2030, subject to the condition that the ships and crafts are used for the purpose for which they were procured, and in case such ships and crafts are used for demolition purposes, tax collectible under section 148, applicable to ships and crafts purchased for demolition purposes, shall be chargeable.	Shipping Companies	-	430.32
11	Clause 108 of Part IV of Second Schedule	The provisions of sections 113 and 151 shall not apply to the Supreme Court of Pakistan – Diamer Bhasha & Mohmand Dams – Fund.	Supreme Court of Pakistan – Diamer Bhasha & Mohmand Dams – Fund	-	613.84
Total from Specific Provisions				**-**[18]	**62,755.74**

5.1.1.8. SROs Related Exemptions

(Rs. In Million)

S. No.	Section / Clause / Schedule / Part	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	1634(1)/2022 dated 30th August, 2022	(i) In the aforesaid Second Schedule, in Part-IV, after clause (122), the following new clause shall be added, namely: - "(123) The provisions of section 148 shall for a period of ninety days not apply to goods required and imported for relief operation for flood affectees, duly certified by the National Disaster Management Authority or the Provincial Disaster Management Authority."; and (ii) In the aforesaid Thirteenth Schedule, in the	N/A	0.00[19]	378.81

[18] Procedural
[19] Omitted w.e.f. 01.07.2023

		Table, in column (1), after S. No 63 and entries relating thereto in column (2), the following new S. No. and entries relating thereto in column (2) shall be added, namely:- "(64) The Prime Minister's Flood Relief Fund, 2022 with effect on and from the 5th August, 2022.".			
2	1639(l)/2022 dated 31st August, 2022	In the Second Schedule, in Part-IV, after clause (123), the following new clause shall be added, namely: - "(124) The provisions of section 148 shall not apply to tomato (PCT heading 0702.0000) and onion (PCT heading 0703.1000) imported till the 31st day of December, 2022.".	N/A	0.00[20]	2,800.29
Total from SROs				**0.00**	**3,179.10**

Total Income Tax Expenditures	**545,229.59**	**476,959.84**

5.1.2. Details of Sales Tax Expenditure

5.1.2.1. Fifth Schedule (Zero Rating - Local Supplies)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Fifth Schedule	2	Supply to diplomats, diplomatic missions, privileged persons and privileged organizations which are covered under various Acts, Orders, Rules, Regulations and Agreements passed by the Parliament or issued or agreed by the Government of Pakistan.	Diplomats	5,042.02	13,853.74
2	Fifth Schedule	5	Supplies of raw materials, components and goods for further manufacture of goods in the Export Processing Zones.	Manufacturer, General Masses	2,406.89	2,399.36
3	Fifth Schedule	7	Supplies made to exporters under the Duty and Tax Remission Rules, 2001 subject to the observance of procedures, restrictions and conditions prescribed therein.	Exporters	192.89	226.96
4	Fifth Schedule	8	Imports or supplies made to Gawadar Special Economic Zone, excluding vehicles falling under heading 87.02 of the Pakistan Customs Tariff, subject to such conditions, limitations and restrictions as the Board may impose.	Gwadar EPZ	218.65	563.54
5	Fifth Schedule	8A	Imports or supplies made by, for or to a qualified investment as specified at	Manufacturer, General Masses	50.43	0.00

[20] Omitted w.e.f. 01.07.2023

			Serial No.1 of the First Schedule to the Foreign Investment (Promotion and Protection) Act, 2022 for the period as specified in the Second Schedule to the said Act			
6	Fifth Schedule	12 (xvii)	Preparations suitable for infants, put up for retail sale not exceeding rupees six hundred per two hundred grams PCT Heading 1901.1000	Manufacturer, General Masses	2,678.71	19,820.39
7	Fifth Schedule	12(xix)	Bicycles (PCT heading 87.12)	Manufacturer, General Masses	0.00	0.00
8	Fifth Schedule	12(xx)	Colors in sets (PCT heading 3213.1000)	Manufacturer, General Masses	12.50	25.10
9	Fifth Schedule	12(xxi)	Writing, drawing and marking inks (PCT heading. 3215.9010 and 3215.9090)	Manufacturer, General Masses	760.64	327.81
10	Fifth Schedule	12 (xxii)	Erasers (PCT heading 4016.9210 and 4016.9290)	Manufacturer, General Masses	87.35	99.76
11	Fifth Schedule	12 (xxiii)	Exercise books (PCT heading 4820.2000)	Manufacturer, General Masses	886.47	1,129.49
12	Fifth Schedule	12 (xxiv)	Pencil sharpeners (PCT heading 8214.1000)	Manufacturer, General Masses	1,020.84	811.36
13	Fifth Schedule	12 (xxv)	other drawing, marking out or mathematical calculating instruments (geometry box) (PCT heading 9017.2000)	Manufacturer, General Masses	55.99	68.79
14	Fifth Schedule	12 (xxvi)	Pens, ball pens, markers and porous tipped pens (PCT heading 96.08)	Manufacturer, General Masses	1,710.74	1,512.38
15	Fifth Schedule	12 (xxvii)	Pencils including color pencils (PCT heading 96.09)	Manufacturer, General Masses	1,400.95	1,075.57
16	Fifth Schedule	13	Supplies of raw materials, components and goods for further manufacture of goods in the Gwadar Free Zone and export thereof, provided that in case of supply to tariff area of Pakistan, tax shall be charged on the value assessed on the Goods Declaration for import	Gwadar EPZ	16.79	493.06
17	Fifth Schedule	14	Supplies of locally manufactured plant and machinery of the following specifications, to manufacturers in the Gwadar Free Zone, subject to the conditions, restrictions and procedure given below	Gwadar EPZ	0.24	2,701.40
18	Fifth Schedule	16	Milk (PCT heading 04.01)	General Masses	33,869.25	40,392.01
19	Fifth Schedule	17	Fat filled milk (PCT heading 1901.9090)	General Masses	27,948.47	34,621.60
20	Fifth Schedule	20	Petroleum Crude Oil (PCT heading 2709.0000)	Petroleum Sector	0.00[21]	71,082.81

[21] Subjected to PDL

21	Fifth Schedule	21	Local supplies of commodities, raw materials, components, parts and plant and machinery to registered exporters authorized under Export Facilitation Scheme, 2021 notified by the Board with such conditions, limitations and restrictions as specified therein.	General Masses	0.00[22]	10,071.15
Total from Fifth Schedule (Local Supplies)					**78,359.80**	**201,276.28**

5.1.2.2. Fifth Schedule (Zero Rating - Import)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Fifth Schedule	8A	Imports or supplies made by, for or to a qualified investment as specified at Serial No.1 of the First Schedule to the Foreign Investment (Promotion and Protection) Act, 2022 for the period as specified in the Second Schedule to the said Act	Manufacturer, General Masses	1.20	0.00
2	Fifth Schedule	12 (Finished Goods)	(Import of color sets (3213.1000), writing, drawing and marking inks (3215.9010 and 3215.9090), erasers (4016.9210 and 4016.9290), exercise books (4820.2000), pencil sharpener (8214.1000), geometry boxes (9017.2000), pen, ball pens, markers and porous tipped pens (96.08), pencils including color pencils (96.09)	Manufacturer, General Masses	192.07	173.59
3	Fifth Schedule	12 (Raw Materials Etc.)	Raw materials, packing materials, sub-components, components, sub-assemblies and assemblies imported or purchased locally for the manufacture of the goods specified at s.no. 12 of 5th Schedule to sales tax act, 1990, subject to the conditions, limitations and restrictions as specified in chapter xiv of the sales tax special procedure rules, 2007.	Manufacturer, General Masses	1,291.12	1,005.29

[22] No tax impact

4	Fifth Schedule	13	Supplies of raw materials, components and goods for further manufacture of goods in the Gwadar Free Zone and export thereof, provided that in case of supply to tariff area of Pakistan, tax shall be charged on the value assessed on the Goods Declaration for import	Gwadar EPZ	90.52	455.23
5	Fifth Schedule	17	Fat filled milk (PCT heading 1901.9090)	General Masses	1,173.21	753.72
6	Fifth Schedule	20	Petroleum Crude Oil (PCT heading 2709.0000)	General Masses	0.00[23]	2,387.73
7	Fifth Schedule	21	Local supplies of raw materials, components, parts and plant and machinery to registered exporters authorized under export facilitation scheme, 2021 notified by the board with such conditions, limitations and restrictions as specified therein.	General Masses	0.00[24]	1.33
Total from Fifth Schedule (Zero Rating - Import)					**2,748.11**	**4,776.89**

Total from Fifth Schedule (Zero Rating - Local Supplies)	**78,359.80**	**201,276.28**
Total from Fifth Schedule (Zero Rating - Import)	**2,748.11**	**4,776.89**
Total from Fifth Schedule (Zero Rating)	**81,108**	**206,053.17**

5.1.2.3. Sixth Schedule Table I (Local Supplies)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Sixth Schedule Table I	13	Edible vegetables imported from Afghanistan including roots and tubers, except ware potato and onions, whether fresh, frozen or otherwise preserved (e.g. in cold storage) but excluding those bottled or canned	General Masses	160.54	3,127.28
2	Sixth Schedule Table I	14	Pulses	General Masses	19,220.62	29,476.01

[23] Subjected to PDL
[24] No tax impact

3	Sixth Schedule Table I	15	Fruit imported from Afghanistan excluding apples PCT 0808.1000	General Masses	51.83	678.95
4	Sixth Schedule Table I	16	Red chillies excluding those sold under brand names and trademarks	General Masses	164.94	2,526.33
5	Sixth Schedule Table I	17	Ginger excluding those sold under brand names and trademarks.	General Masses	90.91	3,389.49
6	Sixth Schedule Table I	18	Turmeric excluding those sold under brand names and trademarks.	General Masses	127.30	90.62
7	Sixth Schedule Table I	19	Rice, wheat, wheat and meslin flour	General Masses	32,459.38	22,866.40
8	Sixth Schedule Table I	31	Holy Quran, complete or in parts, with or without translation; Quranic Verses recorded on any analogue or digital media; other Holy books.	General Masses	369.53	874.37
9	Sixth Schedule Table I	32	Newsprint, newspapers, journals, periodicals, books but excluding directories.	General Masses	2,763.25	5,025.90
10	Sixth Schedule Table I	33	Currency notes, bank notes, shares, stocks and bonds.	General Masses	5,399.03	3,189.03
11	Sixth Schedule Table I	38	Monetary gold.	General Masses	0.00	7.71
12	Sixth Schedule Table I	45	Dextrose and saline infusion giving sets along with empty non-toxic bags for infusion solution, Dextrose and saline infusion giving sets, Artificial parts of the body, Intra-Ocular lenses and Glucose testing equipment.	Health, General Masses	756.41	4,565.58
13	Sixth Schedule Table I	47	Import of articles of household and personal effects including vehicles and also the goods for donation to projects established in Pakistan imported by any of the rulers of Gulf Sheikhdoms who is in possession of residential accommodation in Pakistan and goods including vehicles by the United Arab Emirates dignitaries as are listed in column (2) against heading No. 99.05 in column (1) of the First Schedule to the Customs Act, 1969 (IV of 1969) for their personal use and	General Masses	26.51	11.88

			for donation to welfare projects established in Pakistan subject to the similar conditions as are envisaged for the purposes of applying zero rate of customs duty on such goods under the said Act.			
14	Sixth Schedule Table I	48	Goods imported or supplied under grants-in-aid for which a specific consent has been obtained from the Board supplies and imports under agreements signed by the Government of Pakistan before the 30th of June, 1996, provided the agreements contained the provision for exemption of tax at the time of signing of agreement.	General Masses	166.09	2,324.25
15	Sixth Schedule Table I	59	Artificial kidneys, eye cornea, hemodialysis machines, hemodialyzers, A.V. fistula needles, hemodialysis fluids and powder, blood tubing tines for dialysis and reverse osmosis plants for dialysis, double lumen catheter for dialysis, catheter for renal failure patient and peritoneal dialysis solution, cochlear implants systems and angioplasty equipment (balloons, catheters, wires and stents), subject to the similar conditions and procedures as are envisaged for the purpose of applying zero-rate of customs duty on these goods under the Customs Act, 1969 (IV of 1969)	Health, General Masses	348.98	3,027.72
16	Sixth Schedule Table I	86	Colors in sets (Poster colors)	Manufacturer, General Masses	68.31	169.37
17	Sixth Schedule Table I	87	Writing, drawing and making inks	Manufacturer, General Masses	6.69	39.04
18	Sixth Schedule Table I	88	Erasers	Manufacturer, General Masses	53.65	72.32
19	Sixth Schedule Table I	89	Exercise books	Manufacturer, General Masses	161.67	177.42
20	Sixth Schedule Table I	90	Pencil sharpeners	Manufacturer, General Masses	45.41	51.17

21	Sixth Schedule Table I	94	Wheelchairs	Manufacturer, General Masses	191.43	118.34
22	Sixth Schedule Table I	96	Other drawing, marking out or mathematical calculating instruments (geometry box)	Manufacturer, General Masses	4.14	220.40
23	Sixth Schedule Table I	97	Pens, ball pens, markers and porous tipped pens	Manufacturer, General Masses	91.90	688.29
24	Sixth Schedule Table I	98	Pencils including color pencils	Manufacturer, General Masses	514.59	728.85
25	Sixth Schedule Table I	100	Construction materials to Gwadar Export processing Zone's investors and to Export Processing Zone Gwadar for development of Zone's infrastructure	Gwadar EPZ	3,271.19	9,190.21
26	Sixth Schedule Table I	100A	Materials and equipment (plant, machinery, equipment, appliances and accessories) for construction and operation of Gwadar Port and development of Free Zone for Gwadar Port as imported by or supplied to China Overseas Ports Holding Company Limited (COPHCL) and its operating companies namely (i) China Overseas Ports Holding Company Pakistan (Private) Limited (ii) Gwadar International Terminal Limited, (iii) Gwadar Marin Services Limited and (iv) Gwadar Free Zone Company Limited, their contractors and sub-contractors; and Ship Bunker Oils bought and sold to the ships calling on/visiting Gwadar Port, by the aforesaid operating companies having Concession Agreement with the Gwadar Port Authority, for a period of forty year	Gwadar EPZ	67.38	1,449.92
27	Sixth Schedule Table I	100A(i)	This exemption shall be admissible only to China Overseas Ports Holding Company Limited (COPHCL) and its operating companies, their contractors and	import/export	5.71	536.03

			subcontractors which hold the Concession Agreement;			
28	Sixth Schedule Table I	100A(ii)	The Ministry of Ports and Shipping shall certify in the prescribed manner and format as per Annex-I that the imported materials and equipment are bonafide requirement for construction and operation of Gwadar Port and development of Free Zone for Gwadar Port. The authorized officer of that Ministry shall furnish all relevant information online to Pakistan Customs against a specific user ID and password obtained under section 155D of the Customs Act, 1969 (IV of 1969). In already computerized Collectorate or Customs station, where the computerized system is not operational, the Project Director or any other person authorized by the Collector in this behalf shall enter the requisite information in the Customs Computerized System on daily basis, whereas entry of the data obtained from the customs stations which have not yet been computerized shall be made on weekly basis, provided that this condition shall not apply to ship bunker oils; and	import/export	0.82	2.56
29	Sixth Schedule Table I	100A(iii)	The goods so imported and also those already imported under Notification No. S.R.O. 115(I)/2008, dated the 6th February, 2008 shall not be sold or disposed of without prior approval of the FBR and payment of sales tax leviable at the applicable rate on residual value, provided that this condition shall not apply to ship bunker oils.	import/export	0.01	60.59
30	Sixth Schedule Table I	100B	Supplies made by the businesses to be established in the Gwadar Free Zone for a period of twenty-three years	Gwadar EPZ	24.38	223.54

			within the Gwadar Free Zone, subject to the condition that the sales and supplies outside the Gwadar Free Zone and into the territory of Pakistan shall be subjected to sales tax.			
31	Sixth Schedule Table I	100C	Vehicles imported by China Overseas Ports Holding Company Limited (COPHCL) and its operating companies namely (i) China Overseas Ports Holding Company Pakistan (Private) Limited (ii) Gwadar International Terminal Limited, (iii) Gwadar Marine Services Limited and (iv) Gwadar Free Zone Company Limited, for a period of twenty-three years for construction, development and operations of Gwadar Port and Free Zone Area subject to limitations, conditions prescribed under PCT heading 9917 (3)	China Overseas Ports Holding Company Limited	0.00	1.25
32	Sixth Schedule Table I	107	Import and supply of iodized salt bearing brand names and trademarks whether or not sold in retail packing.	Importer/ General Masses	618.71	902.63
33	Sixth Schedule Table I	112	Following cardiology/cardiac surgery, neurovascular, electrophysiology, endosurgery, endoscopy, oncology, urology, gynecology, disposables and other equipment	Health, General Masses	769.62	10,532.97
34	Sixth Schedule Table I	112A	Angioplasty Products	Health, General Masses	0.15	552.18
35	Sixth Schedule Table I	112A(i)	Coronary Artery Stents	Health, General Masses	0.15	1.29
36	Sixth Schedule Table I	112A(ii)	Drugs Eluting Coronary Artery Stents	Health, General Masses	0.00	118.99
37	Sixth Schedule Table I	112A(iii)	Coronary Artery Dilatations Catheters (Balloons)	Health, General Masses	0.00	6.19
38	Sixth Schedule Table I	112A(iv)	PTCA Guide Wire	Health, General Masses	0.00	1.23

39	Sixth Schedule Table I	112A(v)	PTCA Guiding Catheters	Health, General Masses	0.00	3.41
40	Sixth Schedule Table I	112A(vi)	Inflation Devices/Priority Packs	Health, General Masses	0.29	2.74
41	Sixth Schedule Table I	112A(vii)	Optical Coherence Technology (OCT) System	Health, General Masses	0.00	0.05
42	Sixth Schedule Table I	112A(viii)	OCT Catheters	Health, General Masses	0.00	0.03
43	Sixth Schedule Table I	112A(ix)	Intravascular Ultrasound (IVUS)	Health, General Masses	0.00	1.05
44	Sixth Schedule Table I	112A(xii)	Support Micro Catheters (Straight and Angled)	Health, General Masses	0.00	2.29
45	Sixth Schedule Table I	112A(xiii)	Drug Coated Angioplasty Balloon	Health, General Masses	4.48	0.00
46	Sixth Schedule Table I	112A(xiv)	Coronary and Peripheral Micro Coils	Health, General Masses	0.17	0.01
47	Sixth Schedule Table I	112A(xvi)	Thrombus Aspiration Catheters	Health, General Masses	0.00	0.00
48	Sixth Schedule Table I	112A(xvii)	Covered Stents (Coronary/Peripheral)	Health, General Masses	0.00	36.64
49	Sixth Schedule Table I	112A(xviii)	Vessel Closure Devices	Health, General Masses	0.00	5.98
50	Sixth Schedule Table I	112A(xxi)	Vena-cava Filters	Health, General Masses	0.00	0.00
51	Sixth Schedule Table I	112A(xxiii)	Atherectomy Devices	Health, General Masses	0.00	0.00
52	Sixth Schedule Table I	112A(xxiv)	IABP Consoles & Catheters	Health, General Masses	0.00	1.02
53	Sixth Schedule Table I	112A(xxv)	Intracardiac	Health, General Masses	0.00	0.51
54	Sixth Schedule Table I	112B	Angiography Products	Health, General Masses	0.01	3.44
55	Sixth Schedule Table I	112B(i)	Angiography Catheters	Health, General Masses	0.00	0.02
56	Sixth Schedule Table I	112B(ii)	Sheaths	Health, General Masses	0.00	0.18

57	Sixth Schedule Table I	112B(iii)	Guide Wires	Health, General Masses	0.00	55.57
58	Sixth Schedule Table I	112B(iv)	Contrast Lines	Health, General Masses	0.00	0.02
59	Sixth Schedule Table I	112B(v)	Pressure Lines	Health, General Masses	0.00	0.00
60	Sixth Schedule Table I	112B(vi)	Manifolds	Health, General Masses	0.00	0.04
61	Sixth Schedule Table I	112B(vii)	Wrist Bands for Radial Vessel Closure	Health, General Masses	0.00	2.28
62	Sixth Schedule Table I	112C	Contrast Media For Angiography/Angioplasty	Health, General Masses	0.00	0.01
63	Sixth Schedule Table I	112C(i)	Angiography Accessories	Health, General Masses	0.00	0.07
64	Sixth Schedule Table I	112C(iii)	ASD Delivery Systems	Health, General Masses	0.00	0.09
65	Sixth Schedule Table I	112C(iv)	VSD Closure Devices	Health, General Masses	0.00	0.44
66	Sixth Schedule Table I	112C(v)	VSD Delivery System	Health, General Masses	0.00	0.00
67	Sixth Schedule Table I	112D	Temporary Pacemakers	Health, General Masses	0.00	0.42
68	Sixth Schedule Table I	112E	Permanent Pacemaker	Health, General Masses	0.00	0.93
69	Sixth Schedule Table I	112G	Implantable Cardioverter	Health, General Masses	0.00	0.02
70	Sixth Schedule Table I	112H	Cardiac Electrophysiology Products	Health, General Masses	0.00	0.00
71	Sixth Schedule Table I	112H(i)	Electrophysiology catheters	Health, General Masses	0.45	0.00
72	Sixth Schedule Table I	112H(iii)	Electrophysiology connectors	Health, General Masses	0.00	0.00
73	Sixth Schedule Table I	112I	Lear Cardiology Products	Health, General Masses	0.01	44.87
74	Sixth Schedule Table I	112I(i)	Radioactive isotopes	Health, General Masses	0.00	0.04

75	Sixth Schedule Table I	112J	Cardiac Surgery Products	Health, General Masses	0.00	0.00
76	Sixth Schedule Table I	112J(i)	Oxygenators	Health, General Masses	0.00	0.41
77	Sixth Schedule Table I	112J(ii)	Cannulas	Health, General Masses	0.00	42.42
78	Sixth Schedule Table I	112J(vi)	High-Flow, Low Profile Percutaneous Heart Pump PHP Console and Catheters	Health, General Masses	0.00	0.01
79	Sixth Schedule Table I	112J(x)	Minimally invasive surgery equipment & Instruments	Health, General Masses	0.00	2.81
80	Sixth Schedule Table I	112J(xi)	RF Ablation equipment for AF (Surgical)	Health, General Masses	0.00	0.16
81	Sixth Schedule Table I	112K	Equipment	Health, General Masses	0.19	0.42
82	Sixth Schedule Table I	112K(i)	Cardiac Angiography Machine	Health, General Masses	0.00	8.73
83	Sixth Schedule Table I	112K(ii)	Echocardiography Machines	Health, General Masses	0.00	2.57
84	Sixth Schedule Table I	112K(iii)	ETT Machines	Health, General Masses	0.00	2.58
85	Sixth Schedule Table I	112K(iv)	Gamma Camera for Nuclear Cardiology Studies	Health, General Masses	0.00	0.00
86	Sixth Schedule Table I	112K(vii)	MitraClip Guide Catheter, Clip and Delivery System	Health, General Masses	0.00	2.19
87	Sixth Schedule Table I	112K(viii)	Patent Foramen Ovale (PFO) Closure Device	Health, General Masses	0.00	0.00
88	Sixth Schedule Table I	112K(xi)	Cerebral Retrievable Stents	Health, General Masses	0.00	0.00
89	Sixth Schedule Table I	112K (xii)	Aortic Stent Grafts	Health, General Masses	0.00	0.09
90	Sixth Schedule Table I	112K(xvii)	Vascular Clips	Health, General Masses	0.00	0.03
91	Sixth Schedule Table I	112K(xviii)	MRI Compatible Cardiac Monitor, Infusion Pump, Anesthesia Machine with Accessories	Health, General Masses	0.00	11.27

92	Sixth Schedule Table I	112L	Peripheral Interventions Equipment	Health, General Masses	0.00	7.14
93	Sixth Schedule Table I	120	Diagnostic kits or equipment specified therein …	Health, General Masses	1,313.02	10,441.26
94	Sixth Schedule Table I	121	Blood Bag CPDA-1 with blood transfusion set pack in aluminum foil with set.	Health, General Masses	0.54	1,220.38
95	Sixth Schedule Table I	122	Urine drainage bags	Health, General Masses	0.00	223.83
96	Sixth Schedule Table I	133	Pesticides and their active ingredients registered by the Department of Plant Protection under the Agricultural Pesticides Ordinance, 1971(II of 1971), stabilizers, emulsifiers and solvents	Agriculture	23,862.39	30,457.88
97	Sixth Schedule Table I	137	Paper weighing 60 g/m2, art paper, printing paper and art card for printing of Holy Quran imported by Federal or Provincial Governments and Nashiran-e-Quran as per quota determined by IOCO	General Masses	20.45	37.08
98	Sixth Schedule Table I	143(i)	Hearing aids (all types and kinds)	Health, General Masses	0.00	73.06
99	Sixth Schedule Table I	143(ii)(a)	Audiometers	Health, General Masses	0.00	0.40
100	Sixth Schedule Table I	143(ii)(b)	Tympanometer	Health, General Masses	0.00	0.00
101	Sixth Schedule Table I	144	Liquefied Natural Gas imported by fertilizer manufacturers for use as feed stock	Fertilizer sector	24.62	120.37
102	Sixth Schedule Table I	145	Plant, machinery, equipment including dumpers and special purpose motor vehicles, if not manufactured locally, imported by M/s China State Construction Engineering Corporation Limited (M/s CSCECL) for the construction of Karachi – Peshawar Motorway (Sukkur – Multan Section) and M/s China Communication Construction Company (M/s CCCC) for the construction of Karakorum	China State Construction Engineering Corporation Limited & China Communication Construction Company	1.95	35.23

			Highway (KKH) Phase-II - (Thakot - Havellian Section)			
103	Sixth Schedule Table I	145(i)	that the exemption under this serial number shall only be available to contractors named above;	China State Construction Engineering Corporation Limited & China Communication Construction Company	0.00	0.09
104	Sixth Schedule Table I	145(v)	for the clearance of imported goods through Pakistan Customs Computerized System the authorized officer of the Ministry shall furnish all relevant information, as set out in Annex-B, online against a specific user ID and password obtained under section 155D of the Customs Act, 1969 (IV of 1969). In Collectorates or Customs stations where the Pakistan Customs Computerized System is not operational, the Director Reforms and Automation or any other person authorized by the Collector in this behalf shall enter the requisite information in the Pakistan Customs Computerized System on daily basis, whereas entry of the data obtained from the customs stations which have not yet been computerized shall be made on weekly basis	China State Construction Engineering Corporation Limited & China Communication Construction Company	0.00	0.07
105	Sixth Schedule Table I	145(vi)	that the equipment and construction machinery, imported under this serial number, shall notbe re-exported, sold or otherwise disposed of without prior approval of the FBR. In case goods are sold or otherwise disposed of with prior approval of FBR the same shall be subject to payment of sales tax as may be prescribed by the FBR	China State Construction Engineering Corporation Limited & China Communication Construction Company	0.00	0.82
106	Sixth Schedule Table I	145(vii)	in case the equipment and construction machinery, imported under this serial number, is sold or otherwise	China State Construction Engineering Corporation	0.00	3.44

			disposed of without prior approval of the FBR in terms of para (vi) above, the same shall be subject to payment of statutory rates of sales tax as were applicable at the time of import	Limited & China Communication Construction Company		
107	Sixth Schedule Table I	145(ix)	the indemnity bond submitted in terms of para (iii) above by the importer shall be discharged on the fulfillment of conditions stipulated at para (vi) or (vii) or (viii) above, as the case may be	China State Construction Engineering Corporation Limited & China Communication Construction Company	0.00	1.35
108	Sixth Schedule Table I	147	Goods supplied to German Development Agency (Deutsche Gesellschaft für Internationale Zusammenarbeit) GIZ	German Development Agency (GIZ)	51.48	30.44
109	Sixth Schedule Table I	148	Imported construction materials and goods imported by M/s China State Construction Engineering Corporation Limited (M/s CSCECL), whether or not locally manufactured, for construction of Karachi-Peshawar Motorway (Sukkur-Multan Section) subject to fulfilment of same conditions, limitations and restrictions as are specified under S. No. 145 of this table, provided that total incidence of exemptions of all duties and taxes in respect of construction materials and goods imported for the project shall not exceed ten thousand eight hundred ninety-eight million rupees including the benefit of exemption from duties and taxes availed before 30th June, 2018 under the provisions of the Sales Tax Act, 1990, the Customs Act, 1969, the Federal Excise Act, 2005 and the Income Tax Ordinance, 2001 and Notifications issued thereunder;	China State Construction Engineering Corporation Limited	0.00	7.72
110	Sixth Schedule Table I	151(a)	Supplies	Manufacturer, General Masses	59,165.98	68,670.85

111	Sixth Schedule Table I	151(b)	imports of plant, machinery, equipment for installation in tribal areas and of industrial inputs by the industries located in the tribal areas, as defined in the Constitution of Islamic Republic of Pakistan, as made till 30th June, 2024, to which the provisions of the Act or the notifications issued thereunder, would have not applied had Article 247 of the Constitution not been omitted under the Constitution (Twenty-fifth Amendment) Act, 2018 (XXXVII of 2018)	Manufacturer, General Masses	6,031.75	5,022.56
112	Sixth Schedule Table I	152	Supplies of electricity, as made from the day of assent to the Constitution (Twenty-fifth Amendment) Act, 2018, till 30th June 2024, to all residential and commercial consumers in tribal areas, and to such industries in the tribal areas which were set and started their industrial production before 31st May 2018, but excluding steel and ghee or cooking oil industries	Residential and commercial consumers of electricity in tribal areas except steel and ghee/cooking oil industries	443.75	14,148.24
113	Sixth Schedule Table I	156	Import of CKD kits by local manufacturers of following Electric Vehicles: – (i) Road Tractors for semi-trailers (Electric Prime Movers) (ii) Electric Buses (iii) Three-Wheeler Electric Rickshaw (iv) Three-Wheeler Electric Loader (v) Electric Trucks (vi) Electric Motorcycle	Local manufacturers of Electric Vehicles, General Masses	813.93	338.54
114	Sixth Schedule Table I	163	Goods imported by various agencies of the United Nations, diplomats, diplomatic missions, privileged persons and privileged organizations which are covered under various Acts and, Orders, rules and regulations made thereunder; and agreements by the Federal Government	United Nations, diplomats, diplomatic missions, privileged persons and privileged organizations	50.78	328.20

115	Sixth Schedule Table I	164	Photovoltaic cells whether or not assembled in modules or made up into panels	General Masses	13,874.46	18,262.32
116	Sixth Schedule Table I	165	Goods imported by or donated to hospitals run by the nonprofit making institutions subject to the similar restrictions, limitations, conditions and procedures as are envisaged for the purpose of applying zero-rate of customs duty on such goods under the Customs Act, 1969, (IV of 1969).	Health, General Masses	467.21	901.89
117	Sixth Schedule Table I	166	Goods excluding electricity and natural gas supplied to hospitals run by the charitable hospitals of fifty beds or more.	Health, General Masses	3,869.06	9,850.25
118	Sixth Schedule Table I	167	Goods temporarily imported into Pakistan, meant for subsequent exportation charged to zero-rate of customs duty subject to the similar restrictions, limitations, conditions and procedures as are envisaged for the purpose of applying zero-rate of customs duty on such goods under the Customs Act, 1969 (IV of 1969).	Importer/ General Masses	0.31	154.64
119	Sixth Schedule Table I	168	Fertilizers excluding DAP	Agriculture	129,272.45	232,631.91
120	Sixth Schedule Table I	169	Oil cake and other solid residues	Agriculture	11,203.66	6,334.48
121	Sixth Schedule Table I	170	Tractor	Agriculture	15,413.85	11,552.04
122	Sixth Schedule Table I	171	Seeds for sowing	Agriculture	8,830.80	9,675.80
123	Sixth Schedule Table I	172	Machinery, equipment and materials imported either for exclusive use within the limits of Export Processing Zone or for making exports therefrom, and goods imported for warehousing purpose in Export Processing Zone, subject to the conditions that such machinery, equipment, materials and goods are imported by investors of Export Processing Zones, and	Manufacturer, General Masses	82.79	89.01

			all the procedures, limitations and restrictions as are applicable on such goods under the Customs Act, 1969 (IV of 1969) and rules made thereunder shall mutatis mutandis, apply.			
124	Sixth Schedule Table I	173	Goods produced or manufactured in and exported from Pakistan which are subsequently imported in Pakistan within one year of their exportation, provided conditions of section 22 of the Customs Act, 1969 (IV of 1969), are complied with.	Manufacturer, General Masses	0.02	140.32
125	Sixth Schedule Table I	174	Machinery and equipment as listed at serial number 32 of the Table of Part-I of Fifth Schedule to the Customs Act, 1969 (IV of 1969), subject to the conditions, limitations and restrictions specified thereunder.	Manufacturer, General Masses	1.87	36.35
Total from Sixth Schedule Table I (Local Supplies)					**342,803.97**	**528,060.12**

5.1.2.4. Sixth Schedule Table II (Local Supplies)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Sixth Schedule Table II	3	Supplies made by cottage industry.	General Masses	7.73	369.96
2	Sixth Schedule Table II	6	Supply of fixed assets against which input tax adjustment is not available under a notification issued in terms of clause (b) of sub-section (1) of section 8 of the Sales Tax Act, 1990.	General Masses	193.04	268.15
3	Sixth Schedule Table II	7	Vermicillies, sheer mal, bun and rusk excluding those sold in bakeries, and sweet shops falling in the category of Tier-1 retailers.	General Masses	8,728.82	10,154.55
4	Sixth Schedule Table II	8	Foodstuff cooked or prepared in-house and served in messes run on the basis of mutuality and industrial canteens for workers.	General Masses	3.50	15.64

5	Sixth Schedule Table II	10	Agricultural produce of Pakistan, not subjected to any further process of manufacture.	Agriculture/ General Masses	3,175.77	6,677.54
6	Sixth Schedule Table II	21	Poultry feed, cattle feed, sunflower seed meal, rape seed meal and canola seed meal	Poultry/ General Masses	93,893.73	80,803.87
7	Sixth Schedule Table II	30	Milk and cream, concentrated or containing added sugar or other sweetening matter, excluding that sold in retail packing under a brand name	General Masses	3,545.44	4,421.68
8	Sixth Schedule Table II	34	Butter, excluding that sold under a brand name	General Masses	610.74	640.98
9	Sixth Schedule Table II	35	Desi ghee, excluding that sold under a brand name	General Masses	412.10	426.48
10	Sixth Schedule Table II	36	Cheese, excluding that sold under a brand name	General Masses	1,091.11	2,609.10
11	Sixth Schedule Table II	40	Live Animals and live poultry	Agriculture	11,097.61	6,536.26
12	Sixth Schedule Table II	41	Live Animals and live poultry	General Masses	770.49	8,919.49
13	Sixth Schedule Table II	42	Fish and crustaceans excluding those sold under a brand name	General Masses	25.51	77.77
14	Sixth Schedule Table II	43	Live plants including bulbs, roots and the like	General Masses	70.94	324.22
15	Sixth Schedule Table II	44	Cereals other than rice, wheat, wheat and meslin flour	General Masses	1,539.02	1,212.70
16	Sixth Schedule Table II	45	Edible vegetables including roots and tubers whether fresh, frozen or otherwise reserved (e.g. in cold storage) but excluding those bottled or canned.	General Masses	217.62	1,435.45
17	Sixth Schedule Table II	46	Edible fruits	General Masses	44.86	997.27
18	Sixth Schedule Table II	47	Sugar cane	General Masses	797.56	327.98
19	Sixth Schedule Table II	48	Eggs including eggs for hatching	General Masses	999.03	1,592.37
20	Sixth Schedule Table II	49	Compost (non-commercial fertilizer)	Agriculture Sector	98.83	129.90

21	Sixth Schedule Table II	50	Locally manufactured laptops, computers, notebooks whether or not incorporating multimedia kit and personal computers	Information Technology/ General Masses	0.87	56.91
22	Sixth Schedule Table II	51	Newspaper	General Masses	23.58	129.84
23	Sixth Schedule Table II	52	Raw hides and skins	General Masses	119.06	261.49
24	Sixth Schedule Table II	53	Prepared food or foodstuff supplied by Restaurants and caterers	General Masses	4.81	10.32
25	Sixth Schedule Table II	54	All types of bread, nans and chapattis	General Masses	1,743.41	1,160.70
26	Sixth Schedule Table II	55	Single cylinder agriculture diesel engines (compression ignition internal combustion piston engines) of 3 to 36 HP.	Agriculture Sector	91.30	76.33
Total from Sixth Schedule Table II (Local Supplies)					**129,306.50**	**129,636.95**

5.1.2.5. Sixth Schedule Table III (Local Supplies)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Sixth Schedule Table III	12	Machinery, equipment and other project related items including capital goods, for setting up hotels, power generation plants, water treatment plants and other infrastructure related projects located in an area of 30 km around the zero point in Gwadar	Gwader Port Development	55.70	127.36
2	Sixth Schedule Table III	18(i)	Bare PCBs	General Masses	0.00	3.34
3	Sixth Schedule Table III	18(ii)	Power Amplifier	General Masses	0.00	0.61
4	Sixth Schedule Table III	18(iii)	Microprocessor/ Controllers	General Masses	0.00	0.01
5	Sixth Schedule Table III	18(iv)	Equipment for SMT Manufacturing	General Masses	0.00	0.33

6	Sixth Schedule Table III	18(v)	Laptop batteries	General Masses	0.00	3.42
7	Sixth Schedule Table III	18(vi)	Adopters	General Masses	0.00	0.02
8	Sixth Schedule Table III	18(vii)	Cooling fans	General Masses	0.00	0.02
9	Sixth Schedule Table III	18(ix)	Hard Disk SSD	General Masses	0.00	5.18
10	Sixth Schedule Table III	18(x)	RAM/ROMS	General Masses	0.00	0.05
11	Sixth Schedule Table III	18(xii)	LCD / LED Screen	General Masses	0.00	0.05
12	Sixth Schedule Table III	18(xiii)	Motherboards	General Masses	0.00	0.00
13	Sixth Schedule Table III	18(xv)	Optical Drives	General Masses	0.00	0.07
14	Sixth Schedule Table III	18(xvi)	External Ports	General Masses	0.00	0.85
15	Sixth Schedule Table III	18(xvii)	Network cards	General Masses	0.01	3.21
16	Sixth Schedule Table III	18(xx)	micro phone	General Masses	0.00	2.79
17	Sixth Schedule Table III	19	Plant and machinery, except the items listed under Chapter 87 of the Pakistan Customs Tariff, imported for setting up of a Special Economic Zone (SEZ) by zone developers and for installation in that zone by zone enterprises, on one time basis as prescribed in the SEZ Act, 2012 and rules thereunder subject to such condition, limitations and restriction as a Federal Board of Revenue may impose from time to time.	Special Economic Zone (SEZ)	17.36	653.23
18	Sixth Schedule Table III	20	Plant and machinery for the assembly/ manufacturing of electric vehicles	General Masses	0.02	1.77
19	Sixth Schedule Table III	22	1.Machinery, equipment and spares meant for initial installation, balancing, modernization, replacement or	General Masses	23.97	206.49

			expansion of projects for power generation through hydel, oil, gas, coal, nuclear and renewable energy sources including under construction projects entered into an implementation agreement with the Government of Pakistan prior to 15th day of January 2022. 2. Construction machinery, equipment and specialized vehicles, excluding passenger vehicles, imported on a temporary basis as required for the construction of project.			
Total from Sixth Schedule Table III (Local Supplies)					**97.06**	**1,008.80**

Total Exemption under Sixth Schedule (Local Supplies)	**472,207.53**	**658,705.87**
Adjustment @30%	**141,662.26**	**197,611.76**
Total Exemption after adjustment under Sixth Schedule (Local Supplies)	**330,545.27**	**461,094.11**

5.1.2.6. Sixth Schedule Table I (Import)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Sixth Schedule Table I	13	Edible vegetables imported from Afghanistan including roots and tubers, except ware potato and onions, whether fresh, frozen or otherwise preserved (e.g. in cold storage) but excluding those bottled or canned	General Masses	3,038.26	1,340.97
2	Sixth Schedule Table I	14	Pulses	General Masses	40,597.36	37,087.49
3	Sixth Schedule Table I	16	Red chillies excluding those sold under brand names and trademarks	General Masses	45.01	70.90
4	Sixth Schedule Table I	17	Ginger excluding those sold under brand names and trademarks.	General Masses	3,195.24	2,613.50
5	Sixth Schedule Table I	18	Turmeric excluding those sold under brand names and trademarks.	General Masses	101.18	19.27

6	Sixth Schedule Table I	19	Rice, wheat, wheat and meslin flour	Agriculture Sector	66,559.71	13,759.28
7	Sixth Schedule Table I	20	Seeds, fruit and spores of a kind used for sowing.	Agriculture Sector	0.00	9.53
8	Sixth Schedule Table I	31	Holy Quran, complete or in parts, with or without translation; Quranic Verses recorded on any analogue or digital media; other Holy books.	General Masses	22.83	23.79
9	Sixth Schedule Table I	32	Newsprint, newspapers, journals, periodicals, books but excluding directories.	General Masses	1,738.77	1,911.26
10	Sixth Schedule Table I	33	Currency notes, banknotes, shares, stocks and bonds.	General Masses	2,863.06	6,875.73
11	Sixth Schedule Table I	45	Dextrose and saline infusion giving sets along with empty non-toxic bags for infusion solution, Dextrose and saline infusion giving sets, Artificial parts of the body, Intra-Ocular lenses and Glucose testing equipment.	Health/General Masses	2,214.12	1,761.25
12	Sixth Schedule Table I	47	Import of articles of household and personal effects including vehicles and also the goods for donation to projects established in Pakistan imported by any of the rulers of Gulf Sheikhdoms who is in possession of residential accommodation in Pakistan and goods including vehicles by the United Arab Emirates dignitaries as are listed in column (2) against heading No. 99.05 in column (1) of the First Schedule to the Customs Act, 1969 (IV of 1969) for their personal use and for donation to welfare projects established in Pakistan subject to the similar conditions as are envisaged for the purposes of applying zero rate of customs duty on such goods under the said Act.	Gulf Dignitaries	0.39	0.63
13	Sixth Schedule Table I	48	Goods imported or supplied under grants-in-aid for which a specific consent has been	International Aid	3,961.55	3,358.04

			obtained from the Board supplies and imports under agreements signed by the Government of Pakistan before the 30th of June, 1996, provided the agreements contained the provision for exemption of tax at the time of signing of agreement.			
14	Sixth Schedule Table I	59	Artificial kidneys, eye cornea, hemodialysis machines, hemodialyzers, A.V. fistula needles, hemodialysis fluids and powder, blood tubing tines for dialysis and reverse osmosis plants for dialysis, double lumen catheter for dialysis, catheter for renal failure patient and peritoneal dialysis solution, cochlear implants systems and angioplasty equipment (balloons, catheters, wires and stents), subject to the similar conditions and procedures as are envisaged for the purpose of applying zero-rate of customs duty on these goods under the Customs Act, 1969 (IV of 1969)	Health/General Masses	2,169.96	1,318.43
15	Sixth Schedule Table I	86	Colors in sets (Poster colors)	Manufacturer/ General Masses	46.96	34.09
16	Sixth Schedule Table I	87	Writing, drawing and making inks	Manufacturer/ General Masses	75.52	59.60
17	Sixth Schedule Table I	88	Erasers	Manufacturer/ General Masses	74.43	72.95
18	Sixth Schedule Table I	89	Exercise books	Manufacturer/ General Masses	21.74	9.31
19	Sixth Schedule Table I	90	Pencil sharpeners	Manufacturer/ General Masses	13.49	7.14
20	Sixth Schedule Table I	94	Wheelchairs	Manufacturer/ General Masses	331.53	228.07
21	Sixth Schedule Table I	96	Other drawing, marking out or mathematical calculating instruments (geometry box)	Manufacturer/ General Masses	16.22	23.01

22	Sixth Schedule Table I	97	Pens, ball pens, markers and porous tipped pens	Manufacturer/ General Masses	314.67	219.12
23	Sixth Schedule Table I	98	Pencils including color pencils	Manufacturer/ General Masses	870.01	766.80
24	Sixth Schedule Table I	100	Construction materials to Gwadar Export processing Zone's investors and to Export Processing Zone Gwadar for development of Zone's infrastructure	Gwadar EPZ	2,747.39	2,479.10
25	Sixth Schedule Table I	100A	Materials and equipment (plant, machinery, equipment, appliances and accessories) for construction and operation of Gwadar Port and development of Free Zone for Gwadar Port as imported by or supplied to China Overseas Ports Holding Company Limited (COPHCL) and its operating companies namely (i) China Overseas Ports Holding Company Pakistan (Private) Limited (ii) Gwadar International Terminal Limited, (iii) Gwadar Marin Services Limited and (iv) Gwadar Free Zone Company Limited, their contractors and sub-contractors; and Ship Bunker Oils bought and sold to the ships calling on/visiting Gwadar Port, by the aforesaid operating companies having Concession Agreement with the Gwadar Port Authority, for a period of forty year	(i) China overseas ports holding company Pakistan (private) limited	2.71	38.45
26	Sixth Schedule Table I	100C	Vehicles imported by China Overseas Ports Holding Company Limited (COPHCL) and its operating companies namely (i) China Overseas Ports Holding Company Pakistan (Private) Limited (ii) Gwadar International Terminal Limited, (iii) Gwadar Marine Services Limited and (iv) Gwadar Free Zone	(i) China overseas ports holding company Pakistan (private) limited	4.61	13.57

			Company Limited, for a period of twenty-three years for construction, development and operations of Gwadar Port and Free Zone Area subject to limitations, conditions prescribed under PCT heading 9917 (3)			
27	Sixth Schedule Table I	100D	Machinery, equipment, materials and goods imported either for exclusive use within the limits of Gwadar Free Zone, or for making exports therefrom, subject to the conditions that such machinery, equipment, materials and goods, are imported by investors of Gwadar Free Zone, and all the procedures, limitations and restrictions as are applicable on such goods under the Customs Act, 1969 (Act IV of 1969) and rules made thereunder shall, mutatis mutandis, apply provided that if any of such goods is taken out of the Zone for purpose other than the export, the tax on the same shall be paid by the importer.	Gwadar EPZ	813.48	344.33
28	Sixth Schedule Table I	107	Import and supply of iodized salt bearing brand names and trademarks whether or not sold in retail packing.	General Masses	4.44	5.84
29	Sixth Schedule Table I	112	Following cardiology/cardiac surgery, neurovascular, electrophysiology, endosurgery, endoscopy, oncology, urology, gynecology, disposables and other equipment	Health/ General Masses	4,366.69	1,396.67
30	Sixth Schedule Table I	120	Diagnostic kits or equipment specified therein …	Health/ General Masses	5,250.38	4,652.74
31	Sixth Schedule Table I	121	Blood Bag CPDA-1 with blood transfusion set pack in aluminum foil with set.	Health/ General Masses	479.87	443.38
32	Sixth Schedule Table I	122	Urine drainage bags	Health/ General Masses	110.38	95.79
33	Sixth Schedule Table I	133	Pesticides and their active ingredients registered by the Department of Plant	Agriculture Sector	20,976.26	18,155.98

			Protection under the Agricultural Pesticides Ordinance, 1971(II of 1971), stabilizers, emulsifiers and solvents			
34	Sixth Schedule Table I	137	Paper weighing 60 g/m2, art paper, printing paper and art card for printing of Holy Quran imported by Federal or Provincial Governments and Nashiran-e-Quran as per quota determined by IOCO	General Masses	174.17	100.12
35	Sixth Schedule Table I	143	(i) Hearing aids (all types and kinds) (ii) Hearing assessment equipment; (a) Audiometers (b) Tympanometer (c) ABR (d) Oto Acoustic Omission	Health/ General Masses	179.17	121.30
36	Sixth Schedule Table I	147	Goods supplied to German Development Agency (Deutsche Gesellschaft für Internationale Zusammenarbeit) GIZ	German Development Agency (GIZ)	32.12	0.00
37	Sixth Schedule Table I	151	(a) Supplies; and (b)imports of plant, machinery, equipment for installation in tribal areas and of industrial inputs by the industries located in the tribal areas, as defined in the Constitution of Islamic Republic of Pakistan, as made till 30th June, 2024, to which the provisions of the Act or the notifications issued thereunder, would have not applied had Article 247 of the Constitution not been omitted under the Constitution (Twenty-fifth Amendment) Act, 2018 (XXXVII of 2018)	Manufacturing Sector/ General Masses	40,831.36	20,249.54
38	Sixth Schedule Table I	154	Dietetic foods intended for consumption by suffering from children inherent metabolic disorder subject to the conditions that the importer shall acquire approval and quota from Ministry of National Health Services, Regulations and Coordination.	Health/ General Masses	88.07	120.11

39	Sixth Schedule Table I	156	Import of CKD kits by local manufacturers of following Electric Vehicles:– (i) Road Tractors for semi-trailers (Electric Prime Movers) (ii) Electric Buses (iii) Three-Wheeler Electric Rickshaw (iv) Three-Wheeler Electric Loader (v) Electric Trucks (vi) Electric Motorcycle	General Masses	558.92	146.34
40	Sixth Schedule Table I	161	Import of plant, machinery, equipment and raw materials for consumption of these items within Special Technology Zone by the Special Technology Zone Authority, zone developers and zone enterprises	Special Technology Zones	175.71	75.76
41	Sixth Schedule Table I	162	Import of raw materials, components, parts and plant and machinery by registered persons authorized under Export Facilitation Scheme, 2021 notified by the Board with such conditions, limitations and restrictions.	Export Sector	2,322.29	411.73
42	Sixth Schedule Table I	163	Goods imported by various agencies of the United Nations, diplomats, diplomatic missions, privileged persons and privileged organizations which are covered under various Acts and, Orders, rules and regulations made thereunder; and agreements by the Federal Government	Manufacturing Sector/ General Masses	3,871.07	598.61
43	Sixth Schedule Table I	164	Photovoltaic cells whether or not assembled in modules or made up into panels	Manufacturing Sector/General Masses	102,715.61	30,853.47
44	Sixth Schedule Table I	165	Goods imported by or donated to hospitals run by the nonprofit making institutions subject to the similar restrictions, limitations, conditions and procedures as are envisaged	Manufacturing Sector/General Masses	19,068.17	18,862.12

			for the purpose of applying zero-rate of customs duty on such goods under the Customs Act, 1969, (IV of 1969).			
45	Sixth Schedule Table I	167	Goods temporarily imported into Pakistan, meant for subsequent exportation charged to zero-rate of customs duty subject to the similar restrictions, limitations, conditions and procedures as are envisaged for the purpose of applying zero-rate of customs duty on such goods under the Customs Act, 1969 (IV of 1969).	Manufacturing Sector/General Masses	964.70	297.95
46	Sixth Schedule Table I	168	Fertilizers excluding DAP	Agriculture Sector	12,879.01	19,963.33
47	Sixth Schedule Table I	169	Oil cake and other solid residues	Agriculture Sector	1.11	0.00
48	Sixth Schedule Table I	170	Tractor	Agriculture Sector	1,874.87	320.09
49	Sixth Schedule Table I	171	Seeds for sowing	Agriculture Sector	11,201.19	8,686.96
50	Sixth Schedule Table I	172	Machinery, equipment and materials imported either for exclusive use within the limits of Export Processing Zone or for making exports therefrom, and goods imported for warehousing purpose in Export Processing Zone, subject to the conditions that such machinery, equipment, materials and goods are imported by investors of Export Processing Zones, and all the procedures, limitations and restrictions as are applicable on such goods under the Customs Act, 1969 (IV of 1969) and rules made thereunder shall mutatis mutandis, apply.	Manufacturing Sector/General Masses	566.91	378.02
51	Sixth Schedule Table I	173	Goods produced or manufactured in and exported from Pakistan which are	Manufacturing Sector/General Masses	411.43	120.61

			subsequently imported in Pakistan within one year of their exportation, provided conditions of section 22 of the Customs Act, 1969 (IV of 1969), are complied with.			
52	Sixth Schedule Table I	174	Machinery and equipment as listed at serial number 32 of the Table of Part-I of Fifth Schedule to the Customs Act, 1969 (IV of 1969), subject to the conditions, limitations and restrictions specified thereunder.	Manufacturing Sector/General Masses	0.01	1.42
Total from Sixth Schedule Table I (Import)					**360,944.12**	**200,503.49**

5.1.2.7. Sixth Schedule Table III (Import)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Sixth Schedule Table III	12	Machinery, equipment and other project related items including capital goods, for setting up of hotels, power generation plants, water treatment plants and other infrastructure related projects located in an area of 30 km around the zero point in Gwadar	Industrial Sector	195.79	23.58
2	Sixth Schedule Table III	19	Plant and machinery, except the items listed under Chapter 87 of the Pakistan Customs Tariff, imported for setting up of a Special Economic Zone (SEZ) by zone developers and for installation in that zone by zone enterprises, on one time basis as prescribed in the SEZ Act, 2012 and rules thereunder subject to such condition, limitations and restriction as a Federal Board of Revenue may impose from time to time.	Special Economic Zones	5,585.41	3,384.95
3	Sixth Schedule Table III	20	Plant and machinery for the assembly/ manufacturing of electric vehicles	General Masses	22.97	24.88

4	Sixth Schedule Table III	22	1.Machinery, equipment and spares meant for initial installation, balancing, modernization, replacement or expansion of projects for power generation through hydel, oil, gas, coal, nuclear and renewable energy sources including under construction projects entered into an implementation agreement with the Government of Pakistan prior to 15th day of January, 2022. 2. Construction machinery, equipment and specialized vehicles, excluding passenger vehicles, imported on temporary basis as required for the construction of project.	General Masses	5,776.75	10,740.84
Total from Sixth Schedule Table III (Import)					**11,580.92**	**14,174.25**

Total from Sixth Schedule (Import)	**372,525.04**	**214,677.74**

Total from Sixth Schedule (Local Supplies)	**330,545.27**	**461,094.11**
Total from Sixth Schedule (Import)	**372,525.04**	**214,677.74**
Total from Sixth Schedule	**703,070.31**	**675,771.85**

5.1.2.8. Eighth Schedule Table I (Reduced Rates - Local Supplies)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Eighth Schedule Table I	23	Second hand and worn clothing or footwear	Agriculture sector	33.35	5,444.03
2	Eighth Schedule Table I	43	Natural gas	Energy sector	18,417.42	10,431.05
3	Eighth Schedule Table I	44	Phosphoric acid	Chemical Industry	0.34	0.72
4	Eighth Schedule Table I	47	Locally produced coal	General Masses	0.00	781.91
5	Eighth Schedule Table I	53(i)	Projector	General Masses	0.00	0.08

6	Eighth Schedule Table I	53(ii)	Parts and accessories for projector	General Masses	0.00	0.09
7	Eighth Schedule Table I	53(iii)	Other instruments and apparatus for cinema	General Masses	0.00	0.00
8	Eighth Schedule Table I	53(vii)	Digital Loud Speakers	General Masses	0.00	0.05
9	Eighth Schedule Table I	53(viii)	Digital Processor	General Masses	0.00	0.41
10	Eighth Schedule Table I	53(x)	Amplifiers	General Masses	0.00	0.01
11	Eighth Schedule Table I	53(xi)	Audio rack and termination board	General Masses	0.00	0.00
12	Eighth Schedule Table I	53(xii)	Music Distribution System	General Masses	0.00	0.11
13	Eighth Schedule Table I	53(xiii)	Seats	General Masses	0.00	0.01
14	Eighth Schedule Table I	53(xiv)	Recliners	General Masses	0.00	0.09
15	Eighth Schedule Table I	53(xv)	Wall Panels and metal profiles	General Masses	0.00	0.00
16	Eighth Schedule Table I	53(xvi)	Step Lights	General Masses	0.00	0.28
17	Eighth Schedule Table I	53(xvii)	Illuminated Signs	General Masses	0.00	0.00
18	Eighth Schedule Table I	53(xix)	Ready Gips	General Masses	0.00	0.00
19	Eighth Schedule Table I	56	Potassium Chlorate (KCLO3)	General Masses	0.00	0.00
20	Eighth Schedule Table I	57	Rock phosphate	General Masses	0.00	31.39
21	Eighth Schedule Table I	58	LPG	General Masses	1,090.86	9,432.66

22	Eighth Schedule Table I	66	Supplies as made from retail outlets as are integrated with Board's computerized system for real-time reporting of sales	General Masses	88.08	250.42
23	Eighth Schedule Table I	70	Following locally manufactured electric vehicles	Manufacturing Inputs/General Masses	369.26	1,199.99
24	Eighth Schedule Table I	70(i)	Road Tractors for semitrailers (Electric Prime Movers)	General Masses	18.15	42.49
25	Eighth Schedule Table I	70(ii)	Electric Buses	General Masses	15.90	26.50
26	Eighth Schedule Table I	70(iii)	Three-Wheeler Electric Rickshaw	General Masses	0.00	1.02
27	Eighth Schedule Table I	70(iv)	Three-Wheeler Electric Loader	General Masses	46.15	12.83
28	Eighth Schedule Table I	70(v)	Electric Trucks	General Masses	0.73	154.82
29	Eighth Schedule Table I	70(vi)	Electric Motorcycle	General Masses	378.41	0.00
30	Eighth Schedule Table I	73(a)	Locally manufactured Hybrid electric vehicle: (a) Up to 1800 cc	General Masses	10,153.10	748.35
31	Eighth Schedule Table I	74	Goods supplied from tax-exempt areas of erstwhile FATA/PATA to the taxable areas	General Masses	135.33	48.85
32	Eighth Schedule Table I	77	personal computers and Laptop computers, notebooks whether or not incorporating multimedia kit	General Masses	369.64	6,629.15
33	Eighth Schedule Table I	78	Supply of locally manufactured articles of jewelry, or parts thereof, of precious metal or of metal clad with precious metal.	General Masses	55.78	195.24
34	Eighth Schedule Table I	79	Electric vehicle in CBU condition of 50 kwh battery or below	General Masses	6.70	9.76
35	Eighth Schedule Table I	80	EV transport buses of 25 seats or more in CBU condition	General Masses	22.78	366.84
36	Eighth Schedule Table I	81	Substances registered as drugs under the Drugs Act, 1976 (XXXI of 1976) and medicaments as are classifiable under chapter 30	Health, General Masses	158,903.89	218,165.42

			of the First Schedule to the Customs Act, 1969 (IV of 1969) except the following, even if medicated or medicinal in nature, namely:- (a) filled infusion solution bags imported with or without infusion given sets; (b) scrubs, detergents and washing preparations; (c) soft soap or no soap; (d) adhesive plaster; (e) surgical tapes; (f) liquid paraffin; (g) disinfectants, and (h) cosmetics and toilet preparations. This substitution shall be deemed to have been made from the 1st day of July, 2022.			
37	Eighth Schedule Table I	82	Raw materials for the basic manufacture of pharmaceutical active ingredients and for manufacture of pharmaceutical products, provided that in case of import, only such raw materials shall be entitled to reduced rate as specified in column (4) which are liable to customs duty not exceeding eleven per cent ad valorem, either under the First Schedule or Fifth Schedule to the Customs Act, 1969 (IV of 1969) or under a notification issued under section 19 thereof.	Health, General Masses	8,246.96	9,684.16
38	Eighth Schedule Table I	83	DAP	Agriculture sector	43,437.62	0.00
Total from Eighth Schedule Table I (Reduced Rates - Local Supplies)					**241,790.44**	**263,658.73**

5.1.2.9. Eighth Schedule Table I (Reduced Rates - Import)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Eighth Schedule Table I	23	Second hand and worn clothing or footwear	Agriculture sector	10,207.39	6,691.47

2	Eighth Schedule Table I	44	Phosphoric acid	Agriculture sector	14,958.21	13,971.41
3	Eighth Schedule Table I	53	The following cinematographic equipment imported during the period commencing on the 1st day of July, 2018 and ending on the 30th day of June 2023. (i) projector (ii) parts and accessories for projector (iii) other instruments and apparatus for cinema (i (for the expression "9405.4090", the words "respective headings" shall be substituted, vide f a 2022-23))	Media/General Masses	0.00	0.02
4	Eighth Schedule Table I	56	Potassium Chlorate (KCLO3)	General Masses	0.00	0.00
5	Eighth Schedule Table I	57	Rock phosphate	Manufacturing (Industrial Inputs)	2,671.21	2,048.04
6	Eighth Schedule Table I	58	LPG	Energy sector	17,560.25	12,046.22
7	Eighth Schedule Table I	73	Hybrid electric vehicles (87.03)	General Masses	0.00	1.12
8	Eighth Schedule Table I	77	personal computers and Laptop computers, notebooks whether or not incorporating multimedia kit	General Masses	8,380.98	4,889.65
9	Eighth Schedule Table I	79	Electric vehicle in CBU condition of 50 kwh battery or below	General Masses	96.94	3.65
10	Eighth Schedule Table I	80	EV transport buses of 25 seats or more in CBU condition	General Masses	446.12	455.17
11	Eighth Schedule Table I	81	Substances registered as drugs under the Drugs Act, 1976 (XXXI of 1976) and medicaments as are classifiable under chapter 30 of the First Schedule to the Customs Act, 1969 (IV of 1969) except the following, even if medicated or medicinal in nature, namely:- (a) filled infusion solution bags	Health/General Masses	19,970.66	19,657.45

			imported with or without infusion given sets; (b) scrubs, detergents and washing preparations; (c) soft soap or no soap; (d) adhesive plaster; (e) surgical tapes; (f) liquid paraffin; (g) disinfectants, and (h) cosmetics and toilet preparations. This substitution shall be deemed to have been made from the 1st day of July 2022.			
12	Eighth Schedule Table I	82	Raw materials for the basic manufacture of pharmaceutical active ingredients and for manufacture of pharmaceutical products, provided that in case of import, only such raw materials shall be entitled to reduced rate as specified in column (4) which are liable to customs duty not exceeding eleven per cent ad valorem, either under the First Schedule or Fifth Schedule to the Customs Act, 1969 (IV of 1969) or under a notification issued under section 19 thereof.	Health/General Masses	40,840.51	34,574.27
13	Eighth Schedule Table I	83	DAP	Agriculture sector	17,187.68	0.00
Total from Eighth Schedule Table I (Reduced Rates - Import)					**132,319.94**	**94,338.47**

Total from Eighth Schedule Table I (Reduced Rates - Local Supplies)	**241,790.44**	**263,658.73**
Total from Eighth Schedule Table I (Reduced Rates - Import)	**132,319.94**	**94,338.47**
Total from Eighth Schedule Table I (Reduced Rates)	**374,110.38**	**357,997.20**

5.1.2.10. Ninth Schedule (Cellular Mobile Phones - Local Supplies)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Ninth Schedule	1 C	Cellular mobile phones or satellite phones to be charged on the basis of import value per set, or equivalent value in rupees in case of supply by the manufacturer, at	Manufacturer / Importers of mobile phones / General Masses	0.00	1.28

			the rate exceeding US$ 30 but not exceeding US$ 100			
2	Ninth Schedule	1 D	Cellular mobile phones or satellite phones to be charged on the basis of import value per set, or equivalent value in rupees in case of supply by the manufacturer, at the rate exceeding US$ 100 but not exceeding US$ 200	Manufacturer / Importers of mobile phones / General Masses	0.00	0.04
3	Ninth Schedule	1 E	Cellular mobile phones or satellite phones to be charged on the basis of import value per set, or equivalent value in rupees in case of supply by the manufacturer, at the rate exceeding US$ 200 but not exceeding US$ 350	Manufacturer / Importers of mobile phones / General Masses	0.00	0.00
4	Ninth Schedule	1 F	Cellular mobile phones or satellite phones to be charged on the basis of import value per set, or equivalent value in rupees in case of supply by the manufacturer, at the rate exceeding US$ 350 but not exceeding US$ 500	Manufacturer / Importers of mobile phones / General Masses	0.00	0.07
5	Ninth Schedule	1 G	Cellular mobile phones or satellite phones to be charged on the basis of import value per set, or equivalent value in rupees in case of supply by the manufacturer, at the rate exceeding US$ 500	Manufacturer / Importers of mobile phones / General Masses	0.00	0.00
6	Ninth Schedule	5	Sales tax on supply of locally manufactured mobile phones in CBU condition in addition to tax applied on imports in CKD/SKD condition	Manufacturer / Importers of mobile phones / General Masses	1,324.92	33,055.65
Total from Ninth Schedule (Cellular Mobile Phones - Local Supplies)					**1,324.92**	**33,057.04**

5.1.2.11. Twelfth Schedule (Additional Tax)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Twelfth Schedule	2(I)	Raw materials and intermediary goods imported by a manufacturer for in-house consumption excluding compressor scrap (PCT heading 7204.4940), motor scrap (PCT heading 7204.4990) and copper cable cutting scrap (PCT heading 7404.0090).	General Masses	0.00	165,665.07

2	Twelfth Schedule	2(II)	The petroleum products falling in chapter 27 of Pakistan customs tariff as imported by a licensed oil marketing company for sale in the country;	General Masses	0.00	13,127.05
3	Twelfth Schedule	2(III)	Registered service providers importing goods for their in-house business use for furtherance of their taxable activity and not intended for further supply;	General Masses	0.00	5,612.23
4	Twelfth Schedule	2(IV)	Cellular mobile phones or satellite phones	General Masses	0.00	3,187.03
5	Twelfth Schedule	2(V)	LNG / RLNG	General Masses	36,909.62	6,269.18
6	Twelfth Schedule	2(VI)	Second hand and worn clothing or footwear (PCT heading 6309.000)	General Masses	2,281.42	1,557.40
7	Twelfth Schedule	2(IX)	The goods as specified in the third Schedule on which tax is paid on retail price basis	General Masses	4,866.25	4,754.56
8	Twelfth Schedule	2(X)	Plant , machinery and equipment falling in chapter 84 and 85 of the first Schedule to the customs act, 1969(iv of 1969), as are imported by a manufacturer for in house installation or use	Manufacturer / General Masses	4,130.63	7,526.78
9	Twelfth Schedule	2(XI)	Electric vehicles (4 wheelers) CKD kits for small cars or SUVs, with 50 kwh battery or below and light commercial vehicles (LCVs) with 150 kwh battery or below till the 30th day of June, 2026	General Masses	9.53	8.83
10	Twelfth Schedule	2(XII)	Electric vehicles (4 wheelers) small cars or SUVs, with 50 kwh battery or below and light commercial vehicles (LCVs) with 150 kwh battery or below in CBU condition till the 30th day of June, 2026	General Masses	97.91	188.43
11	Twelfth Schedule	2(XIII)	Electric vehicles (2-3 wheelers and heavy commercial vehicles) in CBU condition till the 30th day of June, 2025.	General Masses	83.27	80.03
12	Twelfth Schedule	2(XIV)	Motor cars of cylinder capacity up to 850cc	General Masses	564.19	89.75
Total from Twelfth Schedule (Additional Tax)					**48,942.81**	**208,066.34**

5.1.2.12. SROs (Local supplies)

(Rs. In Million)

S. No.	SRO	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	1212(I)/2018	Exemption from extension of Federal Taxes to erstwhile FATA/PATA	Erstwhile FATA / PATA	0.00	4,828.77
2	1636(1)/2022	Exemption from sales tax on import and supply of goods as certified by NDMA and PDMA for flood affectees	Flood Affectees	0.00	209.06
3	327(I)/2008	The Export Oriented Units And Small And Medium Enterprises Rules, 2008	The Export Oriented Units And Small and Medium Enterprises	0.00	3,714.91
Total from SROs (Local supplies)				**0.00**	**8,752.74**

5.1.2.13. SROs (Import)

(Rs. In Million)

S. No.	SRO	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	1636(I)/2022	Exemption for a period of ninety days the import and supply of the goods as certified by the national disaster management authority or a provincial disaster management authority for relief operation for flood affectees, from the whole of the sales tax.	Flood Affectees	0.00	578.00
2	1635(I)/2022	Import of all goods received, in the event of a natural disaster or other catastrophe, as gifts and relief consignments or any goods received as gift or donation from a foreign government or organization by the federal or provincial governments or any public sector organization.	Natural Disaster Affectees	0.00	0.00
3	1640 (I)/2022	In exercise of the powers conferred by clause (a) of sub-section (2) of section 13 of the sales tax act, 1990, the federal Government is pleased to exempt till the 3 1't day of December, 2022 the import of onion (PCT heading 0703.1000) and tomatoes (PCT heading 0702.0000), from whole of the sales tax.	General Masses	0.00	4,287.95

4	1963(I)/2022	The federal government is pleased to exempt whole of sales tax payable on goods supplied to Japan international cooperation agency (JICA), Japan and services provided to it within Islamabad capital territory by service providers registered under the sales tax act, 1990	Japan International Cooperation Agency (JICA)	0.00	0.00
05	01(I)/2023	Exemption to whole of sales tax in respect of old contingent owned equipment (COE) or used stores of civil armed forces, as the case may be, that were repatriated and have arrived at Karachi port after completion of united nations peacekeeping mission in Darfur (Sudan).	United Nations Peace keeping Mission	0.00	79.40
60	70(I)/2023	In exercise of the powers conferred by clause (a) of sub-section (2) of section 13 of the sales tax act, 1990 (vii of 1990), the federal government is pleased to exempt for a period of three months from the 1st day of December, 2022 the import and supply of the donation consignments and relief items as certified by the national disaster management authority or a provincial disaster management authority for relief operation for flood affectees, from the whole of the sales tax.	Flood Affectees	0.00	180.84
Total from SROs (Import)				**0.00**	**5,126.19**

5.1.2.14. Various Sections (Zero Rating)

(Rs. In Million)

S. No.	Section	Serial	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	Section 4 (B)	-	Supply of stores and provisions for consumption aboard a conveyance proceeding to a destination outside Pakistan as specified in section 24 of the Customs Act, 1969 (IV of 1969)	General Masses	28,549.54	25,159.00
Total from Various Sections (Zero Rating)					**28,549.54**	**25,159.00**

Sales Tax Expenditure (Local Supplies)	**680,569.97**	**992,997.90**
Sales Tax expenditure (Import)	**556,535.91**	**526,985.63**
Total Sales Tax Expenditures	**1,237,105.88**	**1,519,983.53**

5.1.3. Details of Customs Duty Expenditure

5.1.3.1. Chapter - 99

(Rs. In Million)

S. No.	Exemption Order	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	9901	Goods imported by various agencies of the United Nations	Agencies under the United Nations	1,397.71	980.30
2	9902	Goods imported by Diplomats/Embassies /Consulates	Diplomats	988.00	1,077.57
3	9903	Goods imported by privileged personnel or by organizations or by any person authorized by the contracting parties, under grant-in-aid agreements	Privileged personnel or by organizations or by any person authorized by the contracting parties, under grant-in-aid agreements (including those agreements which cover off budget foreign contributions or funds brought by registered INGO's without any financial liabilities to the Government of Pakistan).	5,485.85	5,535.91
4	9904	Vehicles in CKD condition, imported by recognized local manufacturers for supply to diplomat, diplomatic mission, privileged person.	Diplomats	0.00	0.00
5	9905	Import by Dignitaries of UAE, Qatar and Bahrain	Diplomats	0.00	0.00
6	9906	Goods imported under the President/Prime Minister/Governors/Salary, Allowances and Privileges Act, 1975.	The President and the Prime Minister of Pakistan. The Governors and the Acting Governors of the Provinces.	8.80	4.72

7	9908	Goods received as gift by Pakistani organizations from Church World Services or the Catholic Relief Services as are certified by the Ministry of National Health Services Regulation and Coordination (NHSRC), that these imports are made under agreements signed by the Government of Pakistan with the Church World Service and with the Catholic Relief Service	Goods received as gift by Pakistani organizations	52.71	0.00
8	9909	Articles, value of which does not exceed Rs.20,000/- per parcel, if imported through post or courier service as unsolicited gift parcel	Articles, value of which does not exceed Rs.20,000/- per parcel, if imported through post or courier service as unsolicited gift parcel	8.98	14.76
9	9910	Samples of no commercial value imported by manufacturers	Samples of no commercial value imported by manufacturers	4.87	14.67
10	9911	Relief goods donated for free distribution among the victims of natural disaster or other catastrophe, as are certified by the authorized officer of Federal/Provincial Government, Plant, machinery and equipment imported by way of donation for installation in the earthquake hit districts	(i) Relief goods donated for free distribution among the victims of natural disaster or other catastrophe, as are certified by the authorized officer of Federal/Provincial Government. (ii) Plant, machinery and equipment imported by way of donation for installation in the earthquake hit districts as certified by ERRA/National Disaster Management Authority.	1,090.88	4,000.72
11	9912	Imports by Edhi Foundation	Imports by Edhi Foundation	7.08	0.02
12	9913	Gifts or donations received by a charitable non-profit making hospital or institution	Gifts or donations received by a charitable non-profit making hospital or institution	10,477.51	11,797.54
13	9914	Imports by Charitable Institutions and Hospitals	Imports by Charitable Institutions and Hospitals	3,309.88	3,206.00
14	9915	Goods imported by or donated to non -profit making educational and research institutions	Goods imported by or donated to non -profit making educational and research institutions	281.13	190.00

15	9916	Goods supplied free of cost as replacement of identical goods previously imported	Importer/ General Masses	149.10	116.00
16	9917	Goods Imported Into And Exported (Except To Tariff Area Of Pakistan) From The Export Processing Zones Established Under The Export Processing Zone Authority Ordinance, 1980	EPZs	2,835.12	3,020.08
17	9918	Following Goods Not Produced Or Manufactured In Pakistan Which Are Re-Imported After Having Been Exported And Have Not Undergone Any Process Outside Pakistan	Re-importation after repairs work	151.54	30.65
18	9919	Goods Imported Temporarily For A Period Not Exceeding 6 Months Into Pakistan With A View To Subsequent Exportation, Subject To Furnishing Of Bank Guarantee Or Other Security/Guaran	Importer/ General Masses	1,262.43	0.00
19	9020	Temporary Imports of Goods	Importer/ General Masses	62.16	0.00
20	9922	Ship spares, stores and equipment imported for use in ships registered in Pakistan	Importer/ General Masses	25.78	29.71
21	9923	Currency Notes, Unused Stamps	General Masses	795.29	0.00
22	9924	Eye cornea	Health, General Masses	0.18	0.00
23	9925	Artificial kidneys, hemodialysis machines, hemodialysis, A.V. fistula needles, hemodialysis fluids and powder, blood tubing tines for dialysis, reverse osmosis plants for dialysis, double lumen catheter for dialysis, catheters for renal failure patients, peritoneal dialysis solution and cardiac catheters.	Health, General Masses	590.12	858.78
24	9927	Pharmaceutical raw materials if imported for manufacture of contraceptives in accordance with the input output ratios determined by the Directorate of Input Output Coefficient Organization.	Health, General Masses	194.15	145.80

		Contraceptives and accessories thereof			
25	9029	Goods Mentioned Below If Imported In Accordance With The Conditions And Procedures Laid Down In Import And Export Of Gold, Gold Jewelry and Gemstones Order, 2001	Importer/ General Masses	213.41	0.00
26	9930	Any goods, including vehicles, specified in the First Schedule to the Customs Act, 1969 (IV of 1969) imported by Federal/Provincial/ Local Government Departments, Municipal bodies and Development authorities subject to the condition that the goods are donated to the importers for use in an approved foreign grant funded project under a proper grant relating to Capital Aid-Technical Assistant Agreement signed between the Government of Pakistan and a foreign government or agency subject to concurrence of the Federal Board of Revenue	General Masses	1,514.35	1,841.61
27	9931	Ground handling equipment, service and operation vehicles, catering equipment and fuel trucks not manufactured locally, imported by domestic airlines or by any other service company to which a license has been issued by the Civil Aviation Authority for such purposes.	Importer/ General Masses	60.37	117.77
28	9937	Items relating to disabled persons like Wheelchairs, Artificial human parts. Items used for rehabilitation of blind people etc.	Importer/ General Masses	273.20	203.54
29	9938	Disposables, as are not manufactured locally, for Cardiology/cardiac surgery, Neurovascular, Electrophysiology, Endo-surgery, Endoscopy, Oncology, Urology,	Health, General Masses	865.88	877.42

		Gynecology; and following equipment: -			
30	9939	Diagnostic kits for HIV and Hepatitis	Health, General Masses	886.64	800.14
31	9941	goods imported by or donated to municipal authorities including development authorities, Federal Government, Provincial Government, Government of Azad Jammu and Kashmir, Government of Gilgit-Baltistan, National Disaster Management Authority (NDMA), Provincial Disaster Management Authority (PDMA) and Government Emergency/Rescue services,	General Masses	488.07	0.00
Total from Chapter - 99				**33,481.21**	**34,863.70**

5.1.3.2. FTA & PTA

(Rs. In Million)

S. No.	Exemption Order	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	1151(I)/2007	section 19	FTA: Exemption from customs duty on imports from Mauritius	0.00	0.00
2	1261(I)/2007	section 19	FTA: General exemption on import from Malaysia under PTA	4,993.51	4,759.81
3	1274(I)/2006	section 19	FTA: General exemption on import from SAARC countries under SAFTA Agreement	336.28	253.50
4	1296(I)/2005	section 19	FTA: China Early Harvest Program (prescribes FTA CD rate)	2.60	1.53
5	1640(I)/2019	section 19	FTA: General exemption on import from China under Pak-China FTA	47,166.69	32,327.02
6	280(I)/2014	section 19	FTA: General exemption on import from Sri Lanka under Pak-Sri Lanka FTA	2,503.37	2,225.01

7	329(I)/2023	section 19	FTA: Pakistan Uzbekistan Transit Agreement	0.00	0.00
8	497(I)/2009	section 19	FTA: Concession from customs duties on import of goods from China	0.00	0.00
9	502(I)/2023	Section 19	FTA: Pak-Turkey	511.61	14.88
10	558(I)/2004	section 19	FTA: General exemption on import from ECO	23.37	0.94
11	659(I)/2007	section 19	FTA: Pak-China	10.38	0.00
12	741(I)/2013	section 19	PTA: General exemption on import from Indonesia under Pak-Indonesia PTA	5,424.89	4,523.84
13	894(I)/2006	section 19	PTA: Exemption from Customs Duty on Import from Iran under Pak-Iran PTA	0.00	0.00
Total from FTA & PTA				**60,972.71**	**44,106.53**

5.1.3.3. Fifth Schedule

(Rs. In Million)

S. No.	Exemption Order	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	5th Schedule (Customs Duty) Part I	Exemption under the Customs Act, 1969	Import of Plant, Machinery, equipment and apparatus, including Capital Goods for various industries/sectors	39,334.98	32,438.30
2	5th Schedule (Customs Duty) Part II	Exemption under the Customs Act, 1969	Import of Active pharmaceutical Ingredients by pharma sector	32,993.77	34,035.94
3	5th Schedule (Customs Duty) Part III	Exemption under the Customs Act, 1969	Poultry, Textile sectors & Misc.	161,700.38	83,762.77
4	5th Schedule (Customs Duty) Part IV	Exemption under the Customs Act, 1969	Machinery and equipment for Textile Sector	203.13	414.06
5	5th Schedule (Customs Duty) Part V	Exemption under the Customs Act, 1969	Automotive manufacturing sector (Auto Policy)	26.47	1,753.92

6	5th Schedule (Customs Duty) Part V(A)	Exemption under the Customs Act, 1969	Electric vehicles	7,684.05	2,763.74
7	5th Schedule (Customs Duty) Part V(B)	Exemption under the Customs Act, 1969	For CKD & EV specific parts	12,877.74	753.23
8	5th Schedule (Customs Duty) Part V(C)	Exemption under the Customs Act, 1969	Electric vehicles	432.37	0.00
9	5th Schedule (Customs Duty) Part VI	Exemption under the Customs Act, 1969	Aviation Sector (Aviation Policy)	489.91	696.96
10	5th Schedule (Customs Duty) Part VII	Exemption under the Customs Act, 1969	Essential edible items like pulses, potato etc. Oil and Oil products, Inputs of export sectors etc.	124,003.12	34,069.49
Total from Fifth Schedule				**379,745.92**	**190,688.42**

5.1.3.4. General Concessions: Automobile sector, E&Ps, CPEC, etc.

(Rs. In Million)

S. No.	Exemption Order	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	4(I)/2016	Section 19	Exemption on duties and taxes chargeable on imports by (USCBP) United States Customs and Border Protection, on scanners and equipment/spare and replacement parts for installation at integrated cargo container control terminal (IC3) at Port Muhammad Bin Qasim.	10.32	0.00
2	39(I)/2017	Section 19	Exemption form CD on import of certain items of cotton	82.88	94.00
3	40(I)/2017	Section 19	Lahore Orange Metro Train Project	5.19	
4	41(I)/2009	Section 19	Special Industrial and Economic Zones	1,112.05	1,721.00
5	73(I)/2023	Section 19	Flood Relief Activities	0.00	241.00
6	107(I)/2019 and 48(I)/2018	Section 19	Textile Sector (Local Yarn Producers) Import of Cotton	0.00	0.00
7	121(I)/2014	Section 19	Pak-Afghan Transit Trade	20.87	0.00
8	268(I)/2015	Section 19	Mining equipment & machinery imported by Thar Coal Field	893.20	517.00
9	450(I)/2001	Section 19	Customs Rules 2001	845.01	0.00
10	499(I)/2013	Section 19	Auto Sector: General concession for import of Hybrid Electric Vehicles	10,103.68	449.00

11	533(I)/2021	Section 19	Exempt the whole of CD on import of Cotton Yarn	0.00	
12	545(I)/2022	Section 19	MOC Import Policy Order	45.49	0.00
13	565(I)/2006	Section 19	Raw material of survey based local industries: Stationary /Electrical Capacitor/ Pesticides/ Distilled Fatty Acids/CRC & GI coils/Fans/Transformers/Electric Motors manufacturers	2,934.62	3,100.00
14	642(I)/2016	Section 19	Imports by M/s. CSCEL for Karachi-Peshawar Motorway	0.00	109.00
15	644(I)/2018	Section 19	General: Concession of CD on import of electric motor vehicles	0.00	0.00
16	655(I)/2006	Section 19	Vendors of automotive sector	37,205.20	38,344.00
17	656(I)/2006	Section 19	OEMs of automotive sector	72,243.01	93,849.00
18	678(I)/2014	Section 19	Exploration and Production companies	7,507.87	7,084.00
19	760(I)/2013	Section 19	Import of Precious Metals, Jewellery and Gemstones	223.69	0.00
20	968(I)/2022	Section 19	Exempt the import into Pakistan from Afghanistan of the specific goods	1.16	0.00
21	994(I)/2019	Section 19	EPZ Retain Machienry Period	1.69	
22	1638(I)/2022	Section 19	Flood Relief Activities	0.00	1,090.00
Total from General Concessions: Automobile sector, E&Ps, CPEC, etc				**133,235.91**	**146,598.00**

5.1.3.5. Exports

(Rs. In Million)

S. No.	Exemption Order	Description	Intended Beneficiary	Tax Expenditure 2023-24	Tax Expenditure 2022-23
1	SRO.450(I)/2001	Section 21A	DTRE	734.66	7,133.90
2	SRO.450(I)/2001	9917(1)	EPZ	23,780.58	23,487.54
3	SRO.450(I)/2001	9917(5)	Export Facilitation Scheme	0.00[25]	23,211.00
4	327(I)/2008	Section 219	Export Oriented Unit	2,161.93	34,465.00
5	326(I)/2008	Section 19	Export Oriented Unit	0.00	0.00
6	SRO.450(I)/2001	Section 21A	Manufacturing Bond	712.87	20,445.00
7	SRO.492(I)/2009	Section 19	Temporary Import	17,564.46	17,369.00
8	9919	Chapter 99 Exemptions	Temporary Import (For Export). Packing material, machinery and equipment for repair, professional equipment	0.00	1,128.00

[25] No tax impact

9	9920	Chapter 99 Exemptions	Temporary Import (For Export). Excavation equipment, Scientific equipment, machinery imported for demonstration purposes	0.00	25.00
Total from Exports				**44,954.50**	**127,264.44**

Total of Customs Duty Expenditure	**652,390.25**	**543,521.08**

5.2. Appendix B: List of New Insertions/Omissions in FA 2023

5.2.1. Overall Insertions / New additions

5.2.1.1. List of Insertions in FA 2023 (Income Tax Ordinance, 2001)

S. No.	Clause No. / Schedule / Part	Description of Clause	Inserted by
1	Section 44A of Part VII of Chapter III	Exemption under Foreign Investment (Promotion and Protection) Act, 2022 (XXXV of 2022). – (1) Taxes on income (including capital gains), advance tax, withholding taxes, minimum and final taxes under this Ordinance shall, for the period and to the extent provided in the Second and Third Schedules to the Foreign Investment (Promotion and Protection) Act, 2022 (XXXV of 2022) in respect of qualified investment as specified at Sr. No.1 of the First Schedule to the said Act or investors, be exempt or subject to tax at the rate and in the manner specified under the said Act. (2) All investors and shareholders of the qualified investment, their associates and companies specified in the Second and Third Schedules to the said Act including third party lenders on account of any loan shall also be exempt from taxes and other provisions of this Ordinance or subject to tax at the rate and in the manner specified under the said Act for the period and to the extent provided in the Second and Third Schedules to the said Act. (3) Provisions of this Ordinance relating to Anti-Avoidance, for the period and to the extent specified in the said Act including sections 106, 106A, 108, 109 and 109A, shall not apply to the persons and amounts mentioned in sub-sections (1) and (2). (4) Rates of depreciation, initial allowance and pre-commencement expenditure under sections 22, 23 and 25 as on the 20th day of March, 2022 shall continue to be applicable for thirty years as provided in the Third Schedule to the said Act in respect of persons mentioned in sub-sections (1) and (2). (5) For the purpose of this section, the terms defined under the Second and Third Schedules to the said Act shall apply mutatis mutandis to this Ordinance.	Inserted by the Finance Act, 2023.
2	Clause (5A) of Part-I of Second Schedule	Any allowance or perquisite paid or allowed as such outside Pakistan by the Government to a citizen of Pakistan for rendering service outside Pakistan	Inserted by the Tax Laws (Amendment) Act, 2023 (XVI of 2023)

3	Clause 66 of Part-I of Second Schedule	(lxiii) The Prime Minister's Relief Fund for Flood, Earthquake and Other Calamities with effect on and from the 5th August, 2022. (lxiv) Film and Drama Finance Fund (lxv) Export-Import Bank of Pakistan (lxvi) Shaheed Mohtarma Benazir Bhutto Institute of Trauma, Karachi (lxvii) Shaheed Zulfikar Ali Bhutto Institute of Science and Technology (xlvi) Balochistan Bar Council (xlvii) Islamabad Bar Council (xlviii) Khyber Pakhtunkhwa Bar Council (xlix) Punjab Bar Council (l) Sindh Bar Council (li) Shaheed Zulfikar Ali Bhutto Foundation (SZABF)	Added by the Finance Act, 2023
4	Clause 105C of Part-I of Second Schedule	Any income derived by Kuwait Foreign Trading Contracting and Investment Company or Kuwait Investment Authority being dividend of the Pak-Kuwait Investment Company in Pakistan from the year of incorporation of Pak-Kuwait Investment Company.	Inserted by the Tax Laws (Amendment) Act, 2023 (XVI of 2023)
5	Clause 11A of Part-IV of Second Schedule	(xlvi) The Prime Minister's Relief Fund for Flood, Earthquake and Other Calamities with effect on and from the 5th August, 2022.	Added by the Finance Act, 2023
6	Clause 121of Part-IV of Second Schedule	The provisions of section 151 shall not apply to the Prime Minister's Relief Fund for Flood, Earthquake and other calamities with effect on and from the 5th August, 2022.	Added by the Finance Act, 2023.
7	Clause 122 of Part-IV of Second Schedule	The provisions of section 236 shall not apply on the amount donated through SMS to the Prime Minister's Relief Fund for Flood, Earthquake and other calamities with effect on and from the 5th day of August, 2022.	Added by the Finance Act, 2023.
8	Clause 123 of Part-IV of Second Schedule	The provisions of section 148 shall for a period of 2[three months from the 1st day of December, 2022] not apply to goods required and imported for relief operation for flood affectees, duly certified by the National Disaster Management Authority or the Provincial Disaster Management Authority.	Added by the Finance Act, 2023.
9	Clause 124 of Part-IV of Second Schedule	The provisions of section 148 shall not apply to tomato (PCT heading 0702.0000) and onion (PCT heading 0703.1000) imported till the 31st day of December, 2022.	Added by the Finance Act, 2023.

5.2.1.2. List of Insertions in FA 2023 (Sales Tax Act, 1990)

(Rs. In Million)

S. No.	Schedule	Serial	Description	Remarks	Tax Expenditure
1	Fifth Schedule	8A	Imports or supplies made by, for or to a qualified investment as specified at Serial No.1 of the First Schedule to the Foreign Investment (Promotion and Protection) Act, 2022 for the period as specified in the Second Schedule to the said Act	Inserted by the Finance Act, 2023	101.33 (Local) 1.20 (Import)
2	Fifth Schedule	12(xxv)	Other drawing, marking out or mathematical calculating instruments (geometry box) (PCT heading 9017.2000)	Substituted by the Finance Act, 2023	62.08 (Local) 0.00 (Import)
3	Eight Schedule Table I	81	Substances registered as drugs under the Drugs Act, 1976 (XXXI of 1976) and medicaments as are classifiable under chapter 30 of the First Schedule to the Customs Act, 1969 (IV of 1969) except the following, even if medicated or medicinal in nature, namely:- (a) filled infusion solution bags imported with or without infusion given sets; (b) scrubs, detergents and washing preparations; (c) soft soap or no soap; (d) adhesive plaster; (e) surgical tapes; (f) liquid paraffin; (g) disinfectants, and (h) cosmetics and toilet preparations. This substitution shall be deemed to have been made from the 1st day of July, 2022.	Substituted by the Finance Act, 2023	321,926.54 (Local) 19,970.66 (Import)
4	Eight Schedule Table I	82	Raw materials for the basic manufacture of pharmaceutical active ingredients and for manufacture of pharmaceutical products, provided that in case of import, only such raw materials shall be entitled to reduced rate as specified in column (4) which are liable to customs duty not exceeding eleven per cent ad valorem, either under the First Schedule or Fifth Schedule to the Customs Act, 1969 (IV of 1969) or under a notification issued under section 19 thereof.	Substituted by the Finance Act, 2023	8,905.99 (Local) 40,840.51 (Import)
5	Eight Schedule Table I	83	DAP	Inserted by the Finance Act, 2023	85,083.34 (Local) 17,187.68 (Import)

5.2.1.3. List of Insertions in FA 2023 (Customs Act, 1969)

S. No.	Clause No. / Schedule / Part	Description of Clause	Inserted by
Nil			

5.2.2. Overall Omissions/ Deletions

5.2.2.1. List of Omissions in FA 2023 (Income Tax Ordinance, 2001)

S. No.	Clause No. / Schedule / Part	Description of Clause	Omitted by
1	Clause 100 of Part IV of Second Schedule	The provisions of section 236U shall not apply to an insurance collecting premium under:- (a) Crop Loan Insurance Scheme (CLIS); and (b) Livestock Insurance Scheme (LIS).”	Omitted by the Finance Act, 2023

5.2.2.2. List of Omissions in FA 2023 (Sales Tax Act, 1990)

S. No.	Schedule	Serial	Description	Omitted by
1	Sixth Schedule Table I	159	Import of auto disable Syringes till 31st December, 2021 (i) with needles (ii) without needles	Omitted by the Finance Act, 2023
2	Sixth Schedule Table I	160	Import of following raw materials for the manufacturers of auto disable syringes till 31st December, 2021 (i) Tubular metal needles (ii) Rubber Gaskets	Omitted by the Finance Act, 2023

5.2.2.3. List of Omissions in FA 2023 (Customs Act, 1969)

S. No.	Clause No. / Schedule / Part	Description of Clause	Omitted by
Nil			

5.3. Appendix C: International Obligations, Structural Benchmarks, Exclusions from Tax Base

S. No.	Section No./ Clause No.	Description
1.	Section 23	Initial Allowance - A person who places an eligible depreciable asset into service in Pakistan for the first time in a tax year shall be allowed a deduction (hereinafter referred to as an "initial allowance" computed in accordance with subsection (2), provided the asset is used by the person for the purposes of his business for the first time or the tax year in which commercial production is commenced, whichever is later.
2.	Section 41	Agricultural Income
3.	Section 45	President's Honour
4.	Section 47	Scholarships
5.	Section 54	Exemptions & Tax Concessions given in other laws
6.	Clause 26 of Part-I of Second Schedule	Any income of a person representing the sums received by him as a worker from out of the Workers Participation Fund established under the Companies Profits (Workers Participation) Act, 1968 (XII of 1968)
7.	Clause 12O of Part-IV of Second Schedule	The provisions of section 148 shall not apply on import of drones donated by Ministry of Agriculture and Rural Affairs (MARA), Government of China to Pakistan through Sea Route.

5.4. Appendix D: Procedural Clauses (Second Schedule, ITO, 2001)

S. No.	Clause No.	Description
1.	Clause 103A of Part I of Second Schedule	Any income derived from inter-corporate dividend within the group companies entitled to group taxation under section 59AA subject to the condition that return of the group has been filed for the tax year
2.	Clause 114B of Part I of Second Schedule	Profit and gains accruing to persons mentioned in proviso to sub-section (1) of section 236C in respect of first sale of immovable property acquired from or allotted by the Federal Government or Provincial Government or any authority duly certified by the official allotment authority, and the property acquired or allotted is in recognition of services rendered by the Shaheed or the person who dies in service.
3.	Clause 5AC of Part II of Second Schedule	The rate of tax to be deducted under sub-section (2) of section 152 or under section 151, as the case may be, shall be zero percent of the gross amount of profit on debt paid, covered under clauses (78) and (79) of Part I of the Second Schedule
4.	Clause 24A of Part II of Second Schedule	The rate of tax, under clause (a) of sub-section (1) of section 153, from distributors of cigarette and pharmaceutical products shall be 1% of the gross amount of payments.
5.	Clause 24C of Part II of Second Schedule	The rate of tax under clause (a) of sub-section (1) of section 153 in the case of distributors, dealers, sub-dealers, wholesalers and retailers of fast moving consumer goods, fertilizer, electronics excluding mobile phones, sugar, cement, and edible oil as recipient of payment shall be 0.25% of gross amount of payments subject to the condition that beneficiaries of reduced rate are appearing on the Active Taxpayers' Lists issued under the provisions of the Sales Tax Act, 1990 and the Income Tax Ordinance, 2001 (XLIX of 2001)
6.	Clause 24CA of Part II of Second Schedule	The rate of tax under clause (a) of sub-section (1) of section 153 in case of a person, other than a company, as a recipient of payment for goods supplied to Utility Stores Corporation of Pakistan shall be 1.5% of the gross amount of payment in respect of supply of tea, spices, salt, dry milk, sugar, pulses wheat flour and ghee for the period commencing from the 7th day of April, 2020 and ending on 30th day of September, 2020: Provided that this clause shall not be applicable to supply of tea, spices, salt and dry milk which are sold under a brand name:
7.	Clause 31 of Part II of Second Schedule	The rate of tax under clause (a) of sub-section (1) of section 153 shall be 1% on payment for sale of gold and silver and articles thereof and the tax so deducted shall be adjustable
8.	Clause 1A of Part IV of Second Schedule	The provision of clause (d) of section 46 shall not apply to Sukuk issued by "The Second Pakistan International Sukuk Company Limited" and the Third Pakistan International Sukuk Company Limited
9.	Clause 3 of Part IV of Second Schedule	The provisions of clause (b) of 5 [component C of the formula contained in] sub-section (2) of section 61 shall not apply in case of donations made to Agha Khan Hospital and Medical College, Karachi
10.	Clause 5 of Part IV of Second Schedule	The provisions of section 111 regarding un-explained income or assets shall not apply in respect of, — (i) any amount of foreign exchange deposited in a private Foreign Currency account held with an authorized bank in Pakistan in accordance with the Foreign Currency Accounts Scheme introduced by the State Bank of Pakistan: Provided that the exemption clause shall not be available in respect of any incremental deposits made on or after the 16th day of December, 1999 in such accounts held by a resident person or in respect of any amount deposited in accounts opened on or after the said date by such person. (ii) any amount invested in the acquisition of Three Years Foreign Currency Bearer Certificates issued under the Foreign Currency Bearer Certificates Rules, 1997. (iii) rupees withdrawn or assets created out of such withdrawal in rupees from private foreign currency accounts, or encashment of Foreign Exchange Bearer Certificates, US Dollar Bearer Certificates and Foreign Currency Bearer Certificates.
11.	Clause 9AA of Part IV of Second Schedule	Provisions of clause (a) of sub-section (1) of section 153, shall not apply to ship breakers as recipient of payment
12.	Clause 11A of Part IV of Second Schedule	Exemption from Minimum Tax U/s 113 for Pakistan Red Cresent Society
13.	Clause 11A of Part IV of Second Schedule	Exemption from Minimum Tax U/s 113 for China Overseas Port Holding Company Ltd
14.	Clause 11A of Part IV of Second Schedule	Exemption from Minimum Tax U/s 113 for Gwadar International Terminals Limited
15.	Clause 11A of Part IV of Second Schedule	Exemption from Minimum Tax U/s 113 for Gawadar Free Zone Company Limited
16.	Clause 11A of Part IV of Second Schedule	Exemption from Minimum Tax U/s 113 for Mobile phone manufacturers engaged in the local Manufacturing Sector of mobile phone devices.
17.	Clause 11B of Part-IV of Second Schedule	The provisions of section 150 shall not apply in respect of intercorporate dividend within the group companies entitled to group taxation under section 59AA subject to the condition that the return of the group has been filed for the latest completed tax year
18.	Clause 11C of Part IV of Second Schedule	The provisions of section 151 shall not apply in respect of intercorporate profit on debt within the group companies entitled to group taxation under section 59AA "subject to the condition that the return of the

		group has been filed for the latest completed tax year
19.	Clause 11E of Part IV of Second Schedule	The provisions of clause (b) of sub-section (1) of section 153 shall not apply to payments received by Sui Southern Gas Company Limited and Pakistan LNG Terminal Limited from Sui Northern Gas Pipelines Limited on account of regasification charges
20.	Clause 12(a) of Part IV of Second Schedule	The provisions of clause (l) of section 21 and clause (a) of sub-section (1) of section 153 shall not apply where agricultural produce is purchased directly from the grower of such produce subject to provision of a certificate by the grower to the withholding agent
21.	Clause 12B of Part IV of Second Schedule	The provisions of section 148 shall not apply to the import of certain goods for a period commencing from 20th day of March, 2020 and ending on 31st day of December, 2021
22.	Clause 12BA of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of thirty million adult 3xPly Knit face masks received as humanitarian assistance from M/s HANES Brands Inc. North Carolina, USA for distribution within the population of Lahore Division, Government of the Punjab
23.	Clause 12C of Part IV of Second Schedule	The provision of section 148 shall not apply to persons importing pulses for a period commencing from the 7th day of April, 2020 and ending on 30th September, 2020
24.	Clause 12D of Part IV of Second Schedule	The provisions of section 148 shall not apply on the import of finished drug Remdesivir 100 mg injection and injectable solution 100 mg vial for the period starting from the 22nd day of June, 2020 and ending on the date as may be notified by the Board in the official Gazette on recommendation of the National Health Services, Regulation and Coordination Division
25.	Clause 12E of Part IV of Second Schedule	The provisions of section 148 shall not apply to persons on import of medicines for treatment of life threatening rare diseases not manufactured in Pakistan, subject to the following conditions, namely:— (i) the import is approved by the Board, through notification in the official Gazette; (ii) the specification and quantity of medicine is recommended by the National Health Services, Regulation and Coordination Division in a prescribed format on a case to case basis; and (iii) such medicine is required for the personal use of the importing person or his immediate family member
26.	Clause 12F of Part IV of Second Schedule	The provision of section 148 shall not apply on import of 1.5 million tons of wheat having PCT Heading 1001.1900 and 1001.9900 in pursuance of Cabinet Decision in case No.399/23/2020 dated the 16th June, 2020
27.	Clause 12G of Part IV of Second Schedule	The provisions of section 148 shall, in pursuance of the Cabinet Decision in case No. 541/30/2020 dated the 4th August, 2020, not apply on import by the Trading Corporation of Pakistan of 300,000 metric tons of white sugar having PCT heading 1701.9910,1701.9920 specification B
28.	Clause 12H of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of certain goods for a period of three months starting from the 23rd of June, 2020
29.	Clause 12I of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of 83 X Micron sprayers for Anti-Locust Operation (Respective heading) by National Disaster Management Authority (NDMA)
30.	Clause 12J of Part IV of Second Schedule	The provisions of section 148 shall, in pursuance of the Cabinet Decision in case No. 34/02/2021, dated the 12th January, 2021, not apply on import of three hundred thousand metric tons of wheat through tendering process by the Trading Corporation of Pakistan
31.	Clause 12K of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of following goods by the manufacturers of oxygen for a period of three months starting from the 25th day of December, 2020
32.	Clause 12L of Part IV of Second Schedule	The provisions of section 148 and 153 shall not apply on import and subsequent supply of five hundred thousand metric tons of white sugar imported by the Trading Corporation of Pakistan
33.	Clause 12M of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of certain goods for a period of one hundred and eighty days starting from the 14th day of May, 2021
34.	Clause 12N of Part IV of Second Schedule	The provisions of section 148 shall not apply on the import of goods which takes place within the jurisdiction of Border sustenance markets specified in Table-I
35.	Clause 38 of Part IV of Second Schedule	The provisions of section 151, 153, 233 and 236Q shall not apply to special purpose vehicle for the purpose of securitization4 [“or issue of sukuks
36.	Clause 38A of Part IV of Second Schedule	The provisions of sections 150, 151 and 233 shall not apply to a Venture Capital Company
37.	Clause 38C of Part IV of Second Schedule	The provisions of section9 [150,] 151, 152, 153 and 233 shall not apply to the Islamic Development Bank
38.	Clause 38D of Part IV of Second Schedule	The provisions of section 151 and 153 shall not apply to the National Disaster Risk Management Fund
39.	Clause 43A of Part IV of Second Schedule	The provisions of sub-section (1) of section 153 shall not apply to payments received by a person 6 [ ] on account of supply of petroleum product imported by the same person under the Government of Pakistan’s deregulation policy of POL products
40.	Clause 43B of Part IV of Second Schedule	The provisions of clause (a) sub-section (1) of section 153 shall not apply to payments received on sale of air tickets by travelling agents, who have paid withholding tax on their commission income
41.	Clause 43C of Part IV of Second Schedule	The provision of clause (a) of sub-section (1) of section 153 shall not be applicable to any payment received by a petroleum agent or distributor who is registered under Sales Tax Act, 1990 on account of supply of petroleum products
42.	Clause 43D of Part IV of Second Schedule	The provisions of 2 [clauses (a) and (b)] of sub-section (1) of section 153 shall not apply in case of an oil tanker contractor with effect from 1st July 2008, provided that such contractor pays tax @ 2.5%, on the payments for rendering or providing of carriage services
43.	Clause 43E of Part IV of Second Schedule	The provisions of 5 [clauses (a) and (b)] of sub section (1) of section 153 shall not apply in case of goods transport contractors, provided that such contractors pay tax at the rate of 3.5% on payments for

		rendering or providing of carriage services
44.	Clause 43F of Part IV of Second Schedule	The provisions of section 153 shall not apply in the case of a start-up, being recipient of payment, as defined in clause (62A) of section 2
45.	Clause 43G of Part IV of Second Schedule	The provisions of section 153 shall not apply to commodity futures contracts listed on a Futures Exchange licensed under the Futures Market Act, 2016 (XIV of 2016).
46.	Clause 43H of Part IV of Second Schedule	The provisions of clause (b) of sub-section (1) of section 153 shall not apply to an exhibitor or a distributor of a feature film, as a payer, on payment made to a distributor, producer or importer of a feature film
47.	Clause 45 of Part IV of Second Schedule	The provisions of 1 [sub-section 2 (1) of section 153 shall not apply to any manufacturer-cum-exporter as the prescribed person
48.	Clause 45A of Part IV of Second Schedule	The rate of deduction of withholding tax under clauses (a) and (b) of sub-section (1) of section 153 shall be one per cent on local sales, supplies and services provided or rendered to the taxpayers falling in the given categories
49.	Clause 45B of Part IV of Second Schedule	The provisions of section 153 shall not apply on the purchase of used motor vehicles from general public
50.	Clause 46 of Part IV of Second Schedule	The provisions of sub-section (1) of section 153 shall not apply to any payment received by an oil distribution company or an oil refinery and provisions of sub-section (2A) of section 152 shall not apply to Permanent Establishment of Non-resident Petroleum Exploration and Production (E&P) Companies] for supply of its petroleum products.
51.	Clause 46A of Part IV of Second Schedule	the provisions of sub-section 5(3) of section 153 shall not apply to any payment received by a manufacturer of iron and steel products relating to sale of goods manufactured by him.
52.	Clause 46AA of Part IV of Second Schedule	The provisions of section 153 shall not apply to the certain persons as recipients of payment
53.	Clause 47A of Part IV of Second Schedule	The provisions of section 153 shall not apply in respect of payments received by a resident person for supply of such goods as were imported by the same person and on which tax has been paid under section 148
54.	Clause 47B of Part IV of Second Schedule	The provisions of sections 150, 151, 233 and Part I, Division VII of the First Schedule shall not apply to any person making payment to National Investment Unit Trust or a collective investment scheme or Approved Pension Fund or an Approved Income Payment Plan or a REIT Scheme including Special Purpose Vehicle or a recognized provident fund or an approved superannuation fund or an approved gratuity fund
55.	Clause 47C of Part IV of Second Schedule	The provisions of sub-section (1) of section 154 shall not apply to an exporter in respect of cooking oil or vegetable ghee exported to Afghanistan, from whom advance tax has been collected under section 148 on import of edible oil
56.	Clause 47D of Part IV of Second Schedule	The provisions of clause (a) of sub-section (3) of section 153 shall not apply to cotton ginners
57.	Clause 56 of Part IV of Second Schedule	The provisions of section 148, regarding withholding tax on imports shall not apply in respect of Certain Individuals / Entities
58.	Clause 56F of Part IV of Second Schedule	The provision of sub-section (2) of section 156A and clause (a) of subsection (1) of section 169 shall not apply in respect of a person if the person opts to file return of total income along with accounts and documents as may be prescribed, subject to the condition that minimum tax liability under normal tax regime shall not be less than 10% of the commission or discount received
59.	Clause 59(iv)(b) of Part IV of Second Schedule	The provisions of section 151, regarding withholding tax on profit on debt, shall not apply in the case of any resident individual, no tax shall be deducted from income or profits paid on investment in monthly income Savings Accounts Scheme of Directorate of National Savings, where monthly installment in an account does not exceed one thousand rupees
60.	Clause 60 of Part IV of Second Schedule	The provisions of sections 148 and 153 shall not apply to fully as well partly designed/assembled cypher devices, for use within the country as are verified by Cabinet Division (NTISB) with reference to design, quality and quantity
61.	Clause 60A & 60AA of Part IV of Second Schedule	60A.The provisions of section 148 shall not apply for import of plant, machinery and equipment in the case of:- (a) M/s China State Construction Engineering Corporation Ltd. (M/s CSCEC); and (b) M/s China Communication Construction Company (M/s CCCC); 60AA. The provisions of section 148 of the Income Tax Ordinance, 2001(XLIX of 2001), shall not apply for import of construction materials or goods upto a maximum of 10,898.000 million rupees imported by China State Construction Engineering Corporation (M/s CSCEC) for construction of Sukkur-Multan section of Karachi-Peshawar Motorway project of National Highway Authority under CPEC.
62.	Clause 60D of Part IV of Second Schedule	The provisions of section 148 shall not apply on import of firefighting equipments by industrial undertakings set up in the special economic zones established by the Federal Government
63.	Clause 60DA of Part IV of Second Schedule	The provisions of section 148 shall not apply to the import of the capital equipment as defined in Special Technology Zones Authority Act, 2021 (XVII of 2021). (a) Zone developers as defined in Special Technology Zones Authority Act, 2021 (XVII of 2021) for consumption in the special technology zones for the period of ten years commencing from the date of signing the development agreement; (b) Zone enterprises as defined in Special Technology Zones Authority Act, 2021 (XVII of 2021) for a

		period of ten years from the date of issuance of license by the Special Technology Zone Authority; and (c) Special Technology Zones Authority established under Special Technology Zones Authority Act, 2021 (XVII of 2021)
64.	Clause 60E of Part IV of Second Schedule	The provisions of section 148 shall not apply on mobile phones brought in personal baggage under Baggage Rules, 2006
65.	Clause 62 of Part IV of Second Schedule	The following provisions of Section 97 shall not apply in case of transfer of assets on amalgamation of companies or their businesses or acquisition of shares, requiring that transferor: (a) be resident company; and (b) belong to a wholly-owned group of resident companies. Provided that: (i) the transferee resident company shall own or acquire at least 75% of the share capital of the transferor company or the business in Pakistan of the transferor company; (ii) the amalgamated company is a company incorporated in Pakistan; (iii) the assets of the amalgamating company or companies immediately before the amalgamation become the assets of the amalgamated company by virtue of the amalgamation, otherwise than by purchase of such assets by the amalgamated company or as a result of distribution of such assets to the amalgamated company after the winding up of the amalgamating company or companies; (iv) the liabilities of the amalgamating company or companies immediately before the amalgamation become the liabilities of the amalgamated company by virtue of the amalgamation; and (v) the scheme of amalgamation is sanctioned by the State Bank of Pakistan, any court or authority as may be required under the law.
66.	Clause 67 of Part IV of Second Schedule	The provisions of sections 150, 151, 152, 153 and 233 shall not apply in respect of payments made to the International Finance Corporation established under the International Finance Corporation Act, 1956 (XXVII of 1956)
67.	Clause 67A of Part IV of Second Schedule	The provisions of section 100B and Eighth Schedule shall not apply to transactions carried on upto 30th day of June, 2015, on any Stock Exchange of Pakistan, by International Finance Corporation established under the International Finance Corporation Act, 1956 (XXVIII of 1956)
68.	Clause 68 of Part IV of Second Schedule	The provisions of sections 151, 153 and 155 shall not apply in respect of payments made to the Pakistan Domestic Sukuk Company Ltd
69.	Clause 70 of Part IV of Second Schedule	The provisions of section 148, regarding withholding tax on imports, shall not apply in respect of goods or classes of goods for the execution of contract, imported by contractors and sub-contractors engaged in the execution of power project under the agreement between the Islamic Republic of Pakistan and HUB Power Company Limited
70.	Clause 72 of Part IV of Second Schedule	The provisions of sections 150, 151, 152, 153 and 233 shall not apply in respect of payments made to The ECO Trade and Development Bank.
71.	Clause 73 of Part IV of Second Schedule	To mitigate part of the cost of obtaining foreign support to fill productivity gap, income tax payable by a foreign expert shall be exempted provided that such expert is acquired with the prior approval of the Ministry of Textile Industry
72.	Clause 74 of Part IV of Second Schedule	The provisions of sub-section (8) of section 22 shall not apply to Civil Aviation Authority (CAA) in respect of the asset transferred for the purpose of the ijara agreement between Pakistan Domestic Sukuk Company Limited and the Federal Government.
73.	Clause 75 of Part IV of Second Schedule	The provisions of sub-section (15) of section 22 shall not apply to Civil Aviation Authority (CAA) on the assets acquired from the Federal Government which were previously transferred for the purpose of the Ijara agreement between Pakistan Domestic Sukuk Company Limited and the Federal Government
74.	Clause 77 of Part IV of Second Schedule	Provisions of sections 148 and 153 shall not be applicable on import and subsequent supply of items with dedicated use of renewable sources of energy
75.	Clause 79A of Part IV of Second Schedule	The provisions of clause (b) of sub-section (1) of section 153 shall not apply to payments received by National Telecommunication Corporation against provision of telecommunication services including ancillary services specified in subsection (3) of section 41 of the Pakistan Telecommunication (Re-organization) Act, 1996 (XVII of 1996)
76.	Clause 91 of Part IV of Second Schedule	The provisions of section 148 shall not apply to- (i) Tillage and seed bed preparation equipment (ii) Seeding or planting equipment (iii) Irrigation, drainage and agro-chemical application equipment (iv) Harvesting, threshing and storage equipment (v) Post-harvest handling and processing & miscellaneous machinery;
77.	Clause 92 of Part IV of Second Schedule	The provisions of section 148 shall not apply to: (i) Aircraft, whether imported or acquired on wet or dry lease (ii) Maintenance kits for use in trainer aircrafts (iii) Maintenance kits for use in trainer aircrafts (iv) Spare parts for use in aircrafts, trainer aircrafts or simulators (v) Machinery, equipment and tools for setting up maintenance, repair and overhaul (MRO) workshop by MRO company recognized by Aviation Division (vi) Operational tools, machinery, equipment and furniture and fixtures on one-time basis for setting up Greenfield airports by a company authorized by Aviation Division (vii) Aviation simulators imported by airline company recognized by Aviation Division
78.	Clause 93 of Part IV of	The provisions of sub-section (1) of section 154 shall not apply to taxpayers operating halal meat

	Second Schedule	production and qualifying for exemption under clause(126K) of Part-I of this Schedule for the period specified in clause (126K)
79.	Clause 95 of Part IV of Second Schedule	The provisions of sections 147, 151, 152, 236A and 236K shall not apply to the Second Pakistan International Sukuk Company Limited, the Third Pakistan International Sukuk Company Limited and The Pakistan Global Sukuk Programme Company Limited, as a payer
80.	Clause 95A of Part IV of Second Schedule	The provisions of section 236A shall not apply in respect of auction of franchise rights to participating teams in a national or international league organized by any board or other organization established by the Government in Pakistan for the purposes of controlling, regulating or encouraging major games and sports recognized by the Government with effect from the first day of July; 2019
81.	Clause 96 of Part IV of Second Schedule	The provisions of sections 151, 153, 155 and 236C shall not apply to the Second Pakistan International Sukuk Company Limited, the Third Pakistan International Sukuk Company Limited and the Pakistan Global Sukuk Programme Company Limited, as a recipient
82.	Clause 97 of Part IV of Second Schedule	the provision of section 236C shall not apply to Pakistan International Sukuk Company Limited
83.	Clause 97A of Part IV of Second Schedule	The provisions of sections 37, 236C and 236K shall not apply to National Highway Authority in respect of transfer of immovable property to the Pakistan Global Sukuk Programme Company Limited and in respect of transfer of immoveable property to National Highway Authority from the Second Pakistan International Sukuk Company Limited or the Pakistan Global Sukuk Programme Company Limited
84.	Clause 98 of Part IV of Second Schedule	The provisions of section 148 shall not apply to import of ships and other floating crafts including tugs, survey vessels and other specialized crafts purchased or bare-boat chartered by a Pakistani entity and flying Pakistani flag: Provided that exemption under this clause shall be available up to the year 2030, subject to the condition that the ships and crafts are used for the purpose for which they were procured, and in case such ships and crafts are used for demolition purposes, tax collectible under section 148, applicable to ships and crafts purchased for demolition purposes, shall be chargeable.
85.	Clause 102 of Part IV of Second Schedule	The provisions of section 231B (1A) shall not apply to light commercial vehicles leased under the Prime Minister's Youth Business Loan Scheme
86.	Clause 102A of Part IV of Second Schedule	The provisions of section 233 shall not apply to commission received by a retail branchless banking agent on any amount disbursed by the Ehsaas Emergency Cash Transfer Programme for the period commencing on 16th April, 2020 and ending on 30th day of September, 2020
87.	Clause 103 of Part IV of Second Schedule	The provisions of section 7B shall not apply to yield or profit on investment in Bahbood Savings Certificate or Pensioner's Benefit Account, provided that tax on the said yield or profit on debt is paid at the rates specified in Division I of Part I of the First Schedule subject to clause (6) of Part III
88.	Clause 104 of Part IV of Second Schedule	The provisions of section 5A shall not apply to a company where a restriction has been imposed on distribution of dividend on account of an agreement with the Government of Pakistan
89.	Clause 105A of Part IV of Second Schedule	The provisions of section 177 and 214C shall not apply to a person whose income tax affairs have been audited in any of the preceding four tax years
90.	Clause 107 of Part IV of Second Schedule	The provisions of section 111 relating to unexplained income or assets shall not apply in respect of any contribution paid to the Supreme Court of Pakistan – Diamer Bhasha & Mohmand Dams – Fund
91.	Clause 108 of Part IV of Second Schedule	The provisions of sections 113 and 151 shall not apply to the Supreme Court of Pakistan – Diamer Bhasha & Mohmand Dams – Fund.
92.	Clause 109A of Part IV of Second Schedule	The provisions of sections in Division III of Part V of Chapter X and Chapter XII of the Ordinance for deduction or collection of withholding tax which were not applicable prior to commencement of the Constitution (Twenty-fifth Amendment) Act, 2018 (XXXVII of 2018) shall not apply to individual domiciled or company and association of persons resident in the Tribal Areas forming part of the Provinces of Khyber Pakhtunkhwa and Balochistan under paragraph (d) of Article 246 of the Constitution with effect from the 1st day of June, 2018 to the 30th day of June, 2023 (both days inclusive)
93.	Clause 109A of Part IV of Second Schedule	The provisions of sections in Division III of Part V of Chapter X and Chapter XII of the Ordinance for deduction or collection of withholding tax which were not applicable prior to commencement of the Constitution (Twenty-fifth Amendment) Act, 2018 (XXXVII of 2018) shall not apply to individual domiciled or company and association of persons resident in the Tribal Areas forming part of the Provinces of Khyber Pakhtunkhwa and Balochistan under paragraph (d) of Article 246 of the Constitution with effect from the 1st day of June, 2018 to the 30th day of June, 2023 (both days inclusive)
94.	Clause 110 of Part IV of Second Schedule	The provisions of sections in Division III of Part V of Chapter X and Chapter XII of the Ordinance for deduction or collection of withholding tax which were not applicable prior to commencement of the Constitution (Twenty-fifth Amendment) Act, 2018 (XXXVII of 2018) shall not apply to individual domiciled or company and association of person resident in the Tribal Areas forming part of the Provinces of Khyber Pakhtunkhwa and Balochistan under paragraph (d) of Article 246 of the Constitution with effect from the 1st day of June, 2018 to the 30th day of June, 2023 (both days inclusive).
95.	Clause 111 of Part IV of Second Schedule	The provisions of section 48 shall not apply to so much of the income of banking company as defined in the said section subject to reduced rate of tax at 20% under rules 7D, 7E and 7F of the Seventh Schedule for tax years 2020 to 2023.
96.	Clause 111A of Part IV	The provisions of section 100BA and rule 1 of the Tenth Schedule shall not apply to the extent of

	of Second Schedule	payment of dividend to non-resident persons.
97.	Clause 111AB of Part IV of Second Schedule	The provisions of section 100BA and rule 1 of the Tenth Schedule shall not apply to non-resident individual holding Pakistan Origin Card (POC) or National ID Card for Overseas Pakistanis (NICOP) or Computerized National ID Card (CNIC) maintaining a Foreign Currency Value Account (FCVA) or Non-resident Pakistani Rupee Value Account (NRVA) with authorized banks in Pakistan under the foreign exchange regulations issued by the State Bank of Pakistan.
98.	Clause 111AC of Part IV of Second Schedule	The provisions of section 100BA and rule 1 of the Tenth Schedule shall not apply to non-resident individual holding Pakistan Origin Card (POC) or National ID Card for Overseas Pakistanis (NICOP) in respect of transactions on which tax is collectible under section 236C and 236K of the Ordinance;
99.	Clause 113 of Part IV of Second Schedule	The provision of sub-section (5B) of sections 147 shall not apply in respect of capital gains arising to a non-resident company having no permanent establishment in Pakistan from investment in debt instruments and Government securities including treasury bills and Pakistan investment bonds through special convertible rupee account (SCRA) maintained with a banking company or financial institution in Pakistan.
100.	Clause 114 of Part IV of Second Schedule	The provisions of section 1 ["clause (ae) of sub-section (a) of section 114"] and 181 shall not apply to a non-resident company having no permanent establishment in Pakistan solely by reason of capital gain or profit on debt earned from investments in debt securities and Government securities including treasury bills and Pakistan investment bonds through special convertible rupee account maintained with a banking company or financial institution in Pakistan
101.	Clause 114A of Part IV of Second Schedule	The provisions of clause (ae) of sub-section (1) of section 114 and section 181 shall not apply to a non-resident individual holding Pakistan Origin Card (POC) or National ID Card for Overseas Pakistanis (NICOP) or Computerized National ID Card (CNIC) maintaining a Foreign Currency Value Account (FCVA) or a Nonresident Pakistani Rupee Value Account (NRVA) with authorized banks in Pakistan under the foreign exchange regulations issued by the State Bank of Pakistan
102.	Clause 115 of Part IV of Second Schedule	The provisions of section 153 shall not apply to traders being individuals having turnover upto one hundred million Rupees as a prescribed person.
103.	Clause 118 of Part IV of Second Schedule	The provisions of withholding taxes contained in the Income Tax Ordinance, 2001 (XLIX of 2001) shall not apply to Islamic Naya Pakistan Certificates Company Limited (INPCCL) as a recipient.
104.	Clause 119 of Part IV of Second Schedule	The provisions of section 153(1)(a) shall with effect from the first day of July, 2020 not apply to distributors, dealers, wholesalers and retailers of locally manufactured mobile phone devices as withholding agent.
105.	Clause 120 of Part IV of Second Schedule	The provisions of Divisions II and III of Part V of Chapter X and Chapter XII of the Ordinance for deduction or collection of withholding tax shall not apply to the persons mentioned in Table 1 of clause (66) of Part I of the second schedule as recipients of payment
106.	Clause 121 of Part-IV of Second Schedule	The provisions of section 151 shall not apply to the Prime Minister's Relief Fund for Flood, Earthquake and other calamities with effect on and from the 5th August, 2022.
107.	Clause 122 of Part-IV of Second Schedule	The provisions of section 236 shall not apply on the amount donated through SMS to the Prime Minister's Relief Fund for Flood, Earthquake and other calamities with effect on and from the 5th day of August, 2022.
108.	Clause 123 of Part-IV of Second Schedule	The provisions of section 148 shall for a period of 2[three months from the 1st day of December, 2022] not apply to goods required and imported for relief operation for flood affectees, duly certified by the National Disaster Management Authority or the Provincial Disaster Management Authority.

5.5. Appendix E – Data Sources

The estimates for tax expenditures related to Sales Tax and Customs Duty are derived from data obtained from the Federal Board of Revenue's (FBR) official database (PRAL). However, when it comes to estimating Income Tax expenditure, the data available from FBR's database, specifically from income tax returns, has certain limitations and is not sufficient for accurately calculating tax expenditures. To address this, additional data was requested from FBR's field formations. In many instances, data was also sourced from various third-party organizations. A list of these sources is provided below:

Federal Government and Semi-Autonomous Departments:

1. Accountant General Pakistan Revenue
2. Alternative Energy Development Board
3. Aviation Division
4. Board of Investment
5. Bureau of Emigration
6. Controller General of Accounts
7. Economic Affairs Division
8. Employees' Old-Age Benefits Institution
9. Engineering Development Board
10. Export Processing Zones Authority
11. Federal Employees Benevolent and Group Insurance Fund
12. Finance Division
13. Military Accountant General, Rawalpindi
14. Military Lands & Cantonment Headquarters, Rawalpindi
15. Ministry of Energy (Power Division)
16. Ministry of Foreign Affairs
17. Ministry of Maritime Affairs,
18. Ministry of Textile Industry
19. National Logistic Cell, Rawalpindi
20. National Transmission & Dispatch Company (NTDC)
21. Oil & Gas Development Company Limited (OGDCL)
22. Oil & Gas Regulatory Authority (OGRA)
23. Pakistan Agricultural Research Council
24. Pakistan Centre for Philanthropy (PCP)
25. Pakistan Council of Scientific and Industrial Research
26. Pakistan National Shipping Corporation
27. Pakistan Railway Headquarters, Lahore
28. Pakistan Software Export Board (PSEB)
29. Pakistan Telecommunication Authority (PTA)
30. Pakistan Water & Power Development Authority

31. Petroleum Division
32. Prime Ministers' Office (Prime Minister's Youth Program)
33. Private Power and Infrastructure Board (PPIB)
34. Registrar of Ships & Superintendent of Light Houses
35. Securities & Exchange Commission of Pakistan (SECP)
36. State Bank of Pakistan (SBP)
37. Privatization Commission of Pakistan
38. Earthquake Rehabilitation and Reconstruction Authority (ERRA)

Provincial Government Departments:

39. Accountant General, Balochistan
40. Accountant General, KPK
41. Accountant General, Punjab
42. Accountant General, Sindh
43. Board of Revenue, Balochistan
44. Board of Revenue, KPK
45. Board of Revenue, Punjab
46. Board of Revenue, Sindh
47. Directorate of Postal Accounts, Lahore
48. Energy Department, Sindh
49. Finance Department, Balochistan
50. Finance Department, KPK
51. Finance Department, Punjab
52. Finance Department, Sindh
53. Mines & Mineral Development Department (Sindh)
54. Provincial Sports Boards
55. Provincial Textbook Boards
56. Social Security Institutions

Financial Institutions

57. Asset Management / Mutual Funds Institutions
58. Commercial Banks
59. Real Estate Investment Trust (Dolmen City)
60. Health Insurance Companies
61. National Investment Trust Limited
62. Pakistan Mortgage Refinance Company Limited,
63. Pakistan Stock Exchange
64. Pension Funds (registered under Voluntary Pension System)
65. Private pension funds and trusts (registered with FBR)
66. Provident Fund Institutions (those registered under Provident Fund Act 1925)

Private/Others

67. Agha Khan Development Network
68. Association of Builders and Developers (ABAD)
69. China North Industries Corps

70. China Overseas Ports holding Company (Pakistan) Pvt. Ltd.,
71. Gwadar Free Zone Company (GFZC)
72. Overseas Pakistani's Foundation
73. Pakistan Film Producers Association
74. Pakistan Science Foundation
75. Pakistan Software Houses Association for IT & ITES (P@SHA)
76. Shipping Companies
77. Women Chambers of Commerce and Industries

Websites

78. Finance Division, Government of Pakistan (https://www.finance.gov.pk)
79. Accountant General Pakistan Revenues (https://www.agpr.gov.pk)
80. State Bank of Pakistan (https://www.sbp.org.pk)
81. Pakistan Bureau of Statistics (https://www.pbs.gov.pk)
82. Global Tax Expenditure Database (https://gted.taxexpenditures.org/)

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